

AI TRANSFORMATION STRATEGIES



Lionel Gourvitch - Microsoft | LinkedIn

WHAT DO YOU EXPECT





Interactive



Avoid distraction



Ask Questions



Be on time

Learning outcomes

At the end of this module, you will have gained understating of how to :

- Diagnose an organisation's AI readiness
- Design the right operating model for AI Transformation
- Create the AI portfolio strategy
- Plan the change management for success
- Shape the financial model
- Engage with C-levels

Evaluation Model

- 70% Written Exam: No AI, no internet, no documentation. An individual written case study of 4 to 7 open questions: finding the planted flaws in an AI generated strategy memo, applying a named framework, and defending a directional commitment.

- 30% Oral Project: teams of 3-4 present for 20 minutes (15 pitch + 5 Q&A) the readiness assessment with bottleneck, the operating-model recommendation, and a preliminary portfolio one-pager on the supplied dossier of a real company

Agenda

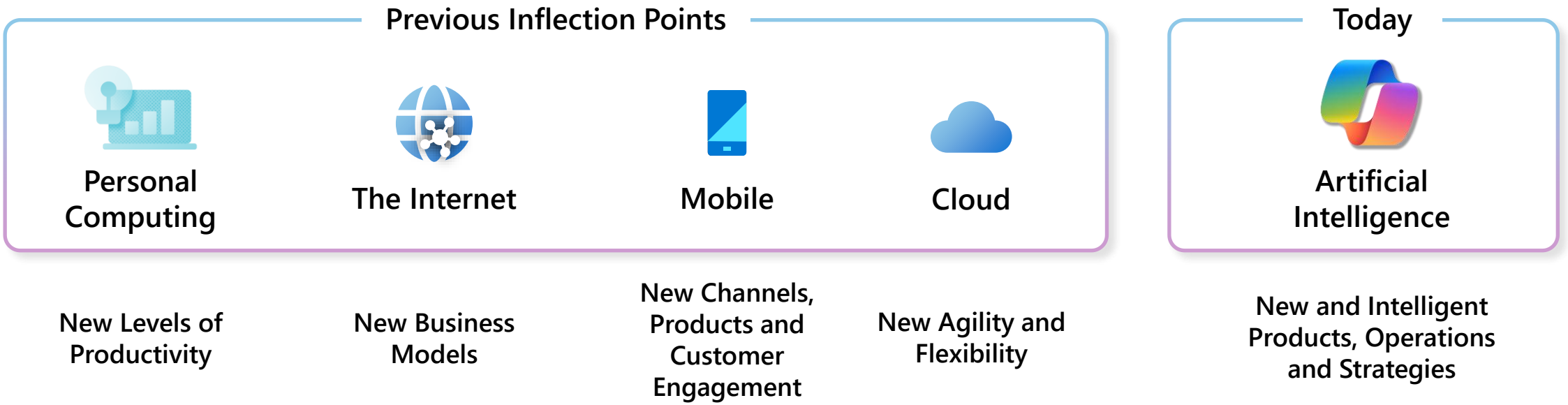
- 5/10 : Introduction & AI Readiness
- 12/10 : Operating model & portfolio
- 19/10 : Investment allocation
- 26/10 : Change management & executive engagement
- 2/11 : Written exam + wrap up
- 16/11 : Oral exam

Introduction

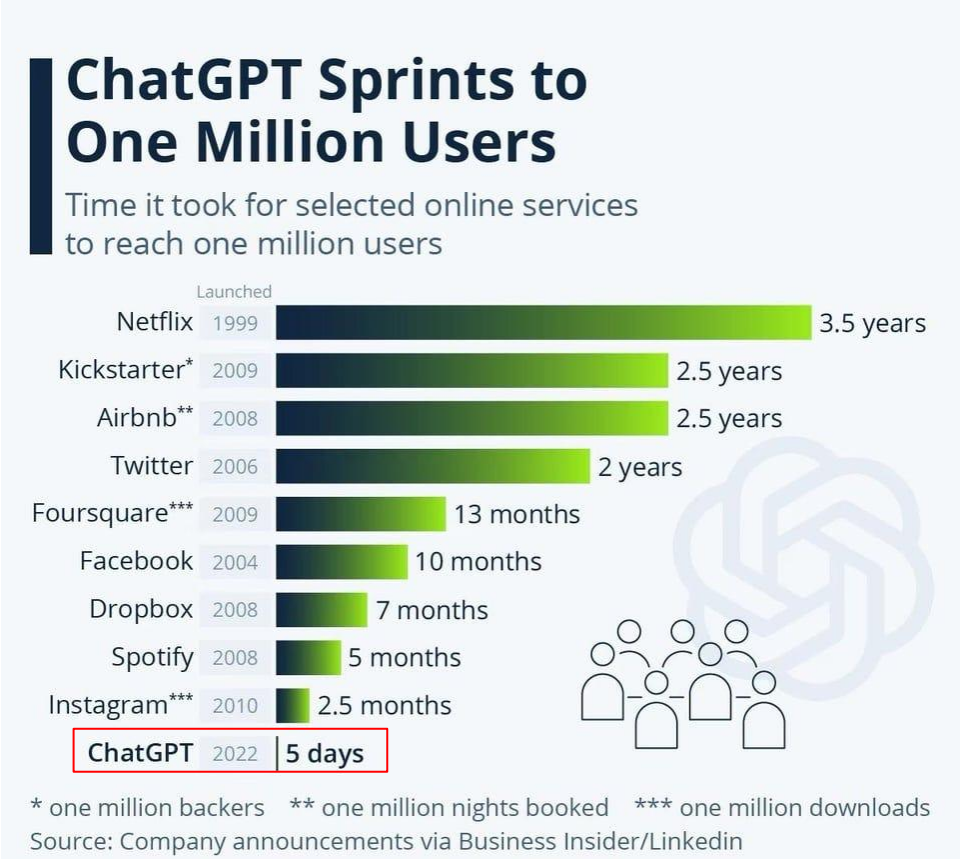
Why are we here today ?

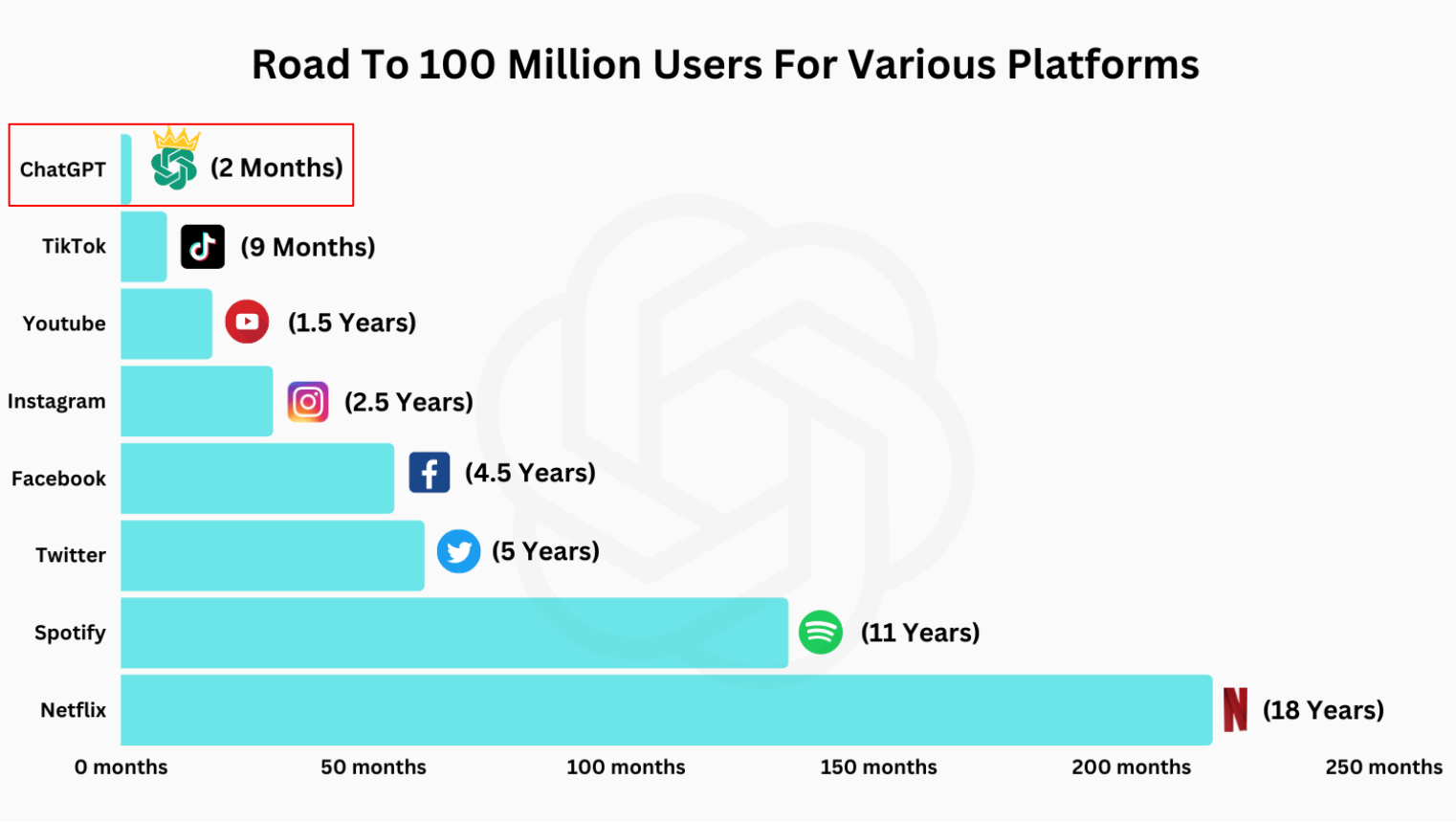
Technology has created inflection points over time with significant impact on business and growth.

AI unique capabilities to understand, reason and learn has the power to impact all industries rapidly.



AI is driving new ways of adoption





Sources : Statistica; DemandSage

AI creates new economic and social paradigm making it a top priority for business and political leaders worldwide.

7% **GDP increase over the next decade ***

Nearly three quarters of CEOs say that they are their organization's main decision maker on AI, twice the share as last year. **

WORLD ECONOMIC FORUM Annual Meeting Davos 2026

1. **AI is now a CEO problem**
2. Scaling AI remains difficult despite massive investment
3. AI as national economic infrastructure
4. Energy demand and infrastructure pressure
5. AI as a driver of workforce
6. Leadership lessons emphasized human-AI collaboration
7. Global risk assessments elevated AI concerns

* The World Economic Forum prediction ** As AI Investments Surge, CEOs Take the Lead | BCG

AI leads a new wave of value opportunities

#	Company		Market Cap (USD)	Industry
1	NVIDIA	NVIDIA	$5.65 trillion	Semiconductors (Technology)
2		Apple	$4.87 trillion	Consumer Electronics (Technology)
3		Alphabet (Google)	$4.19 trillion	Internet Services (Communication Services)
4		Microsoft	$3.83 trillion	Software (Technology)
5	amazon	Amazon	$2.71 trillion	E-commerce & Cloud (Consumer Discretionary)
6	SPACEX	SpaceX	$2.16 trillion	Aerospace & Defense (Industrials)
7	tsmc	TSMC	$2.10 trillion	Semiconductors (Technology)
8		Meta Platforms	$1.85 trillion	Social Media (Communication Services)
9	BROADCOM	Broadcom	$1.70 trillion	Semiconductors (Technology)
10	TESLA	Tesla	$1.48 trillion	Automotive & Clean Energy (Consumer Discretionary)

Bloomberg

Live TV | Markets | Finance | Economics | Industries | Tech | Politics | Businessweek | Opinion | Video | More

OpenAI: Moonshot Accusations | Patient IPO Planning | New Model Debut Halted | Government Website Interference | Sandbox Escape

Technology
AI

OpenAI Targets $30 Billion in Funding at $1.4 Trillion Value

stocktwits

Anthropic Could Go Public In November With $2 Trillion Valuation In Sight, Says Report

Reuters World | Business | Markets | Sustainability | Legal | Commentary | Technology | Investig

French AI company Mistral hits $24 billion valuation in funding round

Capital invested in AI to date : over $2,5Tr (incl. DC)
Forecast is $5Tr within the next 2 years

Ok but why bother if I’m not in tech?

Klarna strategic shift: Data&AI as the backbone of the company operating model, agentic as execution layer.

"Transformational"

February 2024

Generative AI adoption for customer services

- The AI assistant has had **2.3 million conversations, two-thirds of Klarna's customer service chats**
- It is doing the equivalent work of **700 full-time agents, operating 24/7 in 35 languages for 23 markets**
- It is on par with human agents in regard to customer satisfaction score
- It is more accurate in errand resolution, **leading to a 25% drop in repeat inquiries**
- Customers now **resolve their errands in less than 2 mins compared to 11 mins previously**
- It's estimated to drive a **$40 million USD in profit** improvement to Klarna in 2024

March 2025

Data as the foundation, AI as the engine of the company transformation

- **"SaaS is dead"** - 1200 SaaS shutdown (savings estimated to **$40 - $80 million USD** *)
- Keeping data in SaaS results in data fragmentation
- Put things together, connect knowledge, and **remove silos**
- **Revenue per employee grew 4.3x**

January 2026

Agentic as the fabric of business process driven by humans

- "Systems of records will die in an agentic world" – Klarna CEO
- "We think it's going to be the future to offer human support—it's going to be like the VIP treatment."

* No public information, estimation based on industry benchmarks

Teleperformance
each interaction matters



← WRITING

— APPS

Marc Benioff Questions Klarna's Decision to Drop Salesforce, Workday for AI: 'Humans Aren't Going Away'

By **Ken Yeung** · September 14, 2024 · 3 min read

salesforce

So how can companies cope with it ?

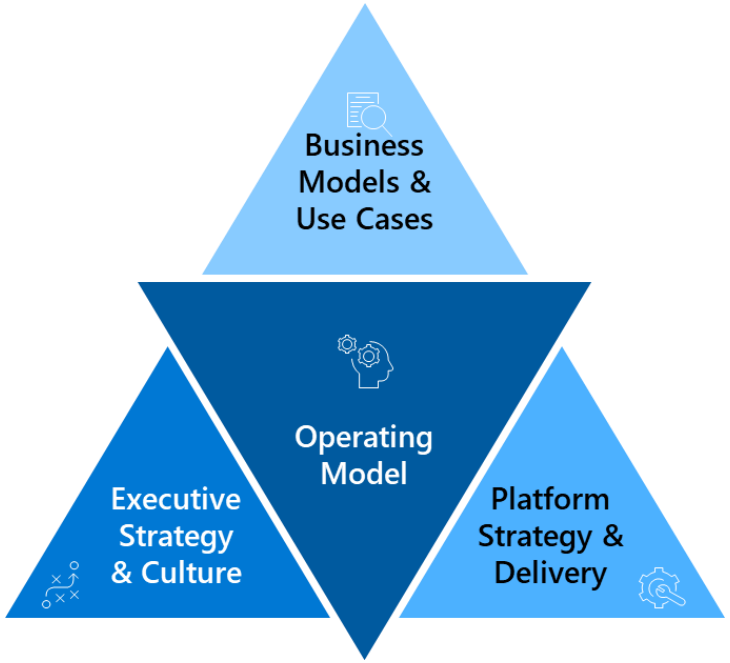
Most companies fails to deliver value from AI. Successful companies changed organizational capabilities to AI-first.

Start with clarity, prioritize high impact use cases, scale the platform, govern with agility.

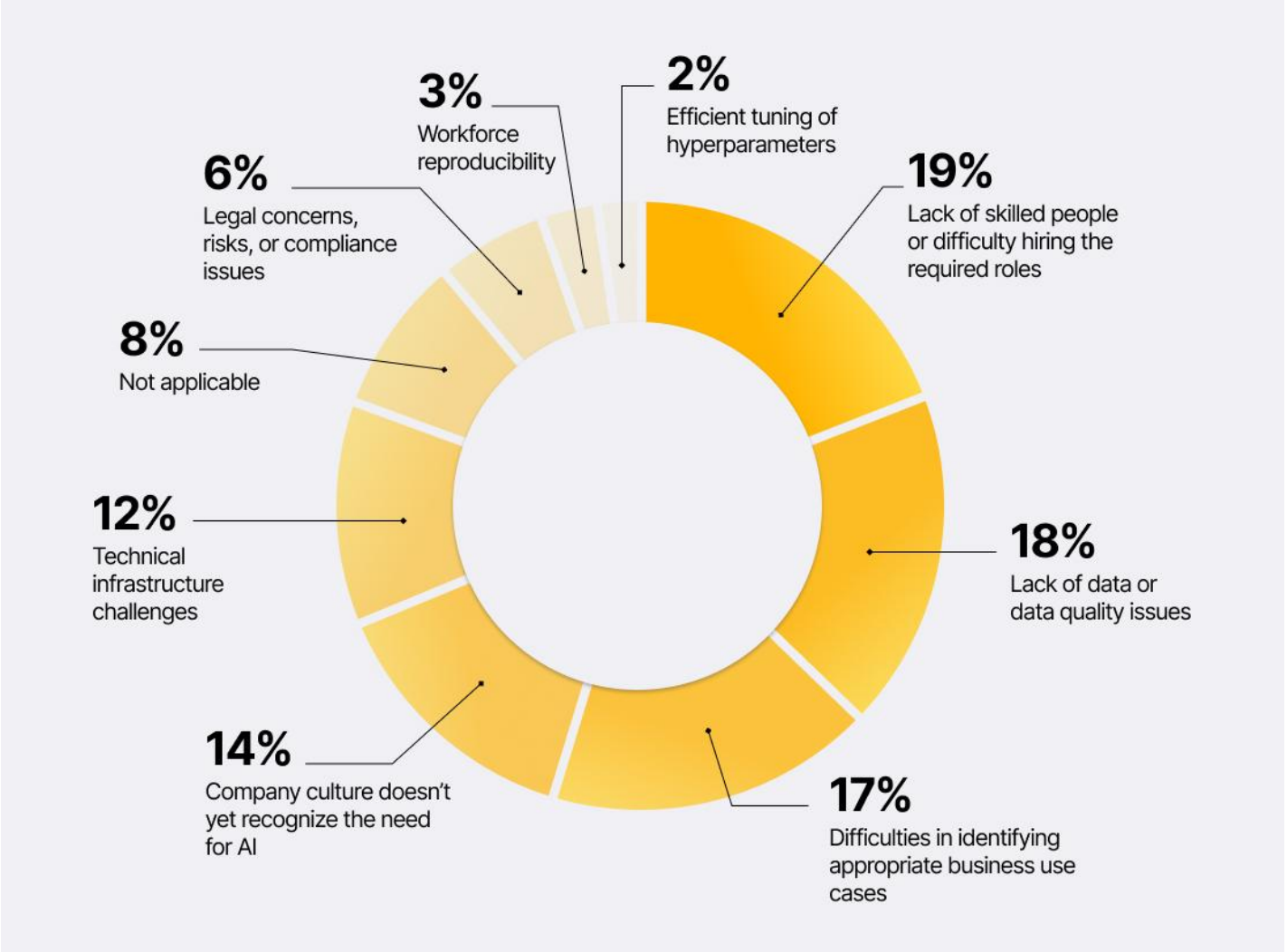
Key topics for successful agentic transformation



Framework for transformation



What are the pain points ?



AI maturity

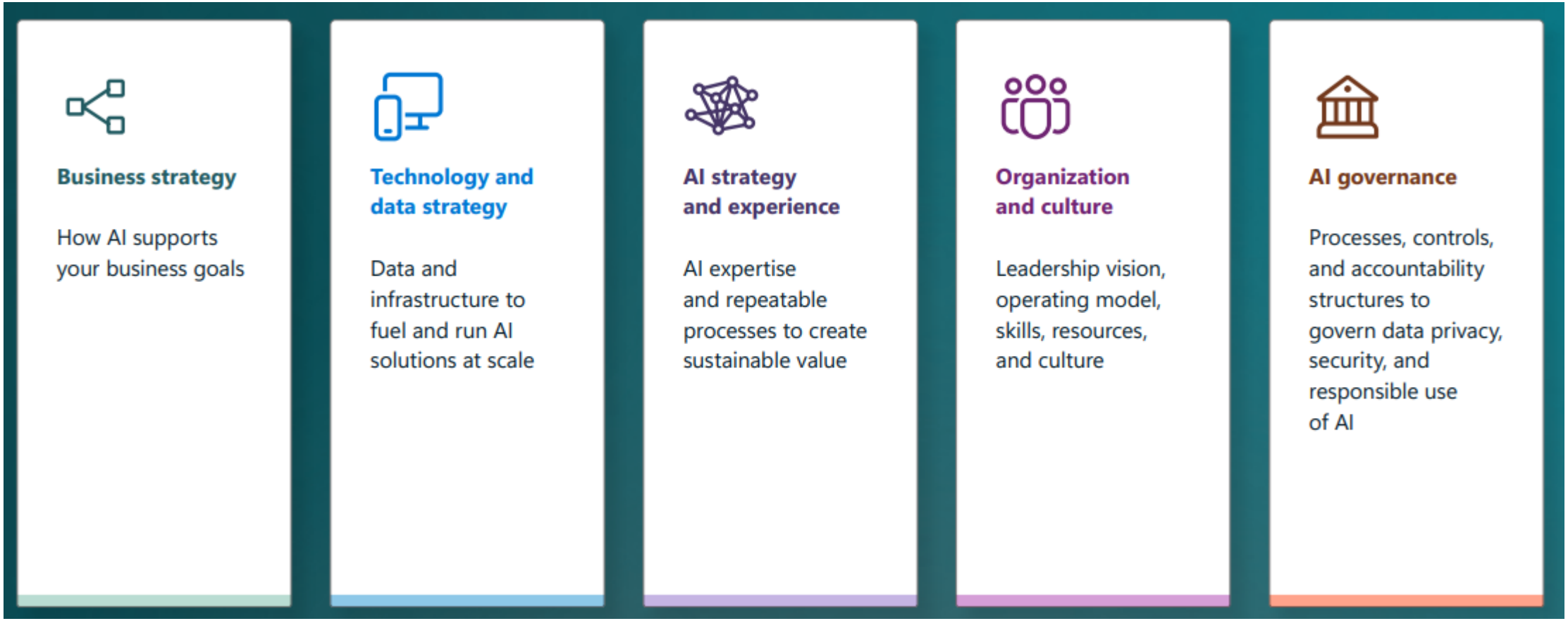
WHERE WE ARE

Where we are in the strategy arc

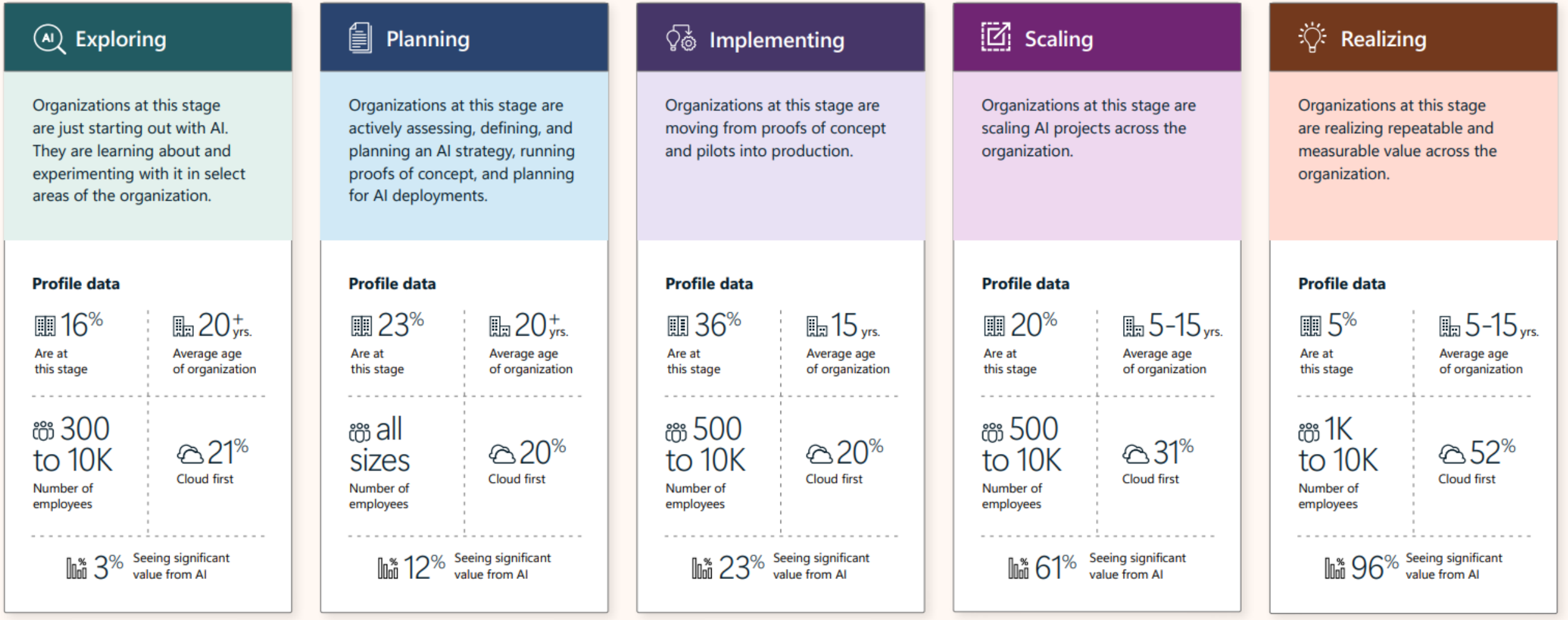
TODAY

01	02	03	04	05	06
Readiness diagnostic	**Operating model**	**Portfolio**	**Capital allocation**	**Change management**	**Board defence**
Where are we starting from?	Who owns and delivers AI?	Three Horizons 70-20-10	How much, when — and does it clear the hurdle?	Adoption is where value lands	Win the decision

Pilars of AI maturity readiness



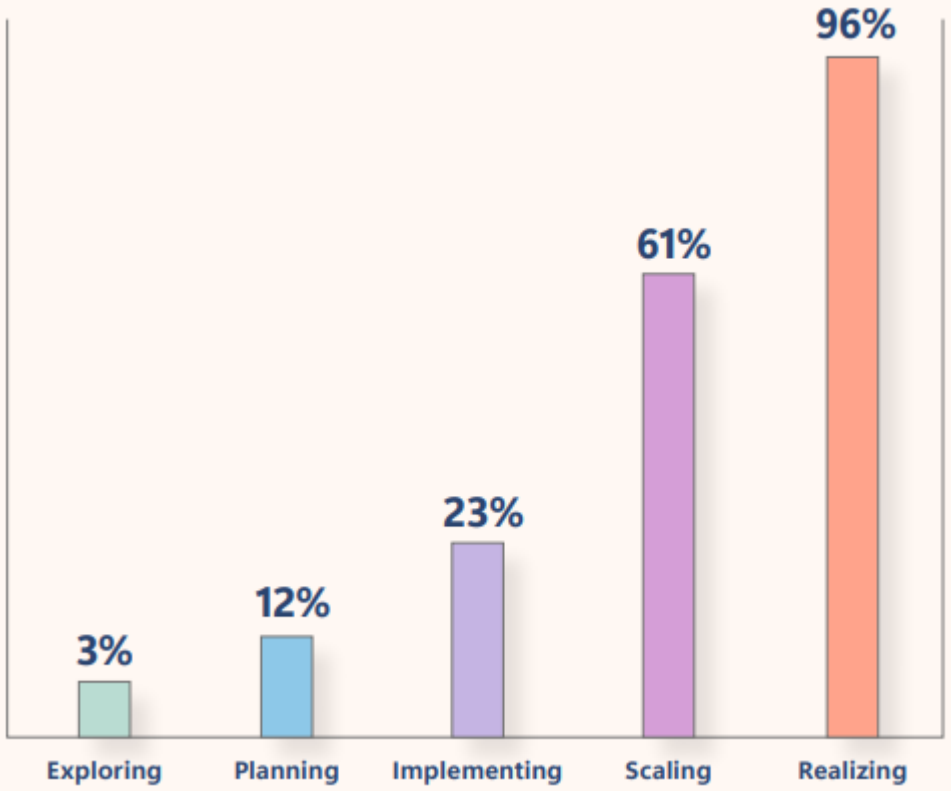
AI readiness stages



Business Strategy

- **Define the business problem first**: Clearly identify what you're solving for to guide use case selection, prioritization, success metrics, and AI investment decisions.
- **Align AI goals with strategic objectives**: Linking AI projects to core business goals like efficiency and revenue ensures executive support and funding.
- **Evolving priorities along the AI journey**: Early stages focus on aligning projects with objectives; later stages emphasize structured use case selection and approval.
- **Investment planning becomes critical**: While less urgent initially, a clear AI investment plan is essential during implementation to manage a growing portfolio of projects.

Stage	Top opportunities	Next area(s)
Exploring	• AI objectives support business objectives • AI used for real-time decision-making	• Prioritized, approved, and socialized use cases for AI • A clear investment plan for AI implementation across the business
Planning	• Prioritized, approved, and socialized use cases for AI	• AI used for real-time decision-making
Implementing	• Prioritized, approved, and socialized use cases for AI	• AI objectives support business objectives • AI used for real-time decision-making • A clear investment plan or AI implementation across the business
Scaling	• Prioritized, approved, and socialized use cases for AI	• A clear investment plan for AI implementation across the business
Realizing	• Prioritized, approved, and socialized use cases for AI	• A clear investment plan for AI implementation across the business



Percentage of organizations that report realizing value at each stage of AI readiness



Focus on growth increases as organizations realize value from AI

Tech & Data Strategy

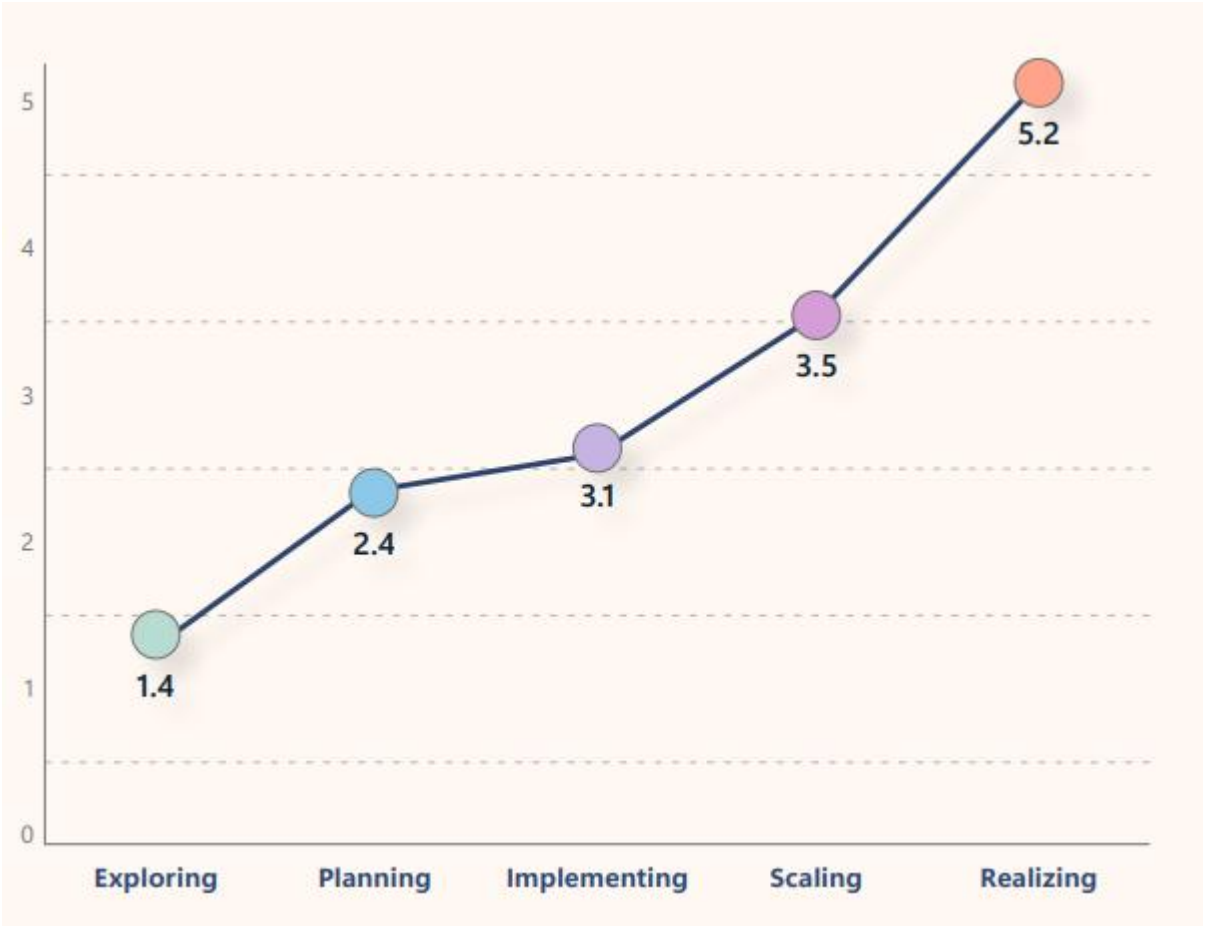
- **Data access is the foundation**: Quality data is the top priority from early exploration through implementation, later shifting focus to data format and relevance as initial access issues are resolved.
- **Evolving data concerns**: As organizations mature, the emphasis moves from obtaining data to ensuring it accurately represents target audiences and objectives.
- **Cloud infrastructure is essential for scale**: A robust cloud platform becomes critical during implementation to support large AI models and enable production-level deployment.
- **Cloud as the AI engine**: Computing power, analytics, storage, security, and performance from cloud infrastructure drive AI projects beyond proof-of-concept to deliver real business value.

Stage	Top opportunities	Next area(s)
Exploring	• Access to complete and relevant data for AI modeling purposes • Using AI for improving security	• Dedicated cloud infrastructure
Planning	• Access to complete and relevant data for AI modeling purposes	• Dedicated cloud infrastructure
Implementing	• Access to complete and relevant data for AI modeling purposes	• Dedicated cloud infrastructure • Data accurately represents relevant customers and business objectives
Scaling	• Data accurately represents relevant customers and business objectives	• Access to complete and relevant data for AI modeling purposes
Realizing	• Data accurately represents relevant customers and business objectives	• Access to complete and relevant data for AI modeling purposes • Having the right data in the right format

AI Strategy

- **Exploring stage priorities**: Focus on people (diverse business and tech roles) and processes (standard, repeatable methods for AI development and deployment).
- **Implementing stage shift**: Emphasis moves to aligning AI models with the right use cases to ensure value realization.
- **Scaling and realizing stages**: Repeatable processes regain top priority, now aimed at scaling workflows for systematic, repeatable ROI across the organization.
- **Higher stakes at later stages**: As AI adoption expands, standardized processes become critical to manage complexity and deliver consistent business impact.

Stage	Top opportunities	Next area(s)
Exploring	• Processes to create a standard repeatable process for development and deployment of AI • Diversity of roles and experiences of people involved in AI projects	Identifying AI models best suited for an organization's AI use cases
Planning	• Identifying AI models best suited for an organization's AI use cases	Processes and workflows to create a standard repeatable process for development and deployment of AI
Implementing	• Identifying AI models best suited for an organization's AI use cases	Diversity of roles and experiences of people involved in AI projects
Scaling	• Processes and workflows to create a repeatable process for development and deployment of AI solutions	Identifying AI models best suited for an organization's AI use cases
Realizing	• Processes and workflows to create a repeatable process for development and deployment of AI solutions	Identifying AI models best suited for an organization's AI use cases

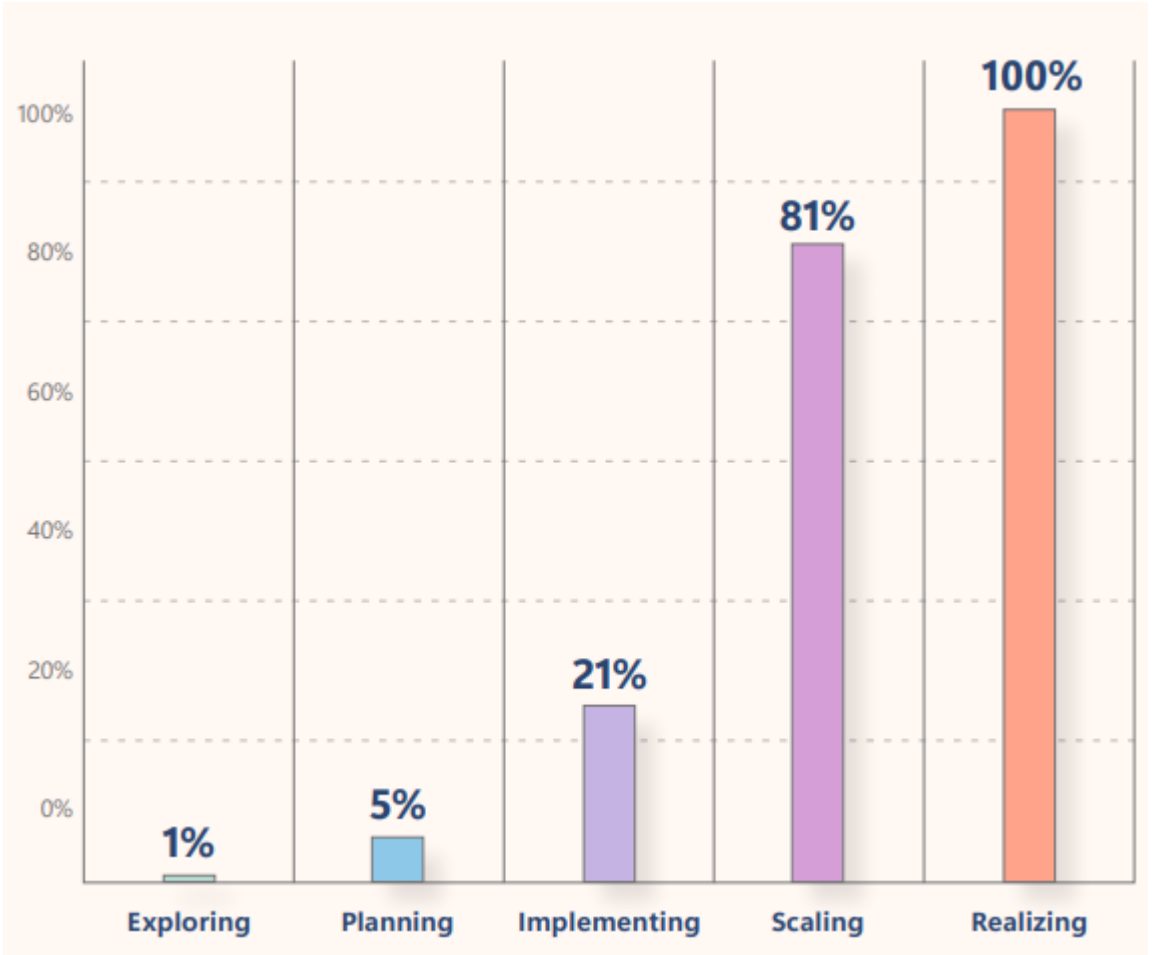


Average number of departments using AI in their day-to-day function

Organization and Culture

- **Leadership is critical for AI success**: Senior leaders significantly influence an organization's ability to create value with AI.
- **Clear vision matters**: At the "realizing" stage, 100% of leaders clearly communicate their AI vision and commitment, compared to only 1% at the "exploring" stage.
- **Leadership support complements other factors**: While essential, leadership does not replace other success factors like data, processes, and technology.
- **Strategy starts at the top**: Business objectives, investment plans, and resource allocation originate with leadership and require ongoing support.

Stage	Top opportunities	Next area(s)
Exploring	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Planning	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Implementing	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Scaling	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects
Realizing	Leadership has clearly communicated vision and importance of AI	• Availability of experts to contribute to AI projects • Employee understanding of how AI supports strategy



Percentage of organizations whose leadership clearly communicates vision and commitment to AI

Percentage of organizations that have appointed a chief AI officer

64% in the "realizing" stage

36% in the "scaling" stage

18% in the "implementing" stage

9% in the "planning" stage

6% in the "exploring" stage

AI Governance

Stage	Top opportunities	Next area(s)
Exploring	• Controls for ensuring transparency, explainability, and interpretability of results • Security and compliance for third party sharing of AI-generated data	• Assessing the impact of AI on people, organizations, and society • AI system accountability for bias, impacts, safety, and security
Planning	• Controls for ensuring transparency, explainability, and interpretability of results • Security and compliance for third party sharing of AI-generated data	• AI system accountability for bias, impacts, safety, and security
Implementing	• Controls for ensuring transparency, explainability, and interpretability of results • AI proactively prevents cyberattacks on infrastructure and data	• AI system accountability for bias, impacts, safety, and security
Scaling	• Systems to inform AI use cases, performance metrics, and limitations	• AI proactively prevents cyberattacks on infrastructure and data • System to address copyright and IP ownership • Controls for storage, processing, and sharing of sensitive information and personally identifiable information (PII) • Controls for ensuring transparency, explainability, and interpretability of results
Realizing	• Systems to inform AI use cases, performance metrics, and limitations	• Controls for storage, processing, and sharing of sensitive information and personally identifiable information (PII)

AI maturity is also influenced by industry

Financial services

Spends the most on AI, with 61% of projects led by AI adoption in data and analytics departments.

Profile data

- 16% Have a chief AI officer
- 7% See consistently high ROI from AI
- $2.48M AI spend/month (mean)
- 18% Cloud first
- 61% Data and analytics — Functional driver for AI

Healthcare

Over half of AI readiness in this sector is driven by IT investment.

Profile data

- 18% Have a chief AI officer
- 5% See consistently high ROI from AI
- $2.22M AI spend/month (mean)
- 20% Cloud first
- 53% IT — Functional driver for AI

Manufacturing

Reports the most engaged leadership, with 28% of companies reporting to have a chief AI officer.

Profile data

- 28% Have a chief AI officer
- 8% See consistently high ROI from AI
- $1.99M AI spend/month (mean)
- 17% Cloud first
- 53% IT — Functional driver for AI

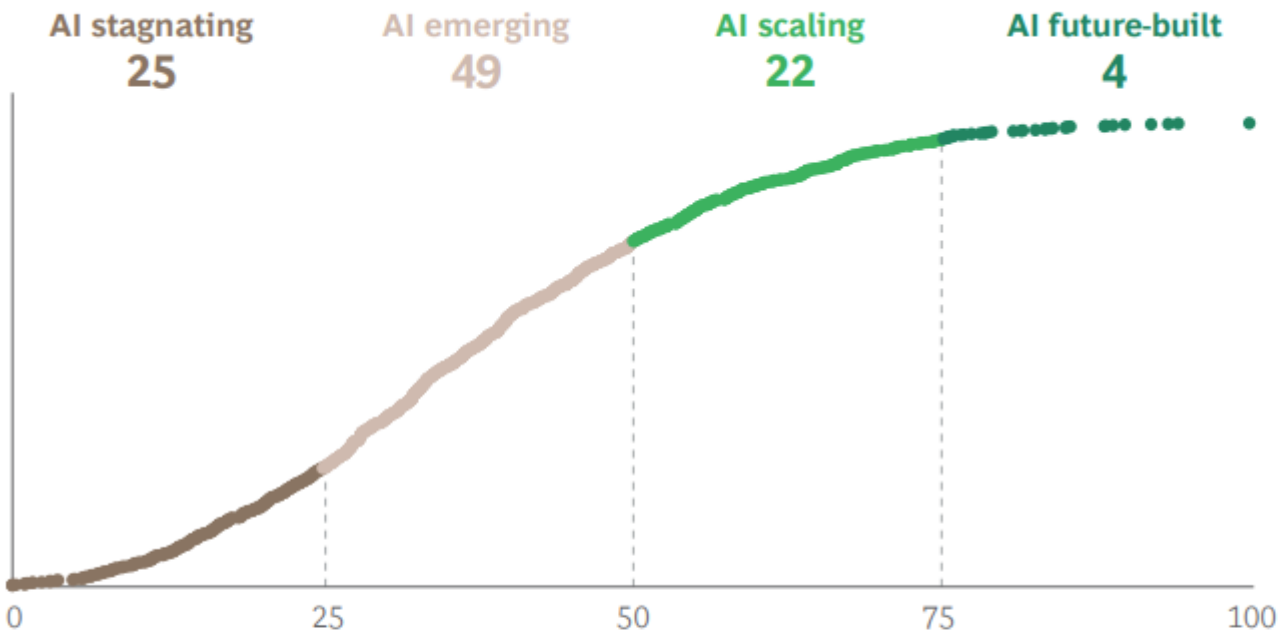
Retail

This sector sees the highest value from AI, with marketing functions driving adoption.

Profile data

- 21% Have a chief AI officer
- 10% See consistently high ROI from AI
- $1.83M AI spend/month (mean)
- 25% Cloud first
- 60% Marketing — Functional driver for AI

Maturity stage (% of companies)



Are taking minimal or no AI action, lack foundational capabilities, and are not generating value	Have developed foundational capabilities and started initial experimentation but are struggling to scale and generate value	Have developed an AI strategy and advanced capabilities, and are scaling them effectively while starting to generate value	Are at the forefront of AI innovation, systematically building cutting-edge AI capabilities across functions and consistently generating substantial value

Value achieved

Revenue	**50%** higher revenue growth (3-year average)
Total shareholder return	**60%** higher 3-year TSR
Returns	**40%** higher RoIC (3-year average)
Innovation	**1.9x** more patents
Employee satisfaction	**1.4x** better overall Glassdoor indicator

L’OREAL Case study


CES

L'ORÉAL

AI TRANSFORMATION IN ACTION

A CASE STUDY ON BEAUTY, TECHNOLOGY AND A MORE INCLUSIVE TOMORROW

CREATE THE BEAUTY
THAT MOVES THE WORLD



1. L’Oréal as a Company

A global leader in beauty

#1
beauty company in the world

€41.2B
revenue in 2023

~90,000
employees worldwide

150+
countries

Our purpose

“Create the beauty that moves the world”



A portfolio of iconic brands

From mass market to luxury, across all beauty categories

L'ORÉAL PARIS

GARNIER

MAYBELLINE NEW YORK

NYX PROFESSIONAL MAKEUP

KÉRASTASE PARIS

LANCÔME PARIS

YVES SAINT LAURENT BEAUTÉ

BIOTHERM

CeraVe DEVELOPED WITH DERMATOLOGISTS

LA ROCHE-POSAY LABORATOIRE DERMATOLOGIQUE

VICHY LABORATOIRES

shu uemura art of hair

A unique multi-brand, multi-channel model
reaching all consumers, everywhere.

2. The Journey to AI

From digital experimentation to AI at scale

2010s

Digital foundation

- E-commerce
- Social & influencer
- Data and consumer insights

2020

Accelerated by the pandemic

- Surge in online beauty
- Virtual try-on
- Scalable digital tools

2023–2024

AI in the spotlight

- Beauty Genius (GenAI)
- Personalised recommendations
- AI for formulation and content creation

2025–2026

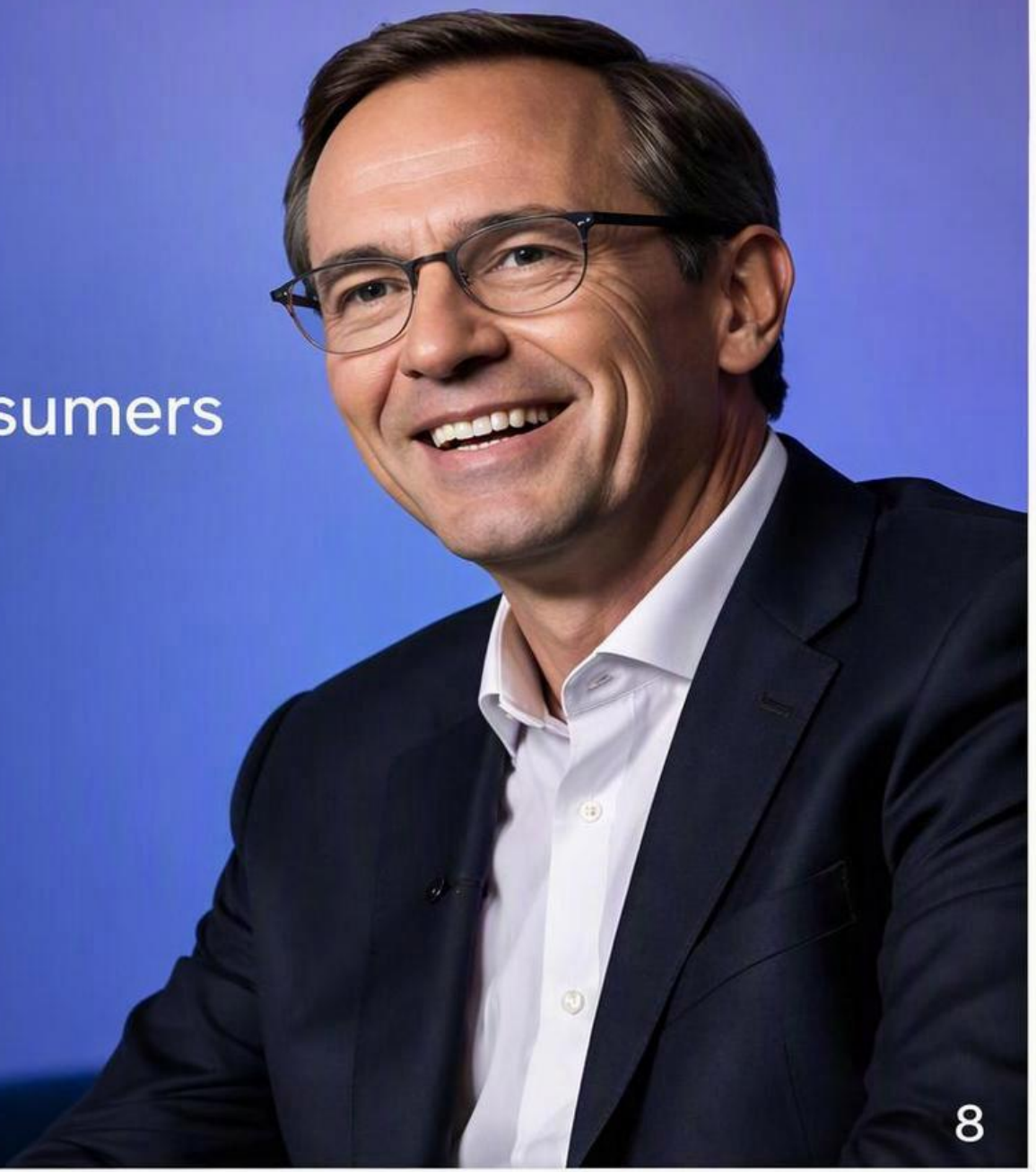
AI at scale

- Integrated across R&I, marketing, supply chain, retail
- Beauty Tech devices with AI

A human-centric approach: AI to augment creativity, expertise and inclusion.

“At L’Oréal, we believe technology can expand the limits of what is possible, help improve the lives of consumers around the world, and meet individuals’ infinite beauty needs and aspirations.”

Nicolas Hieronimus
Chief Executive Officer, L’Oréal
CES 2024 Keynote



3. Beauty Tech Initiatives

AI-powered experiences for more personalized, inclusive and effective beauty



Beauty Genius

GenAI beauty assistant for advice, diagnostics and virtual try-on

CONSUMER EXPERIENCE



At-home devices

Science-backed devices combining AI and light technologies (CES 2026)

BEAUTY TECH DEVICES



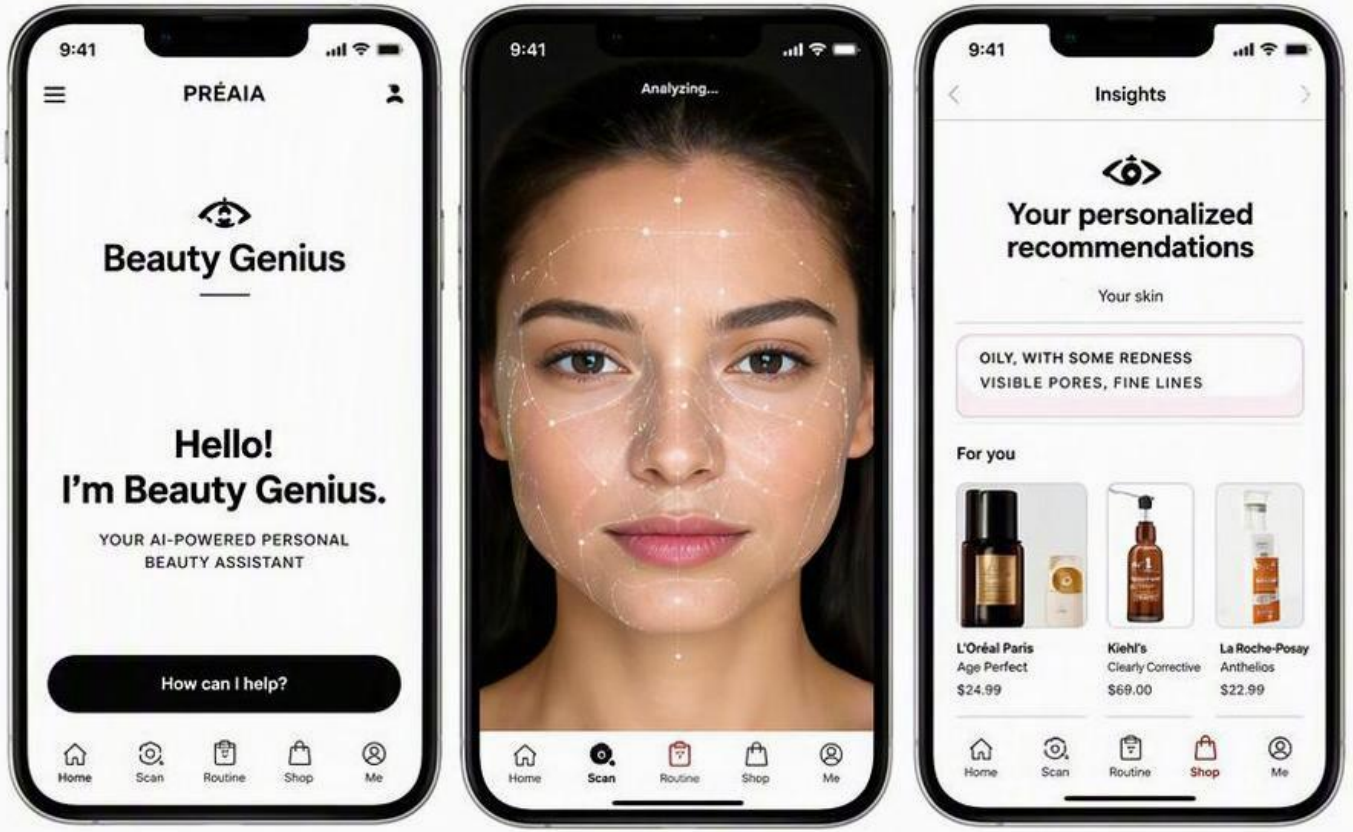
AI for R&I

From ingredient discovery to formulation optimization using AI and data

PRODUCT INNOVATION

Focus: Beauty Genius (CES 2024)

An AI-powered personal beauty assistant



- Personalized beauty advice
- Skin diagnostics (AI)
- Virtual try-on (makeup, hair color, skincare)
- Product recommendations across L'Oréal brands
- More inclusive beauty for all skin tones and types

AI that understands you, celebrates you.

Focus: Beauty Tech Devices (CES 2026)

Science and AI for next-generation beauty experiences



Light Straight + Multi-styler

- Infrared light technology
- Exceptional styling results
- Lower heat (max 160°C) to protect hair
- CES 2026 Innovation Award



LED Face Mask

- Proprietary LED + infrared technology
- Visible skin benefits
- At-home professional-grade care
- CES 2026 Innovation Award

Other AI-powered initiatives



Inclusive beauty

AI for shade matching and representation across skin tones



Sustainable innovation

AI to optimize formulations and reduce environmental impact



Marketing & content

GenAI for personalized content and at scale creativity



Supply chain & demand forecasting

AI for better forecasting, agility and reduced waste

4. Lessons Learned

What L'Oréal has learned on its AI journey



Start from the consumer

Focus on real needs and tangible benefits



Combine science and creativity

AI enhances human expertise, it doesn't replace it



Build trust and responsibility

Be transparent, ethical and inclusive



Scale with purpose

Drive business impact and positive societal and environmental outcomes

Key success factors

- ✓ Strong leadership and clear vision
- ✓ Unique combination of beauty expertise, science and technology
- ✓ Agile experimentation (e.g., CES as a showcase platform)
- ✓ Focus on inclusivity and accessibility
- ✓ Partnerships with leading tech players and startups
- ✓ Integration across the value chain (R&I, marketing, retail, operations)

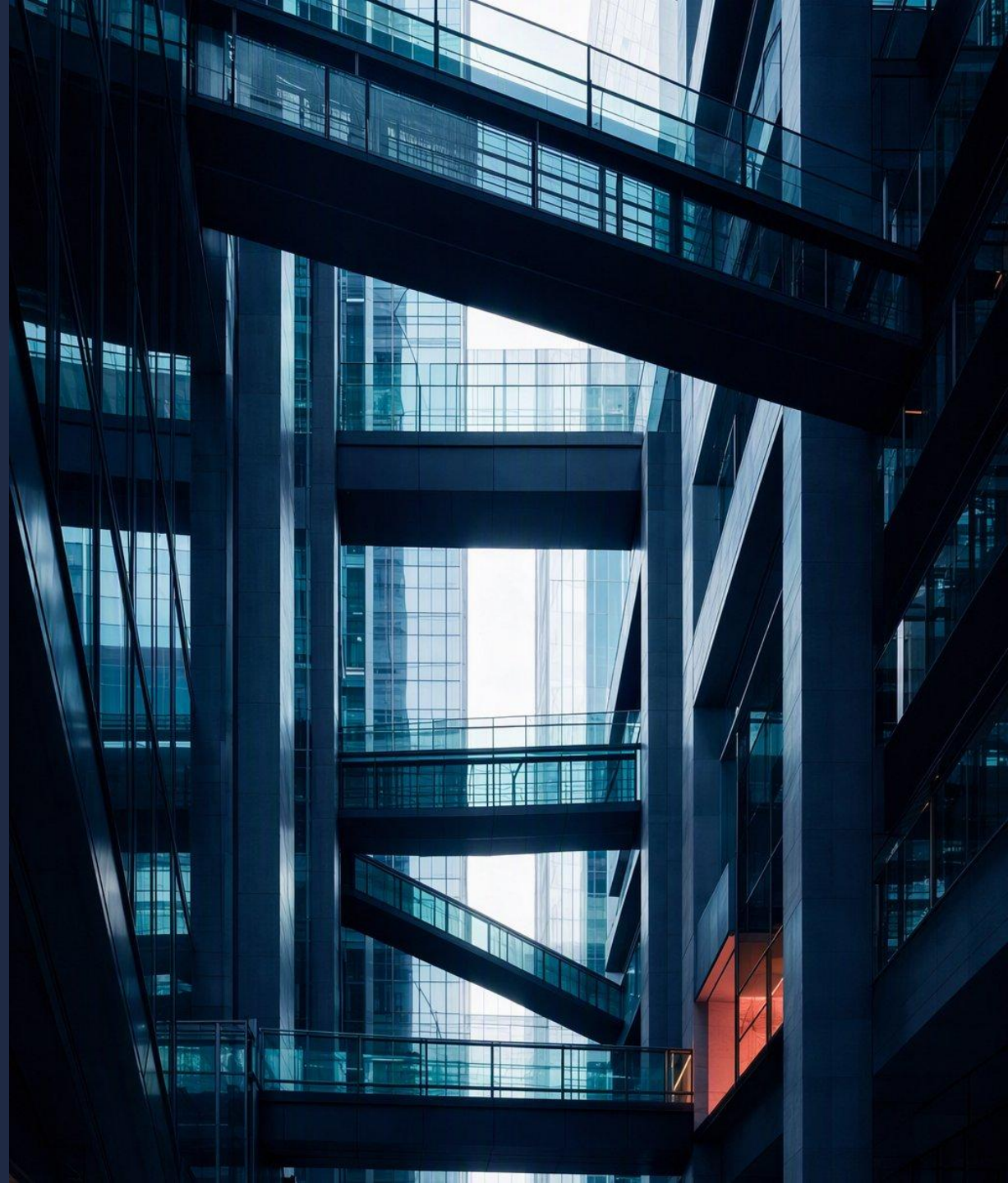
AI works when it's human-centric, responsible and embedded in the business.

AI TRANSFORMATION STRATEGIES

AI Operating Models

Who Builds, Who Decides, Who Is Accountable

Foundation for AI at scale



Oral project

- Date : 16 november 2026
- Teams of 4-5 present for 20 minutes (15 pitch + 5 Q&A)
- Design : Group oral strategy pitch on a real company dossier, defended under sceptical questioning.
- Role play : the professor plays the role of the CEO of the company. The students are here to present and « defend » their AI strategy
- Should cover all the topics seen during class : readiness assessment with bottleneck, the operating-model recommendation, a preliminary portfolio one-pager on the supplied dossier, financial analysis with investment strategy and return, what change management approach for success

LEARNING OBJECTIVES

What you will be able to do

01

Define

what an AI operating model is — and what it is not

02

Describe

the three archetypes: CoE, federated, hub-and-spoke

03

Match

a model to size, regulatory exposure and talent footprint

04

Explain

how maturity and market forces drive the choice — and its evolution

Our lens for every model: who builds, who decides, who is accountable.

YOUR TURN

Poll

2 minutes
Vote A, B, C or D



Your company has 12 AI pilots in 6 departments — each with different tools, data sources and security standards.

What's the real problem?

A	We picked the wrong AI tools
B	Our data isn't good enough
C	Security standards are too weak
D	Something else — tell us what

WHY IT MATTERS

Most firms cannot scale AI yet

39%

of organisations attribute any measurable EBIT impact to AI

…and just 6% qualify as AI "high performers"

McKinsey, The State of AI 2025



Sources: McKinsey, The State of AI (2025) · Microsoft, State of AI Infrastructure · IDC (2024)

DEFINITION

What is an AI operating model?

AN AI OPERATING MODEL IS…

the decision rights, funding routes and control points that determine how an enterprise builds, approves and runs AI.

01

Talent placement

Where do AI people sit?

02

Platform & tooling

Who owns the stack?

03

Governance & risk

Who sets and enforces the rules?

04

Funding & decisions

Who pays, and who says yes?

Insight: a CoE is the hub in a hub-and-spoke model — not a synonym for the whole operating model.

PART 2

The three archetypes

A spectrum, not three boxes

Centralised CoE | **Hub-and-spoke** | **Federated**

Highly centralised	Centrally led, BU executed	BU led, centrally supported	Highly decentralised

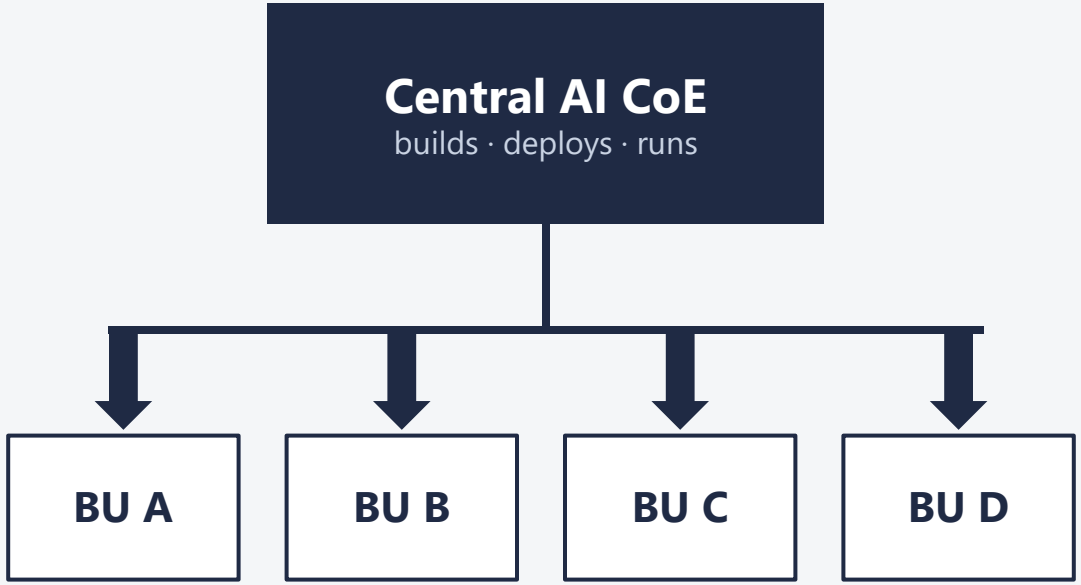
McKinsey's four gen-AI operating archetypes in banking, mapped onto the spectrum

Source: McKinsey, Scaling gen AI in banking: Choosing the best operating model (Mar 2024)



Model 1 · Centralised CoE

One central team owns AI end-to-end; business units request projects.



BUs submit requests; the CoE builds, deploys and runs every AI solution.

STRENGTHS

- Unified standards across the firm
- Pooled, scarce AI talent
- Strong, consistent governance
- One platform, no duplication: one vector DB, one eval framework, one monitoring stack

> **“Centralization at the onset accelerates AI adoption.”**
> — Microsoft Cloud Adoption Framework

Source: Microsoft Cloud Adoption Framework — Establish an AI Center of Excellence (Microsoft Learn, 2026)

Where the centralised CoE breaks

01	**Bottleneck**	Requests queue; time-to-value stretches
02	**Ivory tower**	Distance from business context and users
03	**Ownership vacuum**	Built by the CoE, owned by no one in the BU
04	**Talent revolving door**	Specialists leave a ticket-queue role
05	**Shadow AI**	BUs that cannot wait build around the CoE

EXAMPLE

JPMorgan Chase

A Machine Learning Centre of Excellence, with an AI/ML Council for oversight

BEST FOR

- Early AI maturity
- High regulatory exposure
- Scarce AI talent

MODEL 1 OF 3 · CENTRALISED CoE

What a CoE actually does

EIGHT CORE FUNCTIONS

01

Strategy & responsible AI

Set direction, principles and guardrails

02

AI skills

Upskill builders and business users

03

Lead pilots

Prove value on priority use cases

04

Standards

Define and enforce how AI is built

05

Intake & priorities

One front door for AI demand

06

Reusable assets

Templates, components, patterns

07

Measure & report

Track and publish outcomes

08

Manage AI services

Optional: run shared AI services

BUILDING BLOCKS

Executive sponsor
plus a steering committee

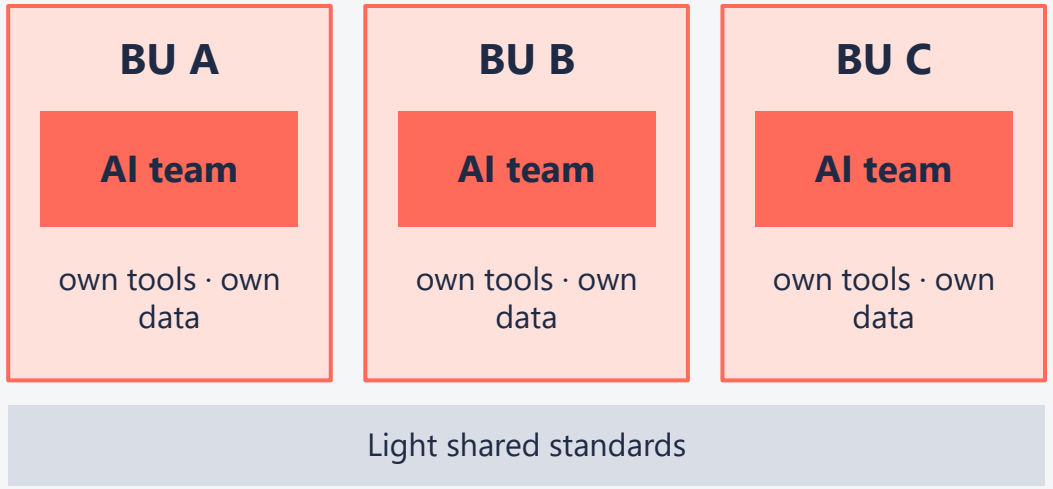
Dedicated CoE leader
accountable for outcomes

Multidisciplinary team
data science, ML engineering, governance, security, AI ops

Build on a Cloud CoE
reuse what already works

Model 2 · Federated

Each BU runs its own AI team under a domain AI leader; shared standards stay light.



BEST FIT

Diverse conglomerates facing different markets and regulators; high maturity; low regulatory intensity. **Hard to run safely in financial services and healthcare.**

STRENGTHS

- **Speed**
- **Domain context**
- **Ownership**

RISKS

2–3×

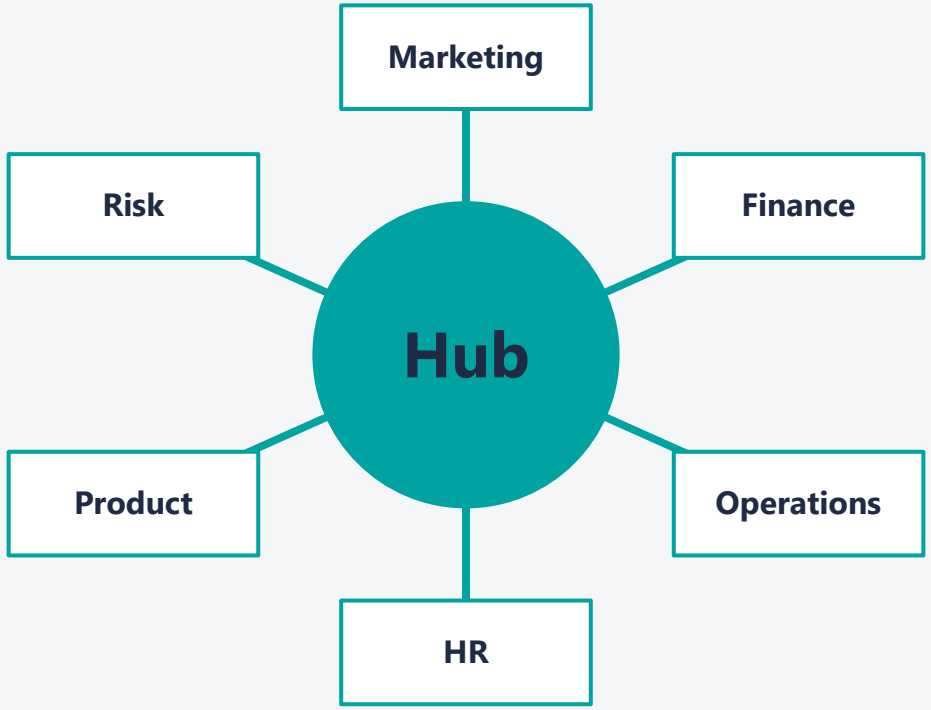
platform spend vs a shared platform, by year two

- Duplicated observability, eval harnesses and model gateways
- Inconsistent risk thresholds
- Vendor sprawl
- No model inventory
- Governance blind spot until an incident

Sources: SFAI Labs, The AI Hub-and-Spoke Org (Jun 2026) · AICA, AI Operating Models (Mar 2026)

Model 3 · Hub-and-spoke

A central hub runs the platform and the rules; embedded spokes deliver the use cases.



HUB OWNS

Platform: gateway, evals, observability
Model-risk policy
Vendor contracts
Model inventory
Talent standards

SPOKES OWN

Use-case selection
Delivery in the business
Embedded practitioners
Dotted line to hub and BU

Infrastructure wants to be centralised; delivery wants to be distributed.

Example: Airbnb moved from one central data-science team to a hybrid — central for careers and standards, embedded in product areas.

Sources: SFAI Labs (Jun 2026) · AICA (Mar 2026) · Scrum.org, AI Team Scaling Models (Apr 2025)

COMPARE THE THREE

Side by side: the trade-offs

	Centralised CoE	Federated	Hub-and-spoke
Who builds	Central CoE team	BU AI teams	Embedded spokes
Who governs	The CoE	Each BU	Hub sets policy
Speed	Slow at scale	Fastest	Fast on shared rails
Risk control	Strongest	Weakest	Strong
Cost efficiency	High	Low: 2–3× platform	High
Talent need	Small, pooled	Large, spread	Core + embedded
Failure mode	Bottleneck, shadow AI	Sprawl, blind spots	Coordination drag
Best fit	Early, regulated, scarce talent	Diverse, mature, light regulation	Enterprises past pilots

READ THE FAILURE ROW

Queue + shadow AI
→ over-centralised

Sprawl + blind spots
→ over-federated

Endless coordination
→ unclear decision rights

Rule of thumb: When possible centralise the platform and governance; distribute delivery.

Sources: synthesis of AICA (2026), SFAI Labs (2026), Microsoft CAF (2026), McKinsey (2024)

YOUR TURN

Think Pair Share

3 minutes
in pairs



Which model does your organisation — or one you know well — use?

What symptom tells you?

Think

1 min

Pick an organisation; name its model

Pair

1 min

Compare with a neighbour: same signs?

Share

1 min

Two or three pairs report back

Clues: a long request queue? Duplicate tools in every unit? One platform everyone builds on?

PART 3

Matching the model to the organisation

1 **Size & complexity**

2 **Regulatory exposure**

3 **Talent footprint**

…then a matching matrix and a simple decision tree



FACTOR 1

Factor 1 · Size & complexity

Watch-out: pure hub models struggle beyond ~4 business units
AI Advisory Practice, AI CoE Operating Model (2026)

Startup / small

Embedded by necessity; add coordination as you scale

Embedded

Mid-size, single business

One CoE serves the whole firm

Centralised CoE

Large, multi-BU

Shared platform, embedded delivery

Hub-and-spoke

Conglomerate of different businesses

Federated, with thin central guardrails

Federated + guardrails

Organisation size and complexity increase →

FACTOR 2

Factor 2 · Regulatory exposure

>50%

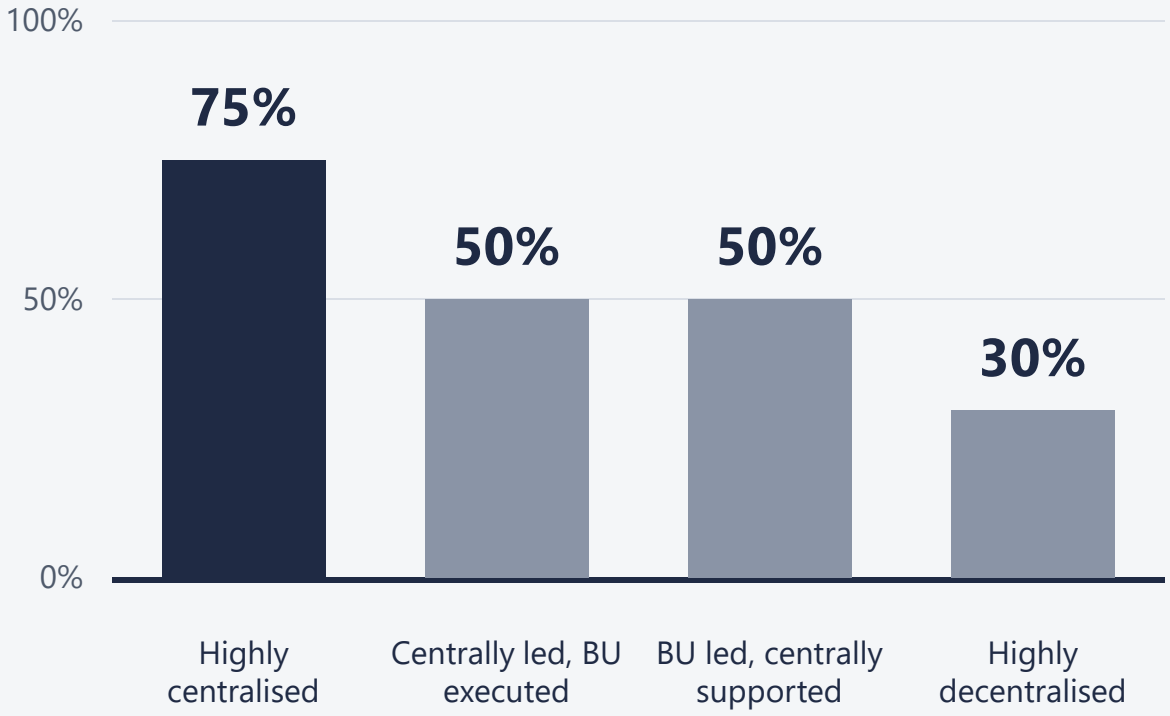
of 16 large European and US financial institutions opted for a more centralised gen-AI approach

RULE OF THUMB

Highly regulated → centralised CoE or a strong hub

An auditor won't accept four different answers from four BUs.

Share of institutions with gen-AI use cases in production, by operating model



Source: McKinsey, Scaling gen AI in banking: Choosing the best operating model (Mar 2024), 16 institutions

FACTOR 2 · REGULATION

EU AI Act: the clock is ticking

2 FEB 2025

Prohibitions and AI-literacy duties apply

2 AUG 2025

General-purpose AI (GPAI) model rules

2 AUG 2026

Article 50 transparency duties; enforcement begins

TODAY · OCT 2026

2 DEC 2027

Annex III high-risk: hiring, credit, education

2 AUG 2028

Annex I regulated products

€35M / 7%

max fine (or % of global turnover) for the worst breaches

Whatever the model: a central model inventory, documentation, logging and human oversight.

Source: European Commission AI Act Service Desk — implementation timeline, as amended by the Digital Omnibus, Reg. (EU) 2026/1744

FACTOR 3

Factor 3 · Talent footprint

Scarce AI talent A few specialists to share	**Concentrate: Centralised CoE**
Deep talent across BUs Data scientists already in each unit	**Spokes or federated teams**
Geographically distributed Teams across regions and time zones	**Hub with regional spokes**
Low AI literacy in BUs Business users new to AI	**Keep delivery central; build literacy**

RETENTION

80 / 20

delivery vs capability-building time

Clear individual-contributor and management tracks

Sources: COMPEL Framework — AI Capability Center Design · AI Advisory Practice (2026) · Scrum.org (2025)

PUTTING IT TOGETHER

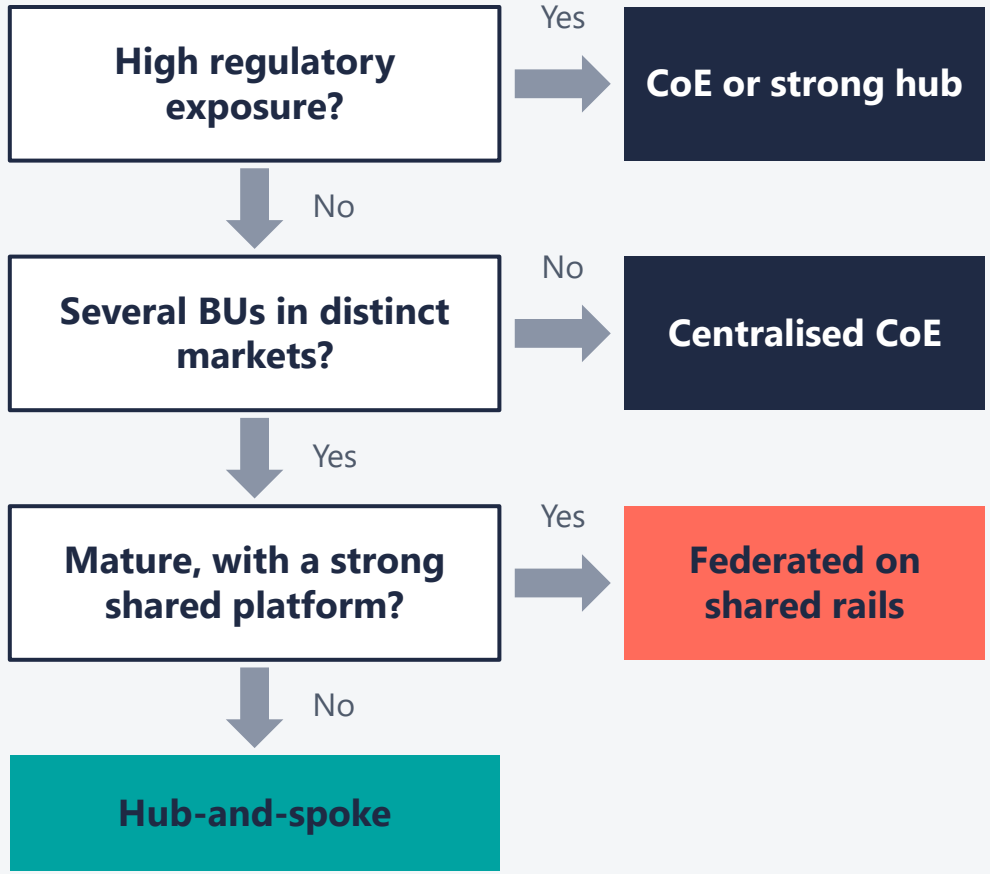
Matching matrix and decision tree

MATCHING MATRIX

Size	Small **Embedded**	Mid-size **Centralised CoE**	Large multi-BU **Hub-and-spoke**
Regulation	Low **Federated**	Medium **Hub-and-spoke**	High **CoE / strong hub**
Talent	Scarce **Centralised CoE**	Concentrated **Hub-and-spoke**	Distributed **Federated**

Centralised CoE Hub-and-spoke Federated / embedded

DECISION TREE



42–52 MIN

PART 4

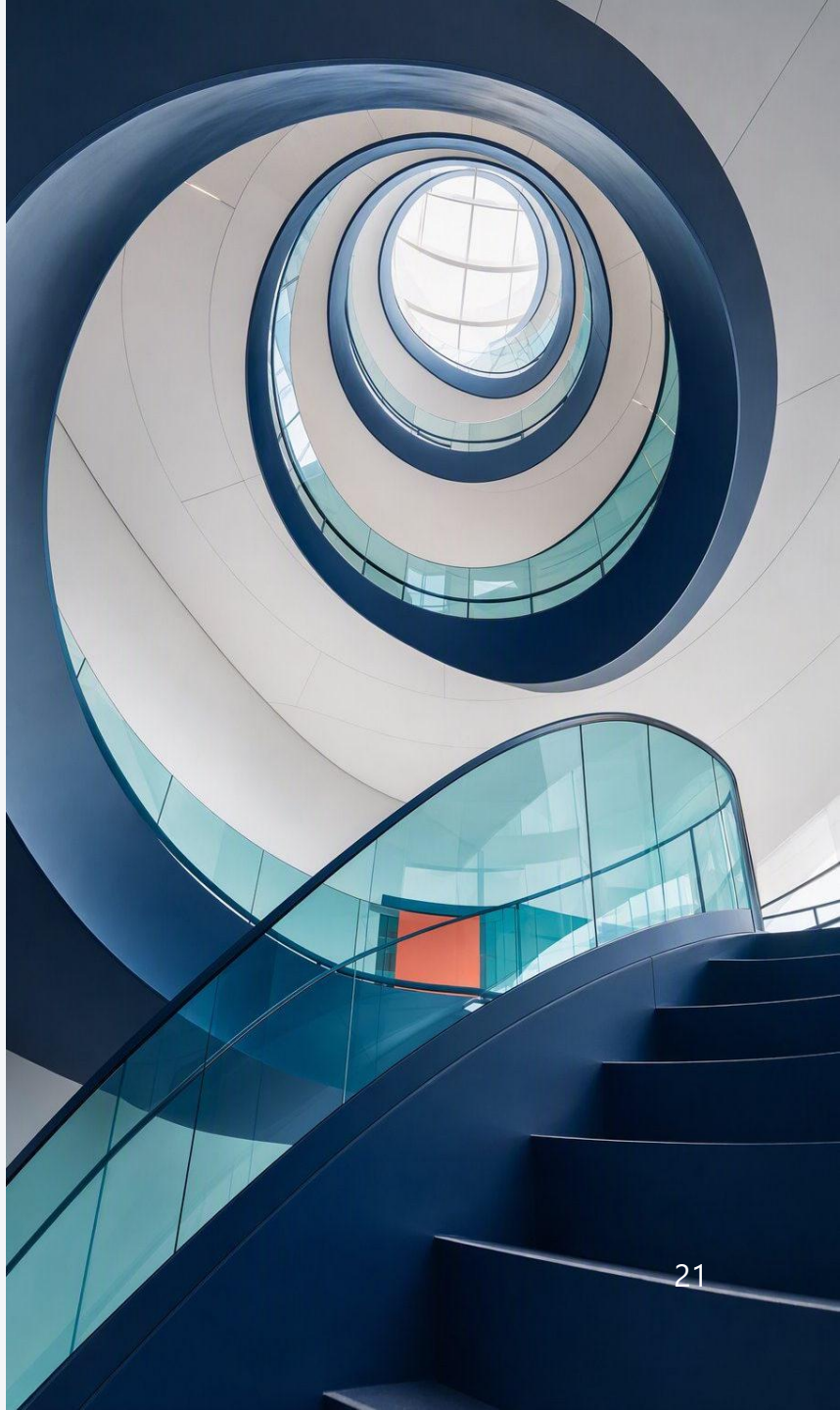
How companies choose — and evolve

1 **Internal vs external drivers**

2 **The maturity arc**

3 **When — and when not — to switch**

The right model today is rarely the right model in three years



DRIVERS

Internal and external drivers

Inside the firm

Seven-factor checklist, plus culture

- AI maturity and models in production
- AI talent today
- Number and diversity of BUs
- AI literacy in the BUs
- Existing data and ML platform
- C-suite sponsorship
- Active governance
- Culture and organisational DNA

Warning: firms overstate their literacy, talent and governance maturity.

Outside the firm

Forces you do not control

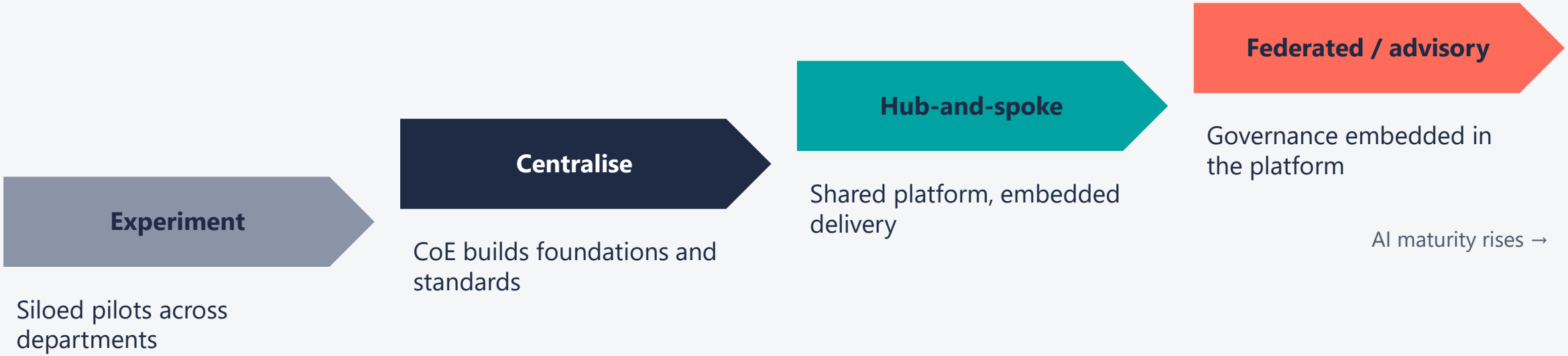
- Regulation: EU AI Act and sector rules
- Market pressure: a speed premium in fast markets; slower sectors may wait
- Talent-market scarcity
- Vendor landscape: agents, build vs buy
- Stakeholder trust and cost pressure

32% forgo a software purchase because internal teams can build with AI

Sources: McKinsey, The State of AI (2025) · AI Advisory Practice (2026) · European Commission AI Act Service Desk

EVOLUTION

Operating models evolve with maturity



Microsoft CAF: move the CoE from central control to an advisory role once governance is built into the platform.

Inflection signals
Approval delays, knowledge bottlenecks, CoE and product teams debating priorities

Maturity is the gate
Federating too early: the look of autonomy, the reality of unmanaged risk

Switching is costly
Plan the next step; revisit the model once a year

Sources: Microsoft Cloud Adoption Framework (2026) · AICA (2026) · AI Advisory Practice (2026)

YOUR TURN

Case exercise

8 minutes
Groups of 3–4



Fictional cases for discussion

Pick a model for each case — justify it

CASE A

EuroBank

40,000 employees
5 business units
Heavily regulated
Scarce AI talent
Early AI maturity

CASE B

RetailCo

15 diverse brands
30 countries
Fast market
Talent in brands
Mid-high maturity

CASE C

ScaleUp

SaaS, 300 people
AI-native squads
Low regulation

JUSTIFY WITH

Size	Regulation	Talent	Maturity	Market

KEY TAKEAWAYS

Five things to remember

01 **No universal winner**
Every model trades speed, control and cost

02 **Centralise platform and governance**
...and distribute delivery

03 **Match the model to the firm**
Size, regulatory exposure and talent footprint

04 **Maturity is the gate**
Federate only once governance lives in the platform

05 **Design for evolution**
Revisit the operating model every year

FOR NEXT SESSION

Think of an organisation you know. If its AI use cases doubled next year, which part of its operating model would break first?

...and what would you change?

REFERENCES

Sources

Microsoft Cloud Adoption Framework — “Establish an AI Center of Excellence” (Microsoft Learn, 2026)

Microsoft Azure Essentials e-book — “Implementing an AI Center of Excellence”

Microsoft Azure Blog — “Scale AI transformation with Azure Essentials: AI CoE guidance” (Jun 2025)

McKinsey — “A data leader’s operating guide to scaling gen AI” (Sep 2024)

McKinsey — “Scaling gen AI in banking: Choosing the best operating model” (Mar 2024); “Decentering gen AI” (May 2024)

McKinsey — “The State of AI” (2025)

European Commission AI Act Service Desk — Implementation timeline

COMPEL Framework — AI Capability Center Design

AICA — “AI Operating Models: Centralized, Federated, or Hybrid?” (Mar 2026)

SFAI Labs — “The AI Hub-and-Spoke Org” (Jun 2026)

Scrum.org — “AI Team Scaling Models in Organizations” (Apr 2025); AI Advisory Practice — “AI CoE Operating Model” (2026)

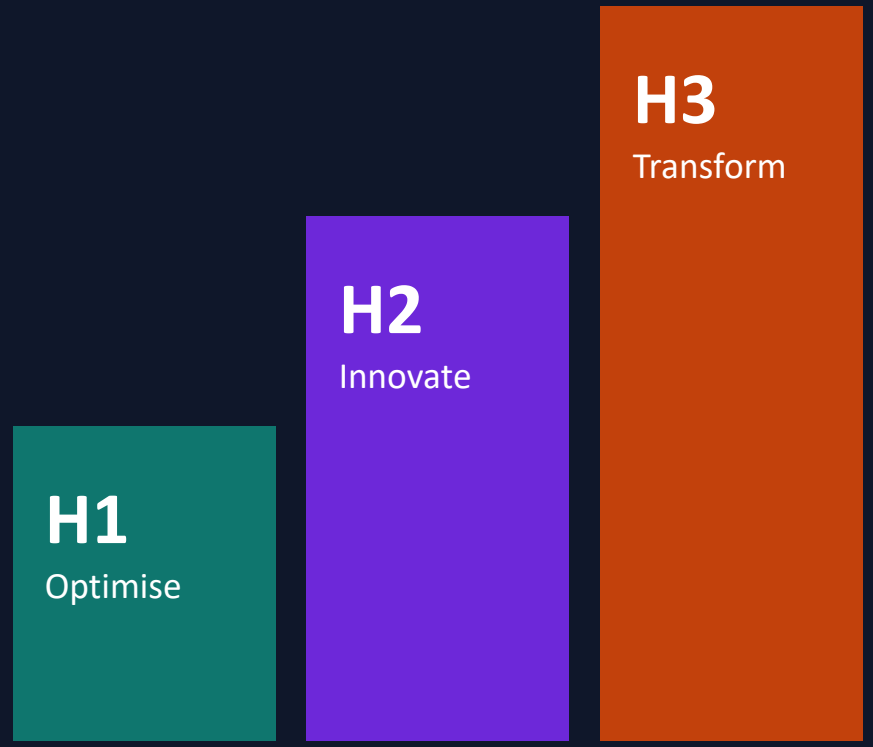
Xebia — “Building an AI Center of Excellence” (2025)

All material is from public sources.

AI TRANSFORMATION STRATEGIES

Sequencing the AI Portfolio

Focus on strategic growth and differentiation, fund with efficiency



Value grows as ventures mature: H3 → H2 → H1

LEARNING OBJECTIVES

By the end, you can do four things

1

PLACE
Place AI initiatives into the Three Horizons.

2

ALLOCATE
Apply the 70-20-10 capital rule, and know when to deviate.

3

CONNECT
Draw the dependency graph, and challenge fake dependencies.

4

SOURCE
Apply Build vs Buy vs Partner to each initiative.

You have 40 AI ideas and budget for 8.

What do you fund first?



8 funded

32 waiting

Sequencing decides which 8 go first, what they unlock, and who builds them.

MCKINSEY · JULY 2026

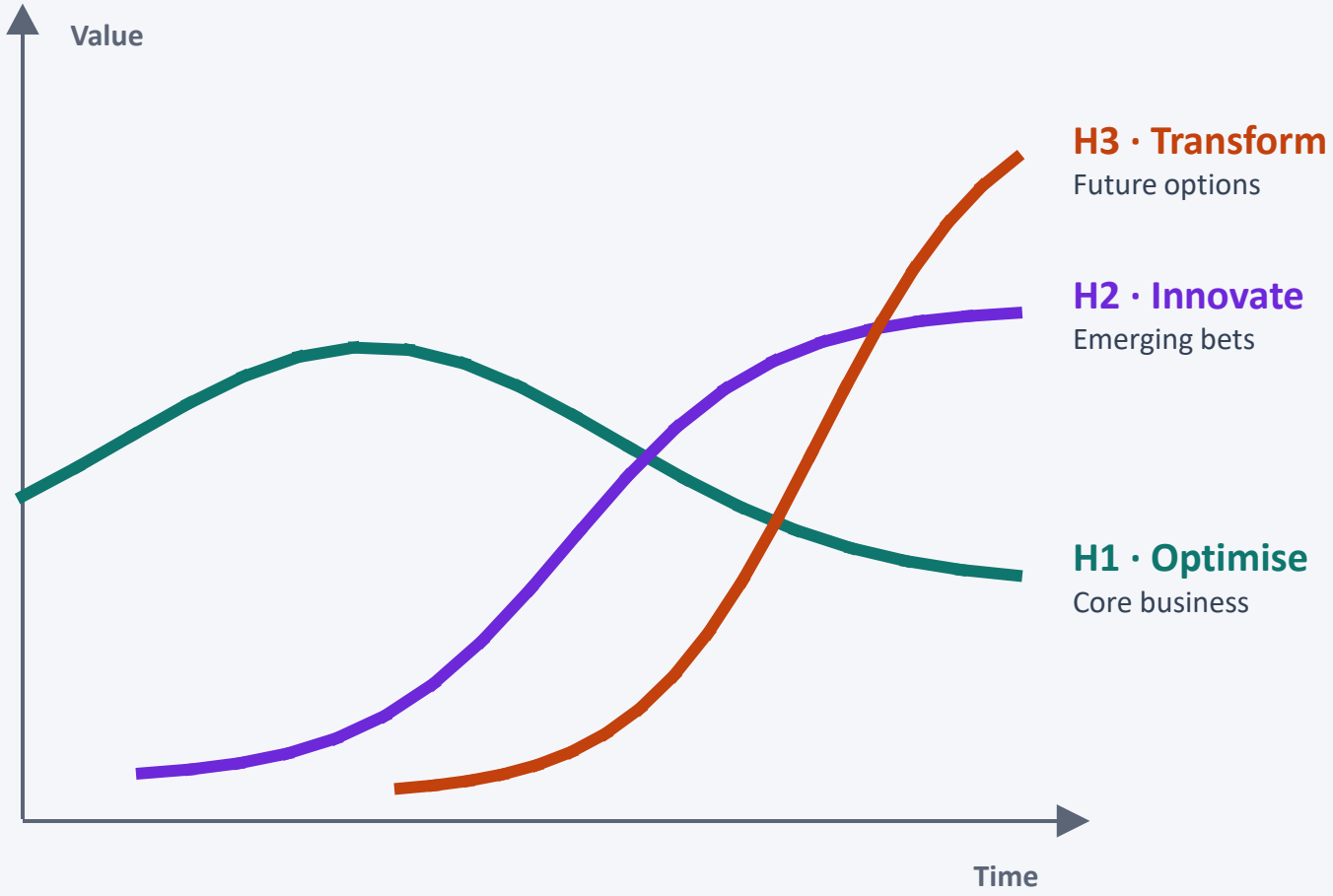
11%

of surveyed leaders say their organisation is in the “reinvention” horizon.

Most leaders, across all horizons, say AI has yet to deliver meaningful enterprise value.

Source: McKinsey, “From adoption to impact: Three horizons of AI transformation” (July 2026).

Three curves, managed at the same time



Run all three at once
Manage the horizons concurrently, never in turn.

Time shows maturity
The axis shows ventures moving H3 → H2 → H1 — not when to pay attention.

H1 shouts loudest
The immediacy of H1 concerns easily overwhelms H2 and H3.

Sources: Baghai, Coley & White, The Alchemy of Growth (1999); McKinsey, “Enduring Ideas: The three horizons of growth” (2009).

Each horizon is run differently

	H1 · Optimise	H2 · Innovate	H3 · Transform
Goal	Do current business better	Do what you do today differently	New markets, mindsets, models
Time to value	Months (under ~12)	1–3 years	3+ years; option value
Risk	Low: proven tech	Medium: evolutionary change	High: revolutionary change
KPI	Cost, productivity, margin	Growth, adoption, NPV	Learning, milestones, options
Management style	Operate and optimise	Invest and scale	Explore, stage-gate, kill fast
AI examples	Entreprise chat; automate a factory process	Self-driving cars; agents; fine-tuned models	Rethink how people travel; new AI-native models

H1 · Core
Greatest profits and cash flow; improve performance.

H2 · Emerging
Future profits, but needs considerable investment.

H3 · Options
Research, pilots, minority stakes for growth later.

Judge each horizon by its own KPIs: never H3 by H1's ROI.

Sources: McKinsey, “Enduring Ideas” (2009); Microsoft ATS, “3.2 Horizon Planning”. Time bands are typical.

Place it with four questions

Q1 **Does it change the customer?**
Same persona, same experience → leans H1

Q2 **Does it change the business model?**
New market or revenue logic → H3

Q3 **Is the technology proven?**
Unproven or frontier tech → H2 / H3

Q4 **Time to value under 12 months?**
Yes, with a known payback → leans H1

TYPICAL ANSWER PATTERN · Q1 · Q2 · Q3 · Q4

H1	H2	H3
No · No · Yes · Yes	Yes · No · Mostly · No	Yes · Yes · No · No

Misplacement traps

AI assistant rollout is not H3
Licences for all = H1 productivity, however new it feels.

A website chatbot is H1
…unless it creates a new revenue model.

New to us ≠ H3
Novel tech on an unchanged model is H1 or H2.

One platform, several horizons
An H1 build can enable H2 / H3: place each slice.

Horizon definitions: McKinsey (2009)

QUICK-FIRE EXERCISE

Place these six: H1, H2 or H3?

01

AI assistant for every sales rep

H1 H2 H3

02

Website chatbot answering FAQs

H1 H2 H3

03

GenAI agent that resolves claims end-to-end

H1 H2 H3

04

AI product configurator for customers

H1 H2 H3

05

Pay-per-km mobility service run by AI

H1 H2 H3

06

Minority stake in an AI biotech startup

H1 H2 H3

Vote with your fingers: 1 = H1, 2 = H2, 3 = H3. Then defend it in one sentence.

Initiatives are illustrative. Answers in the speaker notes.

RULE #1 · HOLD THIS ALL SESSION

Imbalance fails in two directions

H1-DOMINATED

Fails strategically

You optimise yourself into irrelevance.

SYMPTOMS

- AI spend buys efficiency, never growth
- Rivals redefine the customer experience
- Margins up, relevance down

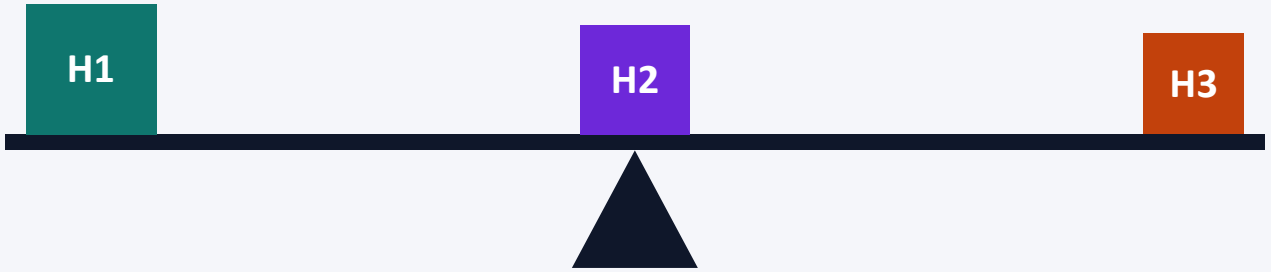
H3-DOMINATED

Fails financially

You burn cash with no near-term returns to fund the journey.

SYMPTOMS

- Many moonshots, no P&L impact
- The CFO loses patience; budget is cut
- Pilots never reach the core business



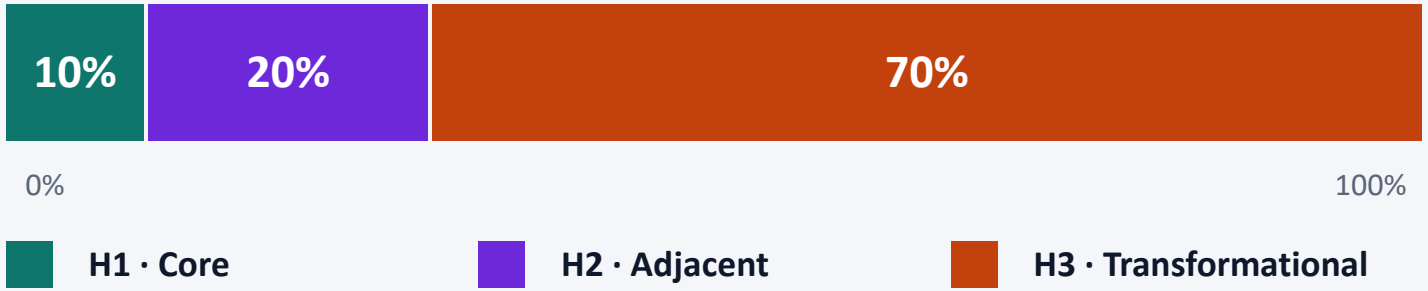
Fund all three, concurrently.
And state why the mix is what it is.

Spend 70-20-10; returns run the other way

INNOVATION RESOURCES (OUTPERFORMERS, APPROX.)



SHARE OF RETURNS (APPROX.)



The ~10% spent on transformation earns ~70% of returns.
The ideal balance differs by industry and company.

To make the 10% work

1. **Separate talent**
   Not the core team's spare time
2. **Separate funding**
   Its own protected budget line
3. **No pipeline management**
   Explore; don't force a funnel
4. **Early metrics**
   Non-economic: learning, milestones

Popularised by Google as 70/20/10.

Source: Nagji & Tuff, “Managing Your Innovation Portfolio”, Harvard Business Review (May 2012). Figures are approximate.

Deviate on purpose, never by drift

TRIGGER	MOVE	EXAMPLE SPLIT H1-H2-H3	
Default: stable core, normal pace	Baseline		**70-20-10**
Fast-moving or AI-disrupted industry	More H2 / H3		**50-30-20**
Disrupted core or burning platform	Shift to H2 / H3	*Re-weight toward H2 / H3*	
Weak cash position or turnaround	More H1 to survive		**80-15-5**
Regulated or mission-critical	Heavier H1	*Re-weight toward H1*	
Startup or digital native	Can invert the split	*Inverted: H3-led*	

Write down the trigger and the reason. A split nobody chose is drift.

Base rule: Nagji & Tuff, HBR (2012). Example splits are illustrative, not benchmarks.

Six signs your portfolio is drifting

H3

No H3 beyond pilot

Bets are seeded, never funded to scale.

H2

Pilot purgatory

Many pilots, nothing rewired into a workflow.

H2

H2 starved

Money goes to AI assistant or moonshots, not the middle.

H1

H1 savings vanish

Efficiency gains are not reinvested in H2 / H3.

ALL

Split by drift

Nobody chose the mix; it just happened.

H3

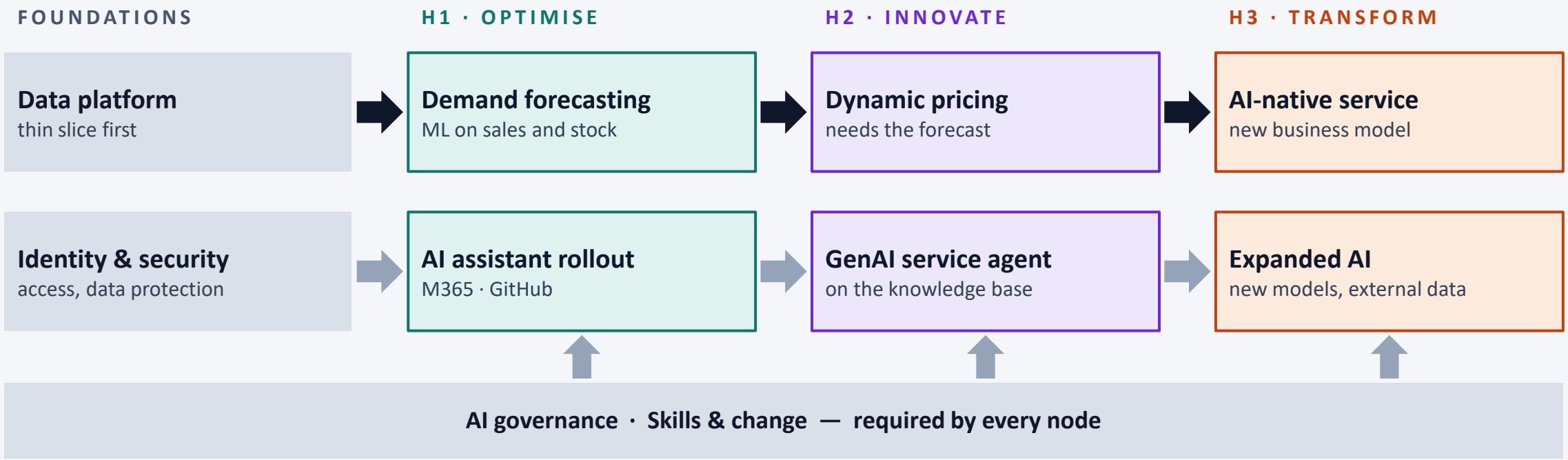
One KPI for all

Year-one ROI is demanded from H3 bets.

Focus where AI creates the most value and rewire workflows; don't spread pilots.

Source for the bottom line: McKinsey, “From adoption to impact: Three horizons of AI transformation” (July 2026).

Map what requires what



Node
An initiative, or a foundation such as data, governance, skills, identity.

Edge A → B
B requires A. Draw only hard prerequisites.

Critical path
The longest chain (dark arrows) sets the earliest date for H3 value.

Illustrative graph.

Draw the graph in four steps

01 List nodes

Every initiative and every foundation: data, governance, skills, identity.

Ask: what is missing?

02 Draw edges

Arrow only where B truly requires A. Tag each edge hard, soft or political.

Ask: would B fail without A?

03 Critical path

The longest chain of 'requires' sets the earliest date for H2 / H3 value.

Ask: what shortens it?

04 Thin-slice

Build the minimum viable foundation the first use case needs. Re-sequence.

Ask: what can start now?

A foundation with no value case attached is just a cost centre.

Fund each foundation together with its first use case.

RULE #2 · HOLD THIS ALL SESSION

Dependency claims are often excuses

“We can't do X until the data lake is finished.”

Often a way to delay, protect budget or avoid risk.

CLASSIFY EVERY CLAIM

HARD	Technical: B cannot run without A. Thin-slice A.
SOFT	Preference: easier with A, workable without it.
POLITICAL	Delay, budget or risk avoidance. Name it.

Challenge them: five questions

1. Is it hard, soft or political?
2. Can a thin slice or minimum viable foundation unblock it?
3. What would we do if the dependency didn't exist?
4. Who gains from the delay: budget, turf, risk?
5. What does waiting cost, and who owns that cost?

Source by strategic driver

DEFEND ≈ H1
Augment productivity

BUY

AI embedded in your SaaS. Fast and proven, but rivals buy it too.

EXTEND ≈ H2
Transform processes

BLEND

Foundation model + your proprietary data + an integrator. Partner where skills are thin.

UPEND ≈ H3
Disrupt markets

BUILD

The differentiating core. Or partner, take a minority stake, back a startup to buy options.

RULE OF THUMB

Build only where it differentiates and you own unique data or skills.

Over-buy and you look like your competitors. Over-build and you pay for what is being commoditised.

29%

of CIOs pursue 10+ AI projects; most manage 5+.

Source: Gartner (Andrews & Hare), “How to Decide Whether to Build, Buy or Blend Your AI Projects”, Apr 2025.

Score six factors, then decide

Factor	Score 1 → BUY	Score 3 → BLEND / PARTNER	Score 5 → BUILD
Differentiation	Commodity; rivals have it	Differentiates with our data	Core of our advantage
Proprietary data	None or generic	Some unique data	Unique data we own
Time-to-market	Needed now	Months, with a partner	Can wait to get it right
Skills available	None in-house	Partial; partner fills gaps	Strong in-house team
Regulatory / sovereignty	Vendor-certified is enough	Shared controls needed	Must keep full control
Total cost of ownership	Vendor scale is cheaper	Shared cost and risk	Cheaper to own at our scale

How to score

1. Score each factor 1–5
2. Weight what matters most
3. Average, then decide
4. Sovereignty at 5 can force build

Average ≤ 2
BUY

Average 2 – 4
BLEND / PARTNER

Average ≥ 4
BUILD

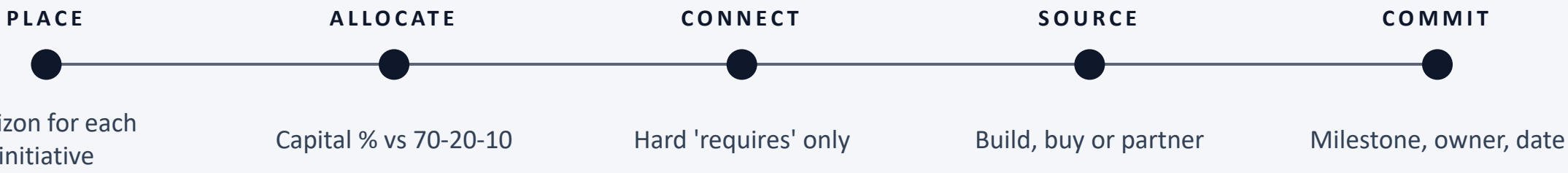
Factors adapted from Gartner (Andrews & Hare, 2025). Scoring scale and thresholds are illustrative.

One canvas sequences the portfolio

Initiative	Horizon	Capital %	Depends on	Build / Buy / Partner	First milestone
e.g. AI assistant rollout	H1	10%	Identity & security	Buy	Pilot team live in Q1
e.g. Service agent	H2	8%	Knowledge base slice	Blend	One claim type automated
e.g. New AI service	H3	5%	Customer data slice	Build + partner	Paid pilot, one city
…	…	…	…	…	…

Canvas rules

- Capital column sums to 100%
- Dependencies name a slice, not a lake
- Every row has an owner and a date



Sequencing canvas: course tool. Example rows are illustrative.

WORKSHOP CASE · FICTIONAL

Maison Lumière

Mid-size European retailer

€2B

annual revenue

€20M

AI budget to sequence

Teams of 4–5
12 minutes, one canvas each

Ten candidate initiatives

01	AI assistantrollout	**06**	Data platform modernisation
02	GenAI customer service agent	**07**	AI-native subscription styling
03	Demand forecasting ML	**08**	Supplier negotiation agent
04	Personalised marketing content	**09**	Dynamic pricing
05	Store-ops computer vision	**10**	AI governance office

Fictional teaching case. Company, figures and initiatives are illustrative.

WORKSHOP · 11 MIN OF TEAM WORK

Sequence €20M for Maison Lumière

2 min	**Place** H1, H2, H3 or foundation for each of the 10
3 min	**Allocate** Split €20M; justify any move off 70-20-10
2 min	**Connect** Draw 'requires' edges and the critical path
2 min	**Source** Build, buy or partner, scored on 6 factors
2 min	**Challenge** Is the CIO's claim hard, soft or political?

THE CIO SAYS

“No personalisation, no service agent, no pricing until the data platform is finished. That's 24 months.”

YOUR MOVE

Classify the claim. Propose a thin slice that starts value this year.

Fictional case; all figures illustrative. Model answer in the speaker notes.

DEBRIEF

Six mistakes we see every time

COMMON MISTAKE	BETTER MOVE
Calling a Copilot rollout H3	H1 productivity: track cost and time
The split happened by drift	Pick 70-20-10 or justify the deviation
Foundations with no use case	Fund each foundation with a use case
Accepting every dependency claim	Classify it, then thin-slice it
Building what is being commoditised	Build only where you differentiate
Same KPI for every horizon	H3 earns learning metrics first

KEY TAKEAWAYS

Two rules, four moves

RULE #1

An H1-dominated portfolio fails strategically: you optimise yourself into irrelevance. An H3-dominated portfolio fails financially: you burn cash with no near-term returns.

RULE #2

Dependency claims are often excuses: challenge them. Hard, soft or political? Can a thin slice unblock it? What if the dependency didn't exist?

Place

Every initiative in H1, H2 or H3

Allocate

70-20-10 by default; deviate on purpose

Connect

Hard dependencies, critical path, thin slices

Source

Buy to defend, blend to extend, build to upend

READINGS & SOURCES

Go deeper

1999

Baghai, Coley & White, The Alchemy of Growth (McKinsey)
Origin of the Three Horizons model.

2009

McKinsey, “Enduring Ideas: The three horizons of growth”
Manage all three horizons concurrently.

2012

Nagji & Tuff, “Managing Your Innovation Portfolio”, HBR, May 2012
70-20-10 allocation and the inverse return ratio.

2025

Gartner, “How to Decide Whether to Build, Buy or Blend Your AI Projects”
Andrews & Hare, April 2025. Defend / Extend / Upend and sourcing factors.

2026

McKinsey, “From adoption to impact: Three horizons of AI transformation”, Jul 2026
Only 11% in the reinvention horizon.

AI TRANSFORMATION STRATEGIES

Capital Allocation & the Investment Case for AI



By the end of today, you can...

01 Build a 3-year AI investment envelope by cost category

02 Build a 3-scenario expected-value analysis with explicit assumptions

03 Compute portfolio IRR and test it against the hurdle rate and WACC

04 Account for the opportunity cost of not investing

05 Draft a 2-page Comex investment memo

OPENING · WHY THIS MATTERS

Most AI spend is not yet creating value

5%

are “future-built”: achieving AI value at scale

35%

are scaling AI and starting to capture value

60%

report hardly any material value despite substantial investment

3.6× greater 3-year total shareholder return reported by future-built firms

>2× the AI spend future-built firms plan vs. laggards

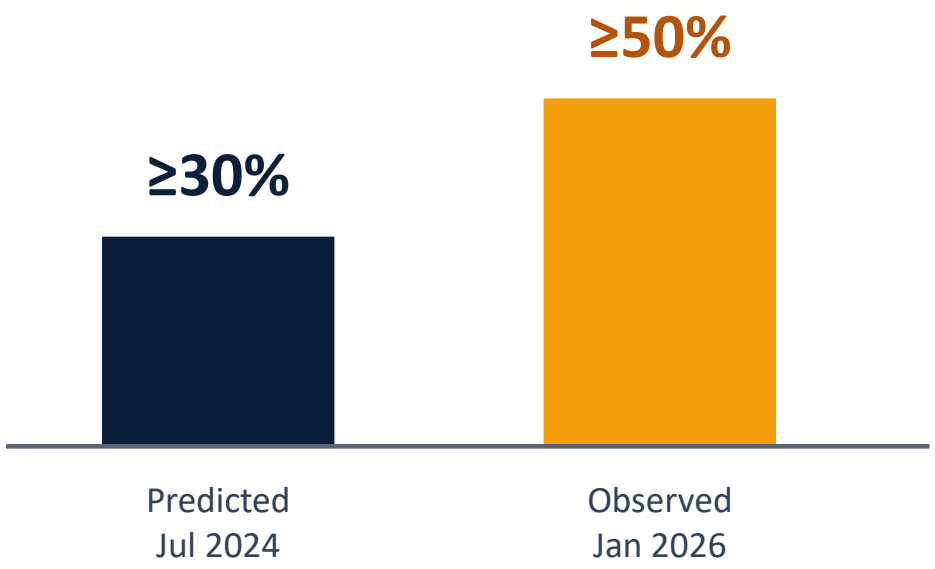
KEY TAKEAWAY **Investment alone does not create value — capital allocation discipline does.**

Source: BCG, “The Widening AI Value Gap”, September 2025 (survey of 1,250 companies).

OPENING · WHY THIS MATTERS

Many GenAI pilots never reach scale

GenAI projects abandoned after proof of concept, by end-2025



Why they stall

- Poor data quality
- Inadequate risk controls
- Escalating costs
- Unclear business value

Gartner's message: executives are impatient to see returns on GenAI — pilots without a credible business case are the first to be cut.

Sources: Gartner press release, 29 July 2024; Gartner, "Why Half of GenAI Projects Fail", January 2026.

THE GOLDEN RULE

Speak the board's language

Capital, risk, competitive advantage and timeline — never model architectures or training metrics.

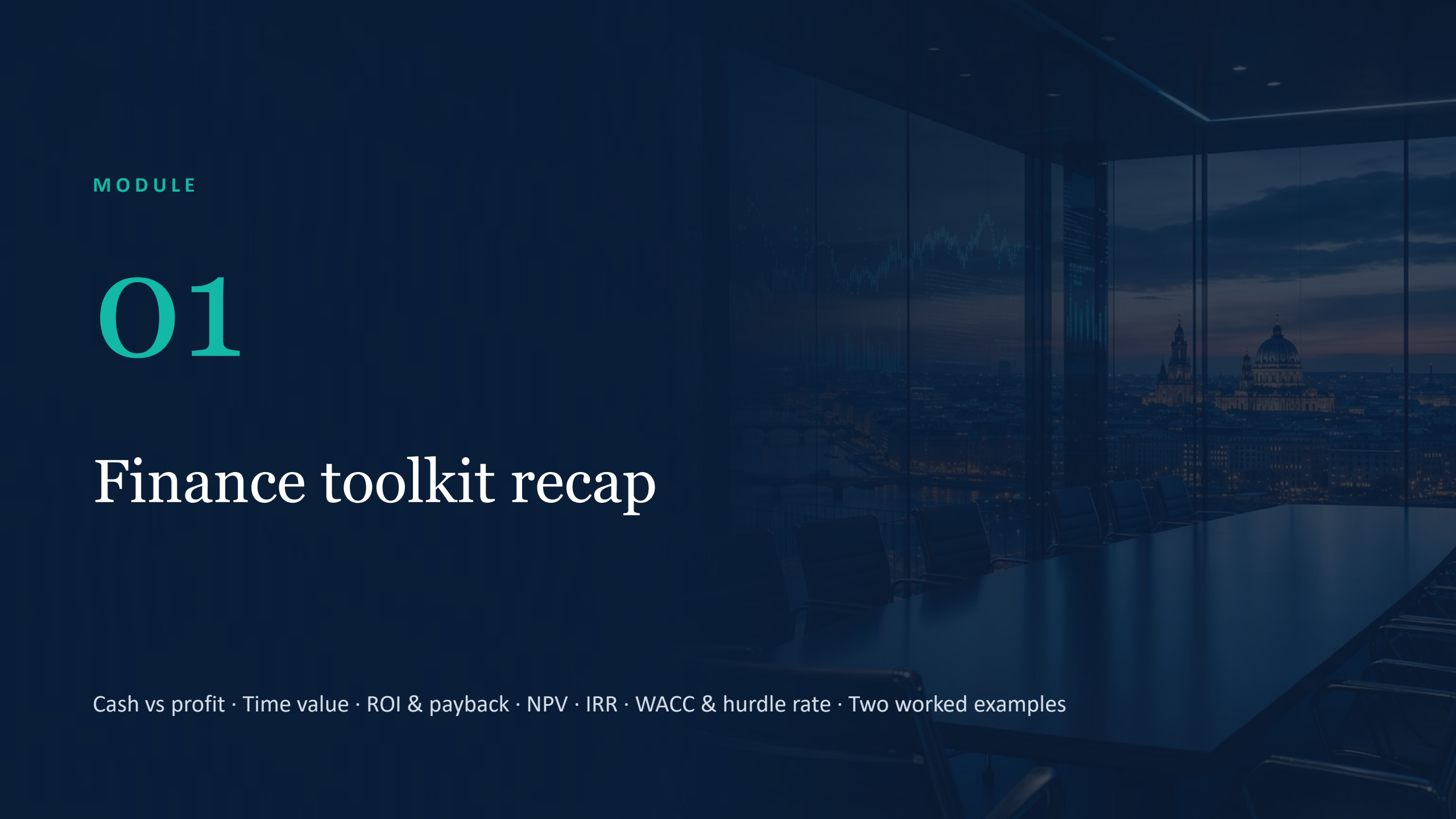
ENGINEER SAYS	BOARD HEARS
“We'll fine-tune a 70B model”	**€X capex, live in 9 months, cuts cost-to-serve 12%**
“Accuracy is 94%”	**Error rate halves; €Y avoided claims/refunds**
“We need a vector DB and GPUs”	**Platform investment that every later initiative reuses**
“The PoC worked”	**Clears the hurdle in the base case; here is the downside**

MODULE

01

Finance toolkit recap

Cash vs profit · Time value · ROI & payback · NPV · IRR · WACC & hurdle rate · Two worked examples



Reminder: Income Statement

	A	B	C	D	E	F	G	H	I	J
1	© Corporate Finance Institute. All rights reserved.		Historical Period				Forecast Period			
2	**Financial Model**		**2014**	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**
60										
61	**Income Statement**									
62										
63	**Revenue**		**118,086**	**131,345**	**142,341**	**150,772**	**165,849**	**182,434**	**200,678**	**218,739**
64	Cost of Goods Sold (COGS)		48,004	49,123	52,654	56,710	69,657	78,447	88,298	98,432
65	**Gross Profit**		**70,082**	**82,222**	**89,687**	**94,062**	**96,193**	**103,987**	**112,379**	**120,306**
66	**Expenses**									
67	Marketing, Advertising & Promotior		22,658	23,872	23,002	25,245	28,194	31,014	34,115	37,186
68	General & Administrative		10,125	10,087	11,020	11,412	15,000	15,000	15,000	15,000
69	Depreciation & Amortization		18,150	17,205	16,544	16,080	7,504	9,003	10,203	11,162
70	Interest		2,500	1,500	1,500	1,500	3,000	3,000	1,000	1,000
71	**Total Expenses**		**53,433**	**52,664**	**52,066**	**54,237**	**53,699**	**58,017**	**60,318**	**64,348**
72	**Earnings Before Tax**		**16,649**	**29,558**	**37,622**	**39,825**	**42,494**	**45,970**	**52,062**	**55,958**
73										
74	Taxes		4,858	8,483	10,908	11,598	11,898	12,872	14,577	15,668
75	**Net Earnings**		**11,791**	**21,075**	**26,713**	**28,227**	**30,596**	**33,099**	**37,484**	**40,290**
76										

Sales of products and/or services

Cost necessary to produce what is sold such as raw material, labor, freight, …

Other costs not directly linked to the goods production

Central costs, building, executive packages….

Non cash expense representing lifecycle of assets or IP

Debt cost

Tax cost

EBIT = 72 - 70

Representative of the company operating performance excluding financing but including non cash expense

EBITDA = 72 – 70 - 69

Representative of the company cash flow from operations

MODULE 1 · CASH VS PROFIT

Cash pays the bills, not profit

From EBITDA to free cash flow

EBITDA

− Cash taxes paid

− Capex, incl. capitalised AI

− Change in working capital

= Free cash flow

Capex vs opex

Capex is capitalised and depreciated; opex hits the P&L now. Cloud AI shifts spend to opex.

D&A is non-cash

Depreciation and amortisation reduce profit, not cash: add them back.

Capitalising AI development

Development-phase software costs may be capitalised (IAS 38); research costs are expensed.

The tax shield

D&A lowers taxable profit: shield = D&A × tax rate (e.g. €4M × 25% = €1M).

KEY TAKEAWAY **Appraise AI on free cash flow, not EBITDA — timing and tax both matter.**

A euro today has more value than a euro tomorrow - inflation

$$PV = CF(t) \div (1 + r)^t$$

Present value of €100 at r = 10%



Why discounting bites in AI cases

- Costs land early: platform, data and integration in Year 1.
- Benefits land late: adoption ramps in Years 3–5.
- At 10%, €100 three years out is worth €75.1 today.
- So sequence quick wins early to pull value forward.

ROI and payback: simple, but blind

ROI = (Total benefits – Total costs) ÷ Total costs

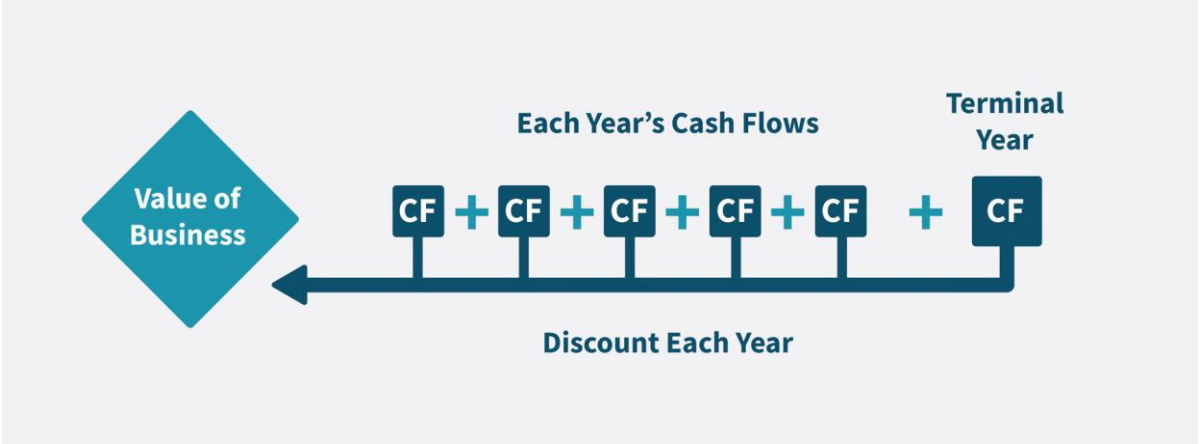
Strength
One intuitive ratio the whole Comex understands.
Limit
Ignores timing: €60M in year 1 or year 10 looks the same. No risk, no scale.

Payback = time until cumulative cash flow turns positive

Strength
Speaks to liquidity and risk appetite.
Limit
Ignores cash after payback. Use discounted payback (cumulative PV) to add time value.

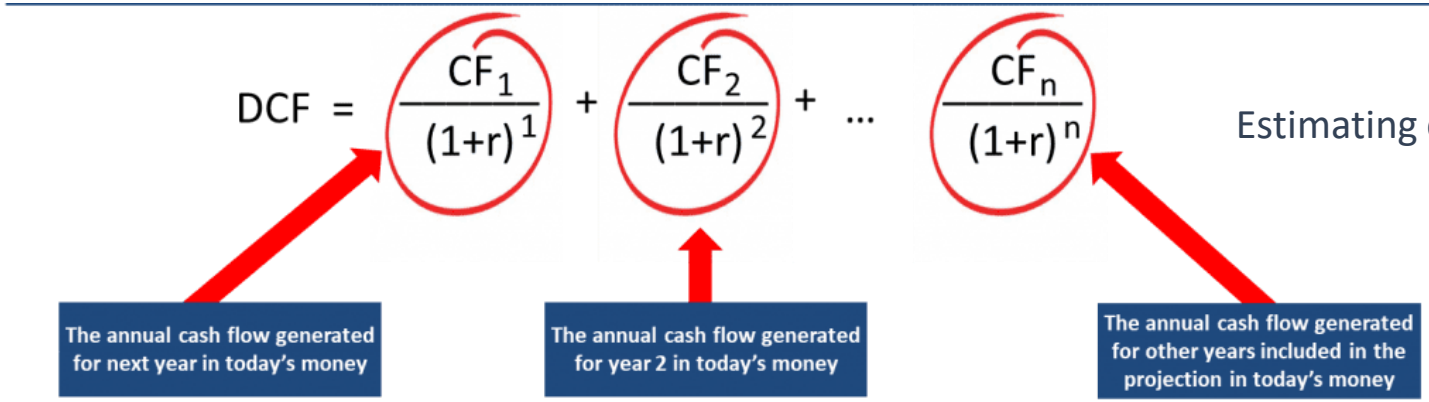
KEY TAKEAWAY **Use ROI and payback to communicate — decide on NPV.**

Discounted Cash Flow



Discounted cash flow analysis is the process of estimating the value of a company or investment based on the money, or cash flows, it's expected to generate in the future.

Discounted cash flow analysis calculates the present value of future cash flows based on the discount rate and time period of analysis.



Estimating cash flow is heavily based on assumptions

NPV: the value created today

$$NPV = \Sigma \left(CF(t) \div (1 + r)^t \right) - I_0 = DCF - I_0$$

NPV > 0
Accept: the project earns more than the cost of capital and creates value.

NPV < 0
Reject: investors could earn more elsewhere at the same risk.

Choosing between projects
Rank mutually exclusive options by NPV, not by IRR or ROI.

Why NPV wins: it uses every cash flow, their timing and their risk — and NPVs add up across a portfolio.

WACC, CoE and the hurdle rate

WACC = Weighted Average Cost of Capital
What the firm's capital costs, blended

$$WACC = E/V \cdot Ke + D/V \cdot Kd \cdot (1 - t)$$

CoE = Cost of Equity
The return that shareholders require for investing in a company's equity

$$Ke = Rf + \beta\,(Rm - Rf)$$

Hurdle = The bar an AI project must clear
WACC + risk / strategic premium

Risk / strategic premium is defined by management on a case basis

Why AI carries a premium

- Execution and adoption risk: value depends on people changing how they work.
- Fast model obsolescence and vendor lock-in.
- Data and integration uncertainty.
- Regulatory exposure (e.g. EU AI Act).

Typical practice: +2 to +6 pts over WACC, set by Finance.

IRR: the break-even discount rate

Find r such that Σ CF(t) ÷ (1 + r)^t – I0 = 0

Three ways to find it

1. Trial and error: try rates until NPV ≈ 0.
2. Interpolate: NPV@20% ≈ +1.0, NPV@21% ≈ −1.0 → IRR ≈ 20.5%.
3. Excel: =IRR(range of cash flows).

Accept if IRR > hurdle rate.

Pitfalls

- Non-conventional cash flows (signs change twice) can give multiple IRRs.
- Scale: 50% on €1M can create less value than 20% on €100M.
- Mutually exclusive projects: rank on NPV.

IRR assumes all interim cash flow can be re-invested at IRR itself which is rarely the case over time

Introducing **MIRR** – Modified IRR that assumes that

- Cash outflows are financed at a specified financing rate (often the company's cost of capital).
- Cash inflows are reinvested at a specified reinvestment rate (often the company's WACC).
  - MIRR=(FV(positive cash flows) / PV(negative cash flows))^(1/n) − 1
- FV = Future value of positive cash flows compounded at the reinvestment rate
- PV = Present value of negative cash flows discounted at the finance rate

MODULE 1 · WORKED EXAMPLE 1

One €100M project, step by step

Year	Cash flow	Cumulative	DF @10%	PV	Cumulative PV
0	−100.0	−100.0	1.000	−100.0	−100.0
1	30.0	−70.0	0.909	27.3	−72.7
2	40.0	−30.0	0.826	33.1	−39.7
3	50.0	+20.0	0.751	37.6	−2.1
4	40.0	+60.0	0.683	27.3	+25.2

ROI ?
Payback ?
Discounted payback ?
NPV ?

€M. DF = 1 ÷ 1.10^t; figures rounded. NPV > 0 and IRR (20.5%) > 10%: accept.

MODULE 1 · WORKED EXAMPLE 1

One €100M project, step by step

Year	Cash flow	Cumulative	DF @10%	PV	Cumulative PV
0	−100.0	−100.0	1.000	−100.0	−100.0
1	30.0	−70.0	0.909	27.3	−72.7
2	40.0	−30.0	0.826	33.1	−39.7
3	50.0	+20.0	0.751	37.6	−2.1
4	40.0	+60.0	0.683	27.3	+25.2

ROI = 60 ÷ 100 = 60%
Payback = 2 + 30 ÷ 50 = 2.6 yrs
Discounted payback ≈ 3.1 yrs
NPV = 125.2 − 100 = €25.2M

60%
ROI

2.6 yrs
Payback

€25.2M
NPV @ 10%

20.5%
IRR

€M. DF = 1 ÷ 1.10^t; figures rounded. NPV > 0 and IRR (20.5%) > 10%: accept.

YOUR TURN

Quick quiz

5 MIN · PAIRS

Three questions. Show your working — answers in plenary.

Q1 A project costs €50M and returns €20M a year for 3 years. What is its ROI — and why might it still destroy value at 10%?

Q2 Project A: IRR 35% on €2M. Project B: IRR 18% on €40M. The hurdle is 13%. Which do you prefer, and what do you need to know?

Q3 Why should an AI programme be tested against a hurdle rate above WACC — and what is the risk of setting it too high?

MODULE 1 · EXCEL CHEAT SHEET

Five functions for every investment case

Function	Syntax	Watch out
=NPV	=NPV(rate, CF1:CFn) + CF0	Add the t0 outlay outside
=IRR	=IRR(CF0:CFn)	Needs a sign change
=XIRR	=XIRR(values, dates)	For irregular dates
=MIRR	=MIRR(values, fin, reinv)	Reinvest at cost of capital
=SUMPRODUCT	=SUMPRODUCT(p, CF)	Probabilities sum to 100%

Tip

One row per year, one column per scenario: the EV is then one SUMPRODUCT per year.

MODULE

02

The three-year investment envelope

Six cost categories · Hidden costs · Helios Group envelope · Mix by year · Your envelope

MODULE 2 · COST CATEGORIES

Six cost categories make the envelope

Platform

Cloud GPUs, inference tokens and infrastructure to train, host and run models, software

Talent

AI engineers, data scientists and product owners, plus upskilling the wider workforce.

Integration

Connecting to ERP, CRM and core systems; workflow redesign and change management.

Model ops

MLOps / LLMOps: monitoring, evaluation, retraining and run support in production.

Data acquisition

Data preparation, labelling, third-party licensing and data pipelines.

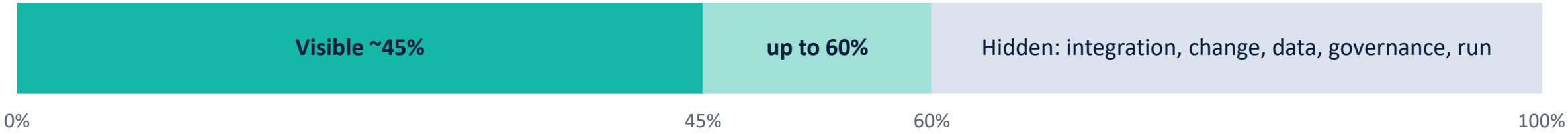
Governance

Responsible AI, risk and compliance (e.g. EU AI Act), audit and security.

MODULE 2 · HIDDEN COSTS

The costs you don't see coming

True AI total cost of ownership (TCO) = 100%

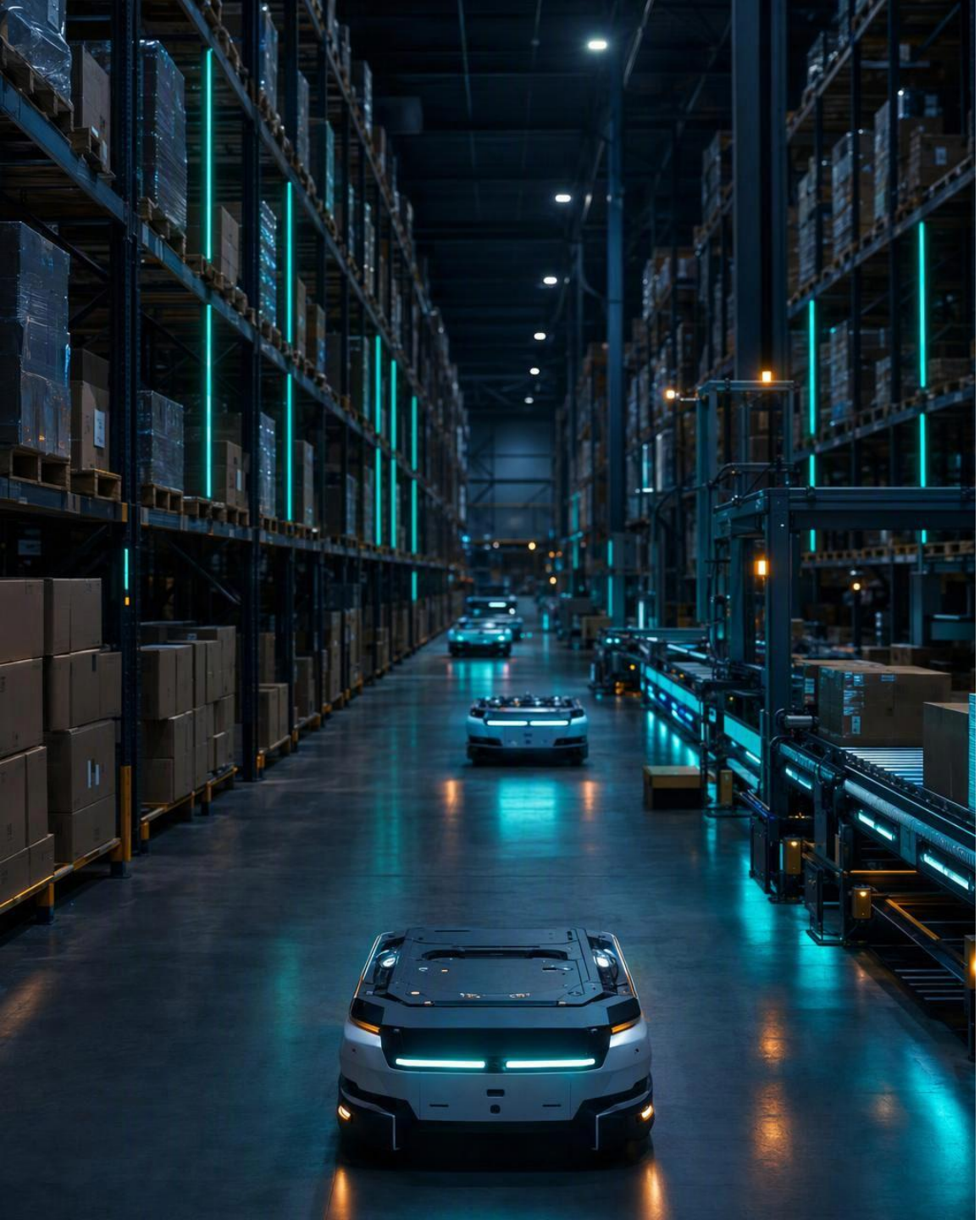


45–60%
of true TCO is the visible part: licences, compute, development labour

7–12%
of AI budgets go to governance in governance-mature organisations

25–35%
of year-1 TCO is often integration with core systems and workflows

Industry estimates from practitioner TCO analyses; ranges are indicative, not audited benchmarks.



MODULE 2 · THE CASE

Meet Helios Group

Fictional European mid-cap retailer and distributor · ~€2bn revenue

AI portfolio: four use cases

1. Customer-service agents
2. Demand forecasting
3. Procurement AI assistant
4. Marketing content

All figures are fictional and pre-computed for teaching. Units: € millions.

A €52M three-year envelope

Category (€M)	Y1	Y2	Y3	Total	% of total
Compute	6.0	3.5	3.0	12.5	24%
Talent	4.0	5.0	4.5	13.5	26%
Integration	5.0	3.0	1.5	9.5	18%
Model ops	1.0	2.5	3.5	7.0	13%
Data acquisition	3.0	1.5	1.0	5.5	11%
Governance	1.0	1.5	1.5	4.0	8%
TOTAL	20.0	17.0	15.0	52.0	100%

€52.0M
Total three-year envelope

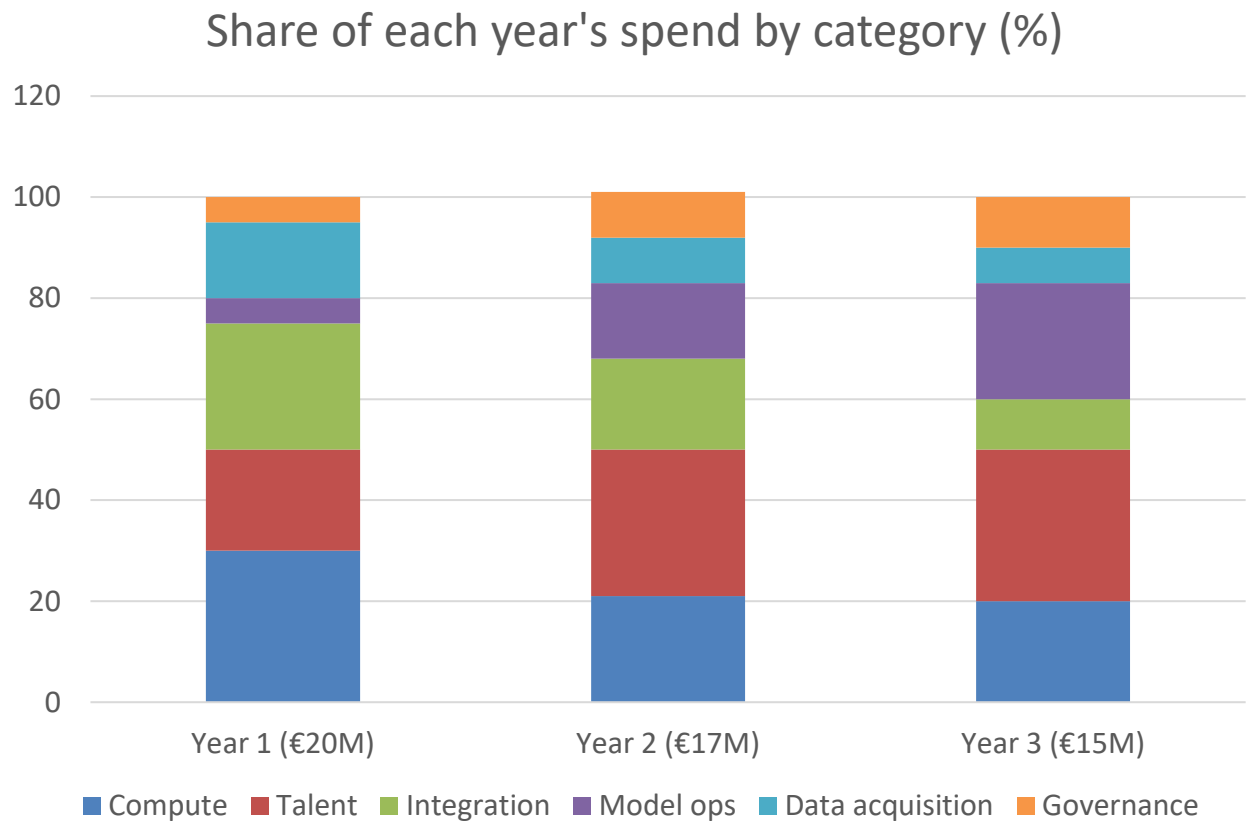
€20.0M
Year 1: the largest tranche

26%
Talent: the largest category

Helios Group is fictional; € millions. Percentages rounded.

MODULE 2 · MIX BY YEAR

Spend mix shifts from build to run



100% stacked: share of each year's Helios spend by category (%). Compute 30 → 20; model ops 5 → 23.

MODULE 2 · WHAT DOMINATES WHEN

Build, then scale, then run

Year 1 · Build

70%

Compute + integration + data

Infrastructure-heavy: platform, connectors, data pipelines.

Year 2 · Scale

29%

Talent leads

Product teams, change management and upskilling drive adoption.

Year 3 · Run

53%

Talent + model ops

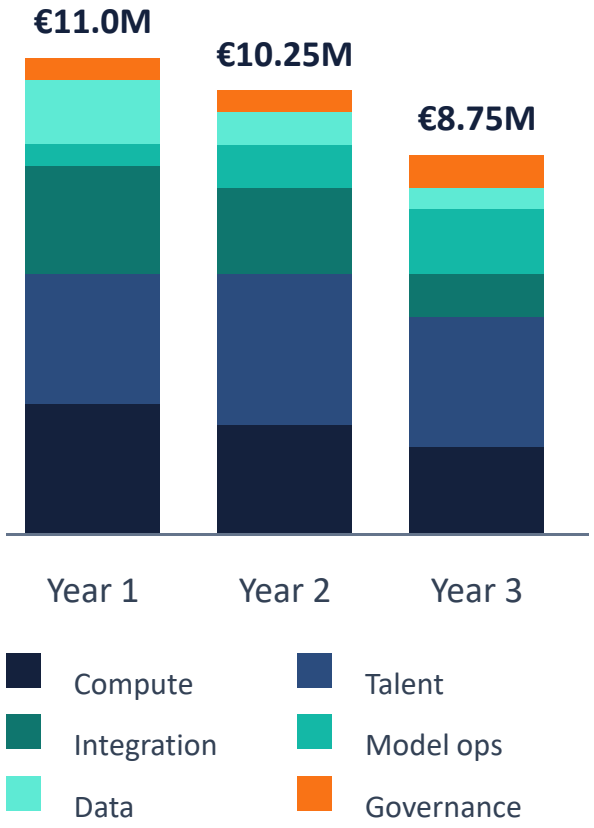
Model ops (23%) overtakes compute (20%); governance reaches 10%.

KEY TAKEAWAY

AI shifts from capex-like build to opex-like run: budget model ops and governance from day 1.

MaisonRetail: a €30.0M three-year envelope

€M	Y1	Y2	Y3	Total
Compute	3.0	2.5	2.0	7.5
Talent	3.0	3.5	3.0	9.5
Integration	2.5	2.0	1.0	5.5
Model ops	0.5	1.0	1.5	3.0
Data acquisition	1.5	0.75	0.5	2.75
Governance	0.5	0.5	0.75	1.75
TOTAL	11.0	10.25	8.75	30.0



MaisonRetail is a fictional mid-sized retailer (~€2bn revenue) built for teaching; all figures are illustrative.

Cost traps the CFO will spot

$5M–$20M

GenAI deployment approaches

$750k–$1M

upfront to embed GenAI APIs in custom apps

+ up to $1,200 per user per year

$8M–$20M

upfront to build custom models from scratch

Model the run-rate, not just the build

Some early AI projects saw cost surges driven by adoption, while unit costs are falling (LLM → SLM shifts).

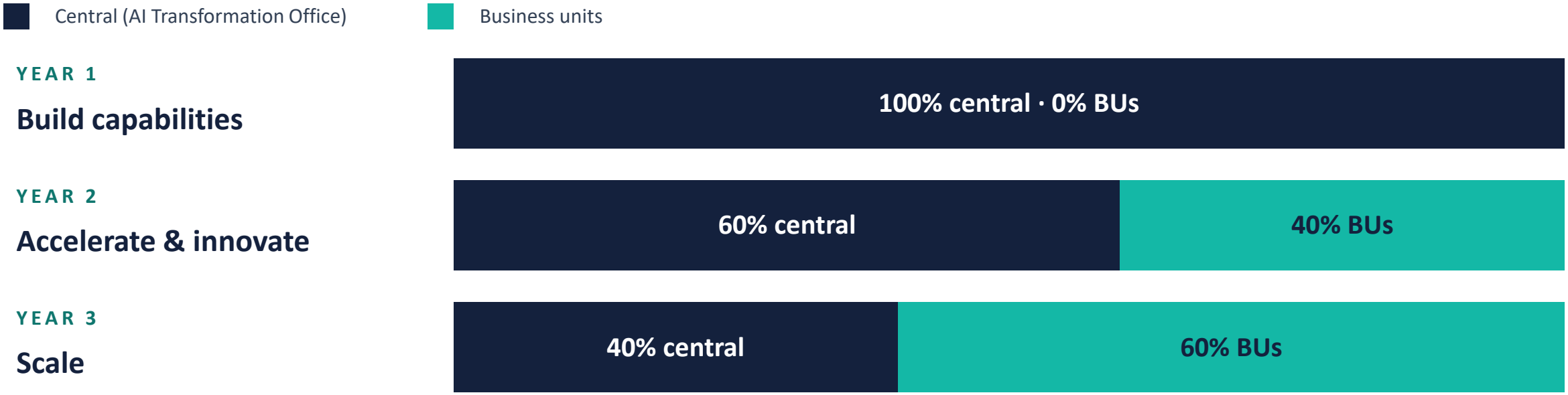
Use FinOps discipline

- Tag every euro of compute to a use case
- Track unit cost per transaction or user
- Review run-rate vs plan every month

Sources: Gartner press release (29 July 2024); Microsoft, The AI Transformation Office white paper (Dubarry, Chaniot, Joni, 2025).

MODULE 2 · FUNDING MODEL

Who pays? Funding with skin in the game



Why keep 40% central in year 3? It preserves a decisive seat at the table and funds disruptive bets.

Source: Microsoft, The AI Transformation Office white paper (Dubarry, Chaniot, Joni, 2025).

MODULE 2 · PORTFOLIO LINK

Linking the envelope to the portfolio



H1 · EFFICIENCY

€21M

70% of the envelope — cost-out and productivity on today's business

H2 · AUGMENTATION

€6M

20% — augment decisions and revenue in existing lines

H3 · NEW BUSINESS MODEL

€3M

10% — options on an AI-native business model

REMINDER

An H1-dominated portfolio fails strategically; an H3-dominated portfolio fails financially.

Deviate from 70-20-10 only with an explicit justification.

MODULE

03

Scenario EV & the hurdle-rate test

Three explicit scenarios · Five-year cash flows · Portfolio EV and IRR · Hurdle test · Cost of inaction · Pitfalls

Why three scenarios

A single-point forecast hides risk.

1. Make every assumption explicit
2. Assign probabilities that sum to 100%
3. Lead with the worst case — the board will ask for it first

DOWNSIDE

Slow adoption, value delayed

BASE

The plan delivered as designed

UPSIDE

Fast adoption plus an H2 revenue lift

MaisonRetail scenario assumptions

Benefits €M	Y1	Y2	Y3	Y4	Y5
Downside · 30%	0.5	2.5	5	7	8
Base · 50%	1	5	10	14	16
Upside · 20%	1.5	8	15	21	24

Costs €M	Y1	Y2	Y3	Y4	Y5
All scenarios	11.0	10.25	8.75	2.0	2.0

Same costs, different benefits: the risk sits on the value side.

DOWNSIDE · p = 30%

Slow adoption, value delayed

BASE · p = 50%

Plan delivered

UPSIDE · p = 20%

Fast adoption + H2 revenue lift

MaisonRetail is a fictional teaching case; all figures are illustrative (€M).

Net cash flows by scenario

€M	Y1	Y2	Y3	Y4	Y5	Cumulative
Downside	−10.5	−7.75	−3.75	5.0	6.0	−11.0
Base	−10.0	−5.25	1.25	12.0	14.0	+12.0
Upside	−9.5	−2.25	6.25	19.0	22.0	+35.5
Probability-weighted EV	−10.05	−5.4	0.75	11.3	13.2	+9.8

CUMULATIVE NET CASH, Y1–Y5 (€M)



MaisonRetail fictional teaching case; net cash flow = benefits − costs (€M).

Expected NPV: positive but thin

$$ENPV = \Sigma\ p \times NPV$$

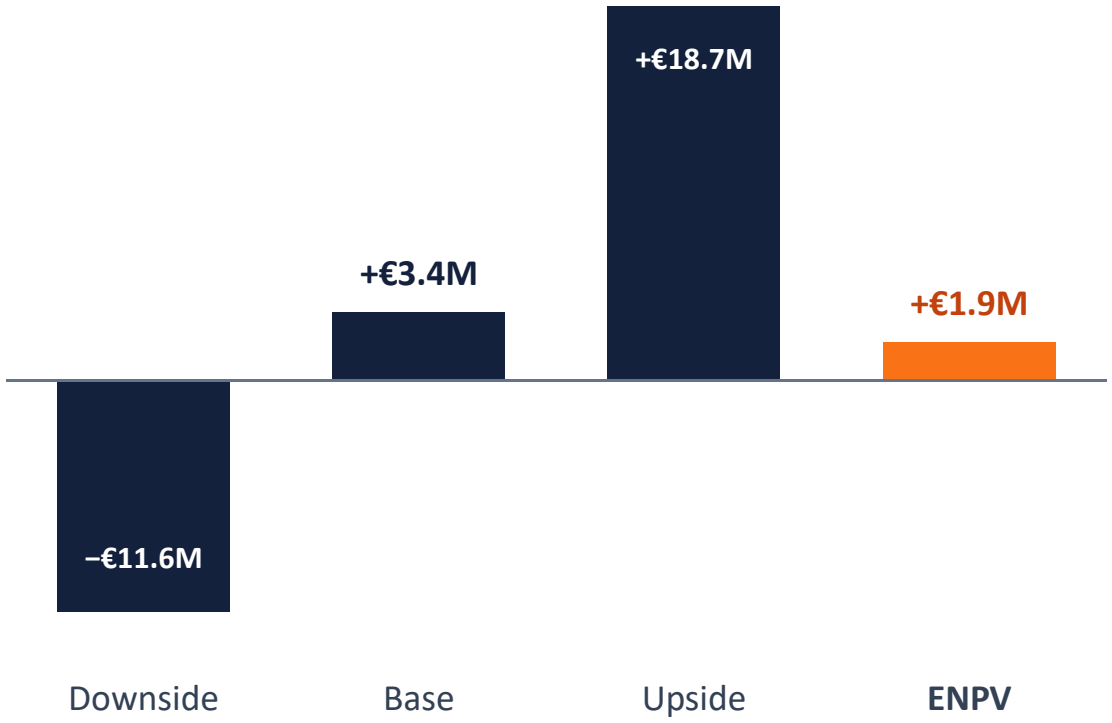
summed over the three scenarios

$$0.3 \times (-11.64) + 0.5 \times 3.35 + 0.2 \times 18.73$$

$$= +€1.9M$$

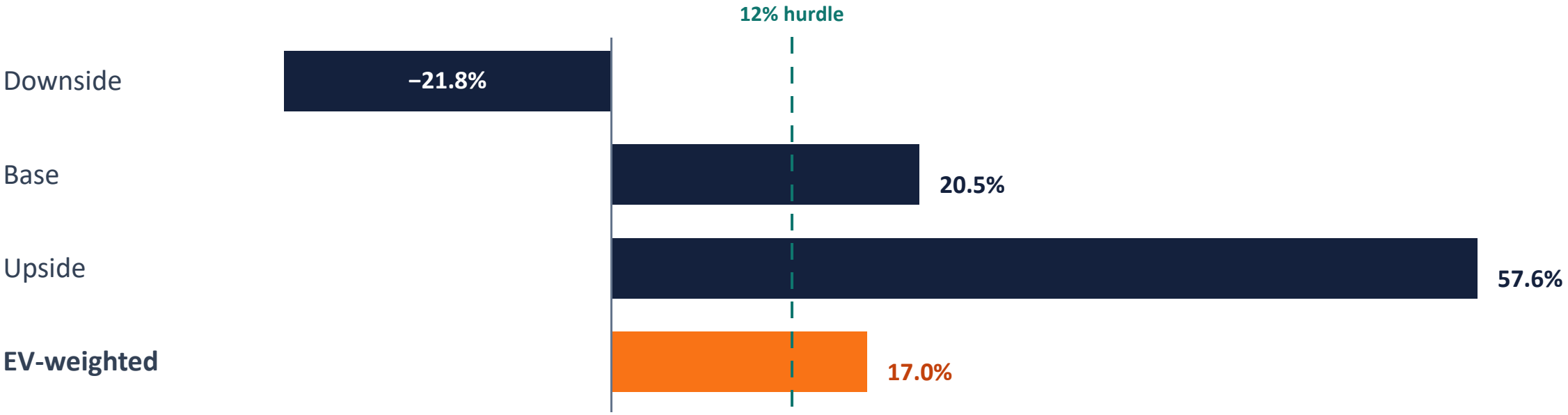
Positive but thin: the downside is material.

NPV @ 12% HURDLE BY SCENARIO



MaisonRetail fictional teaching case; NPV at a 12% hurdle over 5 years, no terminal value.

Portfolio IRR by scenario

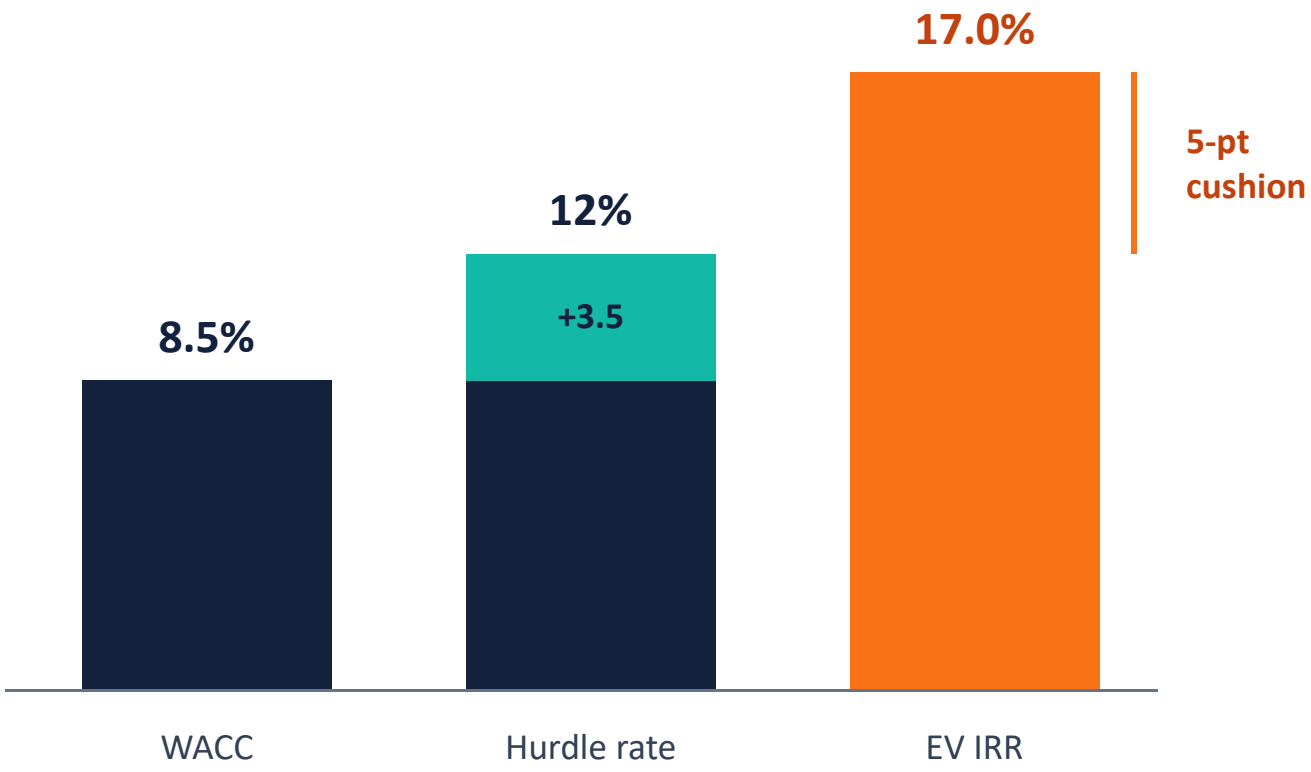


Conservative by design
5-year horizon, no terminal value

IRR pitfalls: multiple IRRs, scale blindness
Always show NPV alongside IRR

MaisonRetail fictional teaching case; 5-year horizon, no terminal value.

Hurdle rate vs WACC: does it clear?



WACC 8.5% + risk premium 3.5% = 12% hurdle
Why a premium? Novelty, execution risk and a history of pilot purgatory.

✓ Clears: EV IRR 17.0% > 12%
A 5-point cushion above the hurdle

NPV at WACC (8.5%): +€3.7M
vs ENPV +€1.9M at the 12% hurdle

MaisonRetail fictional teaching case; WACC and premium are illustrative assumptions.

MODULE 3 · OPPORTUNITY COST

Doing nothing has a cost too

€M	Y1	Y2	Y3	Y4	Y5	PV @12%
Competitor catch-up	0.0	−0.5	−1,0	−2,0	−3,0	−4,1
Talent exit	0.0	−0.5	−1,0	−1,0	−1,0	−2,3
Regulatory exposure	0.0	0.0	−0.5	−1.0	−1.0	−1,6
Total “do nothing”	0.0	−1	−2,5	−4	−5	−8.0

−€8.0M

PV of the decaying status quo @12%

What each line means and how to estimate it

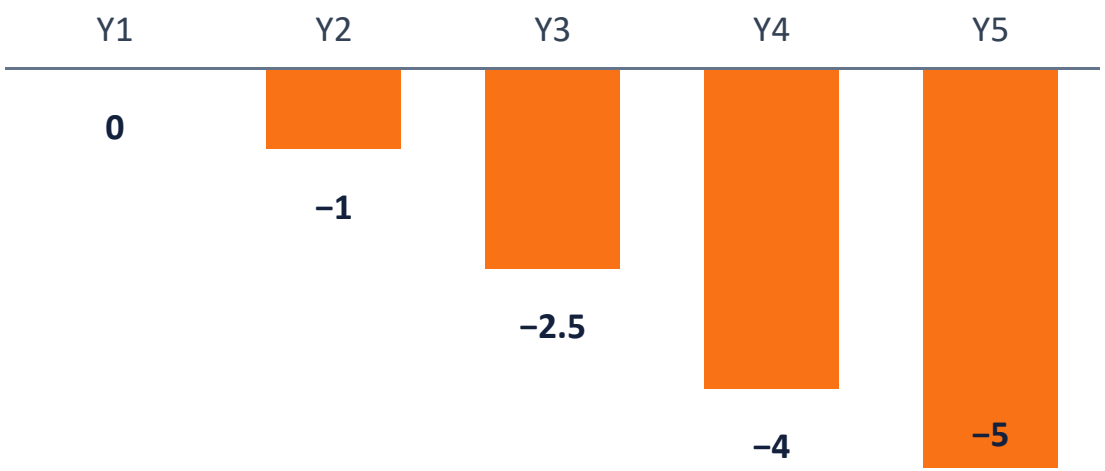
- Competitor catch-up: margin and share erosion = share points at risk × margin × revenue.
- Talent exit: attrition and rehiring of digital talent = extra attrition × cost to replace.
- Regulatory exposure: unmanaged shadow AI and non-compliance = probability × impact.

Inaction costs are held as negative terms in the “do nothing” EV. Illustrative estimates.

MODULE 3 · COST OF INACTION

The opportunity cost of NOT investing

DO-NOTHING EROSION (€M)



A negative term in the EV

- Competitor catch-up (margin erosion)
- Talent exit
- Regulatory exposure

ENPV INCL. AVOIDED LOSSES

+€9.9M

from +€1.9M

IRR INCL. AVOIDED LOSSES

35.6%

from 17.0%

NPV of doing nothing: –€8.0M @ 12%

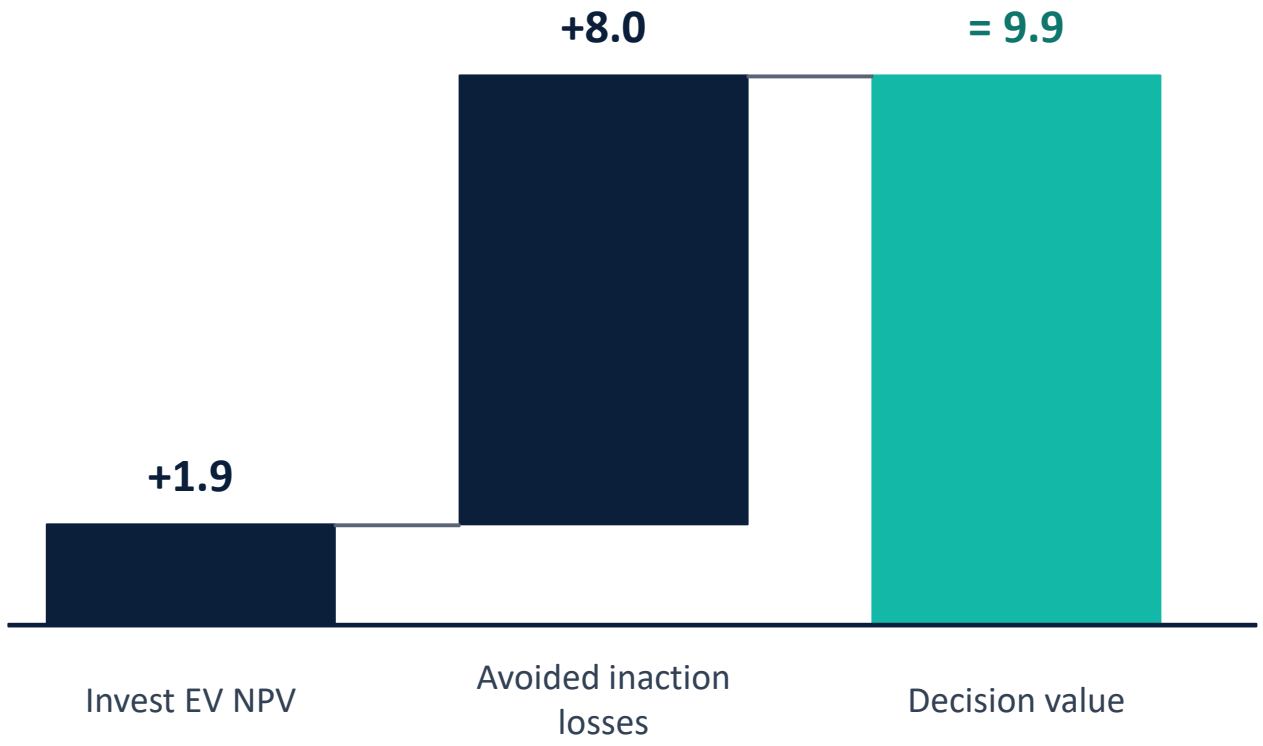
Warning: be explicit and defensible — boards discount hand-waved “strategic” value.

MaisonRetail fictional teaching case; do-nothing erosion is an illustrative assumption, discounted at 12%.

MODULE 3 · DECISION DELTA

Invest vs. a decaying status quo

Decision value bridge (€M, PV @12%)



+€9.9M
Incremental NPV @12%

32.7%
Incremental IRR

KEY TAKEAWAY

Not investing is not free: compare invest vs. a decaying status quo, not vs. zero.

MODULE 3 · SANITY CHECK

Sanity-check your numbers against benchmarks

IDC

<8 months

average time to deploy AI; value realised within ~13 months; avg $3.70 per $1

GARTNER

+15.8%

revenue increase for early GenAI adopters, plus 15.2% cost savings and 22.6% productivity improvement

MICROSOFT ATO

20–30%

productivity gain for packaged AI in functions (developers, call centres, consultants) — rule of thumb

BCG

5x / 3x

revenue increases and cost reductions from AI at future-built firms vs others

CAVEAT

Vendor-sponsored and survey data → use as ranges and stress-test your case.

Sources: IDC, 2024 Business Opportunity of AI (sponsored by Microsoft, Nov 2024); Gartner survey of early GenAI adopters (2024); Microsoft, The AI Transformation Office white paper (2025); BCG, The Widening AI Value Gap (Sept 2025).

MODULE 3 · PITFALLS

Five ways investment cases mislead

	PITFALL	WHAT IT LOOKS LIKE	THE FIX
1	**Double-counting benefits**	Two use cases claim the same hours saved or revenue.	**One benefits register, reconciled by Finance.**
2	**Optimistic adoption curves**	80% adoption in month 3; no ramp, no resistance.	**S-curve ramp, benchmarked on pilots.**
3	**Ignoring run costs**	The envelope stops at go-live; no model ops or governance.	**Budget run costs (Helios: €6M/yr).**
4	**Using WACC alone**	Risky AI judged at 9% like a warehouse upgrade.	**Test at the hurdle: WACC + premium.**
5	**Sandbagging the downside**	A “downside” that still clears the hurdle.	**Real downside: delay, partial scale, overrun.**

MODULE 2 · QUICK EXERCISE

Your turn: re-weight the scenarios

10 MIN · PAIRS

Change the probabilities to 50% downside / 40% base / 10% upside.

Scenario	NPV @12%	p today	p exercise
Downside	−€11.6M	30%	50%
Base	+€3.4M	50%	40%
Upside	+€18.7M	20%	10%

New ENPV = ?

Show your working, then decide

1. Does MaisonRetail still clear the hurdle?
2. What would you cut or stage-gate?

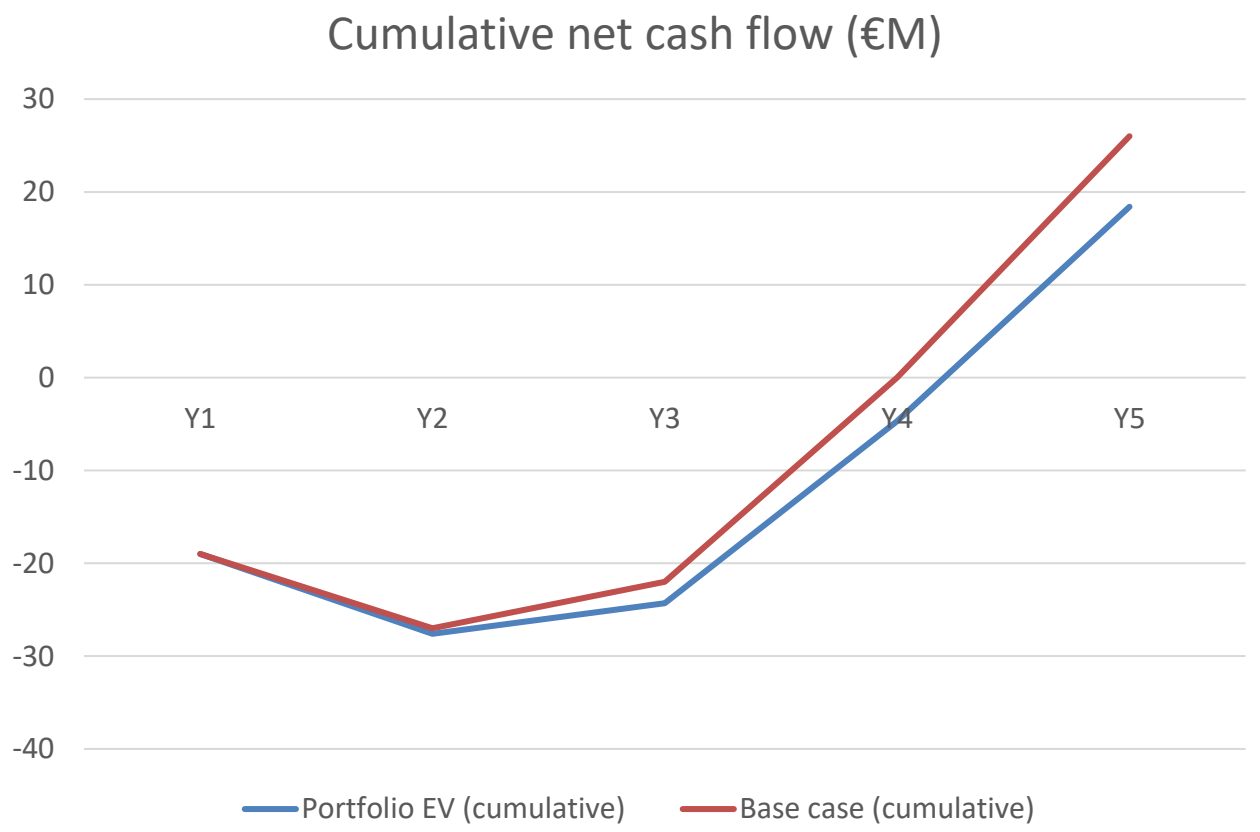
MODULE

04

Capital-deployment sequence & the Comex memo

The J-curve · Surviving the dip · Gate-based release · The 2-page memo · Helios example · Drafting in groups

Value dips before it climbs

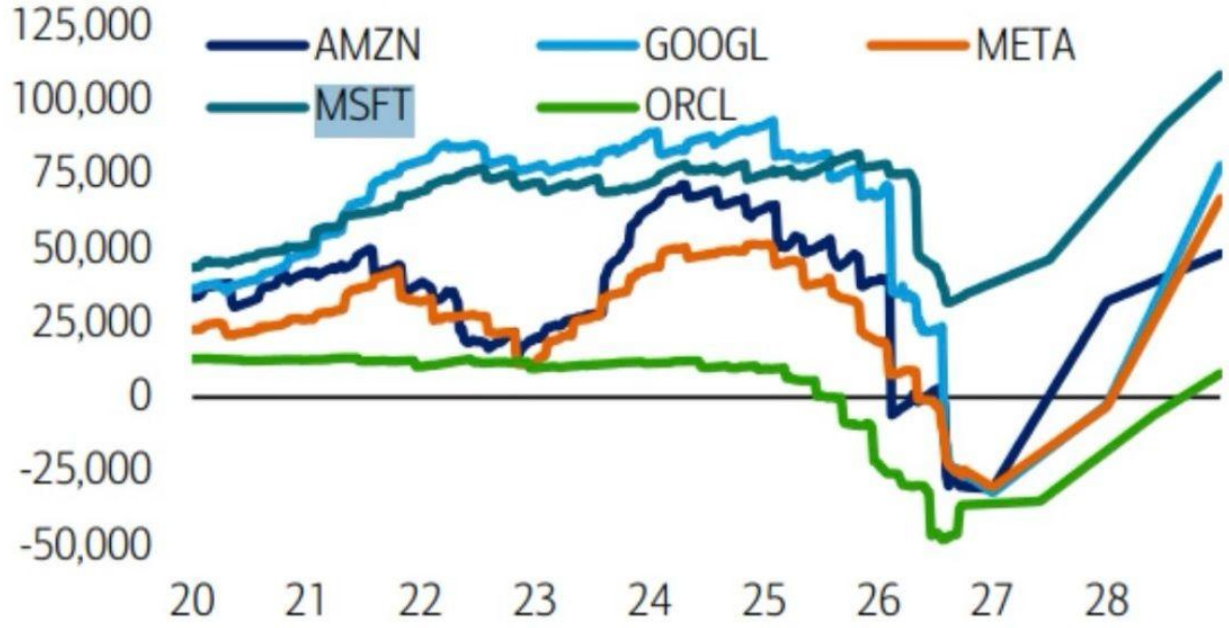


Cumulative net cash flow, €M. EV trough −27.6 (Y2); EV +18.4 by Y5; base breaks even in Y4.

It relates to AI investments by hyperscalers

Exhibit 19: Microsoft is the only hyperscaler not forecast to dip into negative free cash territory over the next twelve months

Hyperscalers' NTM free cash flow estimates (by company), from 1/1/2020 to 12/31/2028 (as of 10/7/26)



Source: BofA US Equity & Quant Strategy, FactSet

BofA GLOBAL RESEARCH

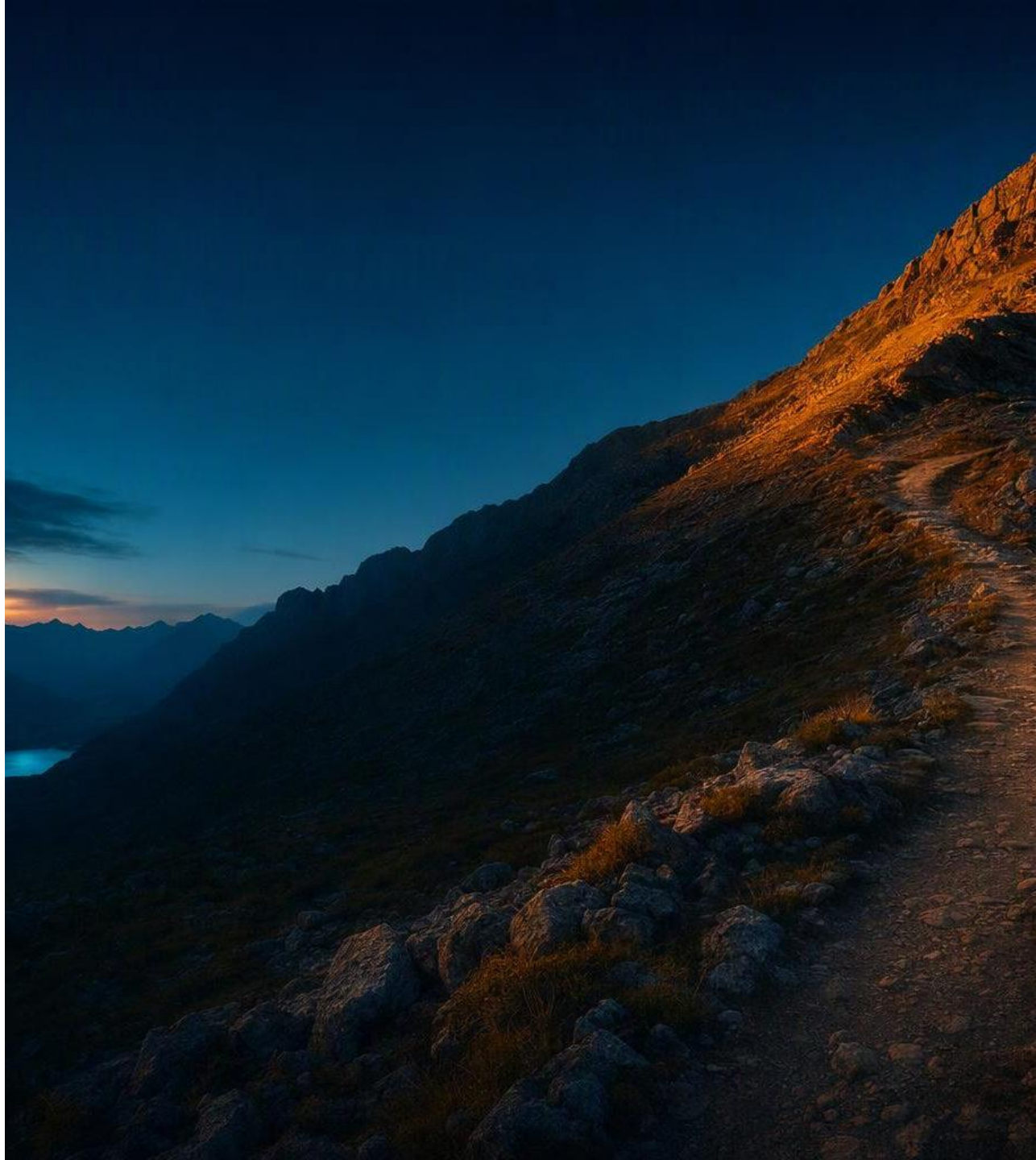
MODULE 4 · THE PRODUCTIVITY J-CURVE

Value arrives late

General-purpose technologies like AI need large complementary intangible investments — process redesign, new skills, data — that are poorly measured.

Early	Costs are visible; the intangible asset being built is not.
Later	Intangibles are harvested: measured productivity catches up.
Risk	Year 1 over-spends on infrastructure; impatience kills value in Y2–3.

Source: Brynjolfsson, Rock & Syverson, “The Productivity J-Curve”, AEJ: Macroeconomics 13(1), 2021, 333–72.



MODULE 4 · PROTECTING THE CASE

Impatience kills transformations

Executives are impatient for returns while value is hard to prove.

FOUR REFLEXES

1. Fund H1 quick wins that show P&L in year 1
2. Release capital in stage-gated tranches
3. Monthly ROI dashboard for CEO, Exec & Board on the most capital-intensive projects
4. Pre-agree kill criteria before you start



Six ways to survive the J-curve

Fund in tranches. Prove with leading indicators. Reinvest the gains.

1 **Stage-gates with kill / scale criteria**
Each gate has explicit thresholds to stop or scale.

2 **Leading before lagging indicators**
Track adoption, cycle time and quality before EBIT moves.

3 **Quick wins funded in Year 1**
Ship one or two fast-payback use cases to buy patience.

4 **A ring-fenced 3-year envelope**
Commit the envelope; release it annually against gates.

5 **Benefits owned by the business P&L**
Business leaders sign the benefits; Finance tracks them.

6 **Reinvest realised gains**
Recycle savings into the next wave of use cases.

MODULE 3 · YEAR-1/2/3 SPENDING PROFILE

Milestones a CEO can hold you to

YEAR 1 SPEND

€11.0M

12 MONTHS

- Data platform live
- 3 H1 use cases in production
- Baseline KPIs measured

YEAR 2 SPEND

€10.25M

24 MONTHS

- H1 scaled across BUs
- H2 augmentation pilots generating revenue
- BU co-funding at 40%

YEAR 3 SPEND

€8.75M

36 MONTHS

- Run-rate benefits ≥ run-rate cost
- H3 option tested
- BUs fund 60%

MaisonRetail fictional teaching case; spend = annual envelope from Module 1.

MODULE 3 · STAGE-GATED CAPITAL

Release capital only on evidence

TEST → SCALE → DEMOCRATIZE

GATE QUESTIONS PER TRANCHE

- ✓ Right data?
- ✓ Delivering expected ROI?
- ✓ Easy to scale?

VALUE-REALISATION DISCIPLINE

01 Baseline KPIs before you build

02 Map each use case to P&L levers

03 Track the same KPIs post-deployment

04 Report benefits in financial terms

05 Governance board reviews monthly / quarterly

Sources: Microsoft, The AI Transformation Office white paper (2025); Microsoft, Business Value Realization for Agentic AI Transformation framework.

MODULE 4 · HELIOS EXAMPLE

Helios memo, page 1 (example)

THESIS

Approve a €52M, 3-year AI envelope for four use cases. The portfolio clears our 13% hurdle on expected value (IRR 17.8%), and waiting would cost an estimated €16.7M in PV.

PORTFOLIO

Customer-service agents, demand forecasting, procurement AI assistant and marketing content — each with a named business owner accountable for benefits.

ENVELOPE

€20M / €17M / €15M in Years 1–3. Talent 26%, compute 24%, integration 18%, model ops 13%, data 11%, governance 8%. Run cost €6M a year from Year 4.

SCENARIOS

Downside (30%): IRR −31.9%, NPV −€27.3M. Base (50%): IRR 24.5%, NPV +€9.0M. Upside (20%): IRR 57.2%, NPV +€36.7M. EV benefits €82.35M over five years.

Helios memo, page 2 (example)

HURDLE CLEARANCE

EV IRR 17.8% vs a 13% hurdle (WACC 9% + 4-pt AI premium): clears both, with 4.8 pts of headroom. NPV +€3.7M at 13%, +€7.3M at 9%.

OPPORTUNITY COST

Doing nothing is not free: competitor catch-up, talent exit and regulatory exposure cost €16.7M in PV. Decision value +€20.4M; incremental IRR 38.7%.

RISKS

The downside is deep (IRR −31.9%). Mitigations: gate-based release, kill criteria per use case, benefits tracked in business P&Ls, governance funded from Year 1.

ASK

Approve the €52M 3-year envelope. Release €20M for Year 1 now. Release Years 2–3 at Gate 1 (end of Year 1) and Gate 2 (mid-Year 2: run-rate benefits ≥ €8M).



MODULE

05

Investment-case practice & wrap-up

Extend your one-pager · Deliverable checklist · Grading rubric · Key takeaways · References

MODULE 5 · PRACTICE

Practice: build your investment case

Same mid-sized-retailer case — extend your portfolio one-pager into:

1. **The 3-year envelope by cost category**
2. **Three scenarios with explicit assumptions & probabilities**
3. **Portfolio IRR and ENPV**
4. **Hurdle-rate test vs WACC + premium, incl. cost of inaction**

Output: one slide + 5 bullets of the Comex memo

15 min build → then peer challenge	**5 min**



Board questions you must be ready for

1	**What is the worst case?**	Downside NPV, its probability, and what you would do
2	**What kills it — and when do we stop?**	Pre-agreed kill criteria at each tranche gate
3	**What does the competitor do if we don't?**	The cost of inaction, quantified
4	**Why this envelope and not half?**	What half would cut: horizons, timing, value
5	**When do we break even?**	The J-curve: trough, then break-even year
6	**Who in the business co-funds?**	BU share by year: skin in the game

WRAP-UP

Key takeaways

01

Envelope by 6 categories

Compute, talent, integration, model ops, data, governance

02

Three-scenario EV

Explicit assumptions and probabilities; ENPV = Σ p × NPV

03

IRR vs hurdle

Hurdle = WACC + premium (8.5% + 3.5% = 12%); always show NPV too

04

Cost of inaction

A negative term in the EV — explicit and defensible

05

J-curve & stage-gates

Quick wins, tranches released on evidence, pre-agreed kill criteria

06

The 2-page Comex memo

Thesis → portfolio → envelope → scenarios → hurdle → risks → the ask

REFERENCES

Sources & further reading

BCG
“The Widening AI Value Gap”, Build for the Future 2025 (Sept 2025)

Gartner
Press release: 30% of GenAI projects will be abandoned after PoC by end of 2025 (29 July 2024)

IDC
“2024 Business Opportunity of AI”, sponsored by Microsoft (Nov 2024)

Brynjolfsson, Rock & Syverson
“The Productivity J-Curve”, American Economic Journal: Macroeconomics 13(1), 2021

Microsoft
“The AI Transformation Office” white paper (Dubarry, Chaniot, Joni, 2025)

Microsoft
“Business Value Realization for Agentic AI Transformation” framework

Microsoft
2025 Work Trend Index: “The Year the Frontier Firm Is Born”

Forrester
Total Economic Impact™ of Microsoft 365 Copilot (March 2025)

AI TRANSFORMATION STRATEGIES

Questions & discussion

Not investing is not free. Allocate with discipline.



Landing the Change

Change management for AI transformation



TODAY

Today's agenda

00

Why change decides value

01

What makes AI different

02

The four failure modes

03

Stakeholders & cadence

04

Training & kill criteria

05

Practice: change plan

LEARNING OUTCOMES

By the end of today you can…

a **Diagnose the failure modes**

Spot the four failure modes early and pair each with a mitigation

b **Map stakeholders & cadence**

Place the four stakeholder classes and set who hears what, how often, from whom

c **Design training tiers**

Build the 3-tier programme: all-employee literacy, practitioner deep-dive, executive coaching

d **Write kill criteria**

Define explicit, pre-agreed conditions that retire a failed initiative

SYLLABUS

“Design a change-management plan that addresses the four canonical failure modes, with stakeholder mapping, communication cadence, training tiers, and kill criteria.”

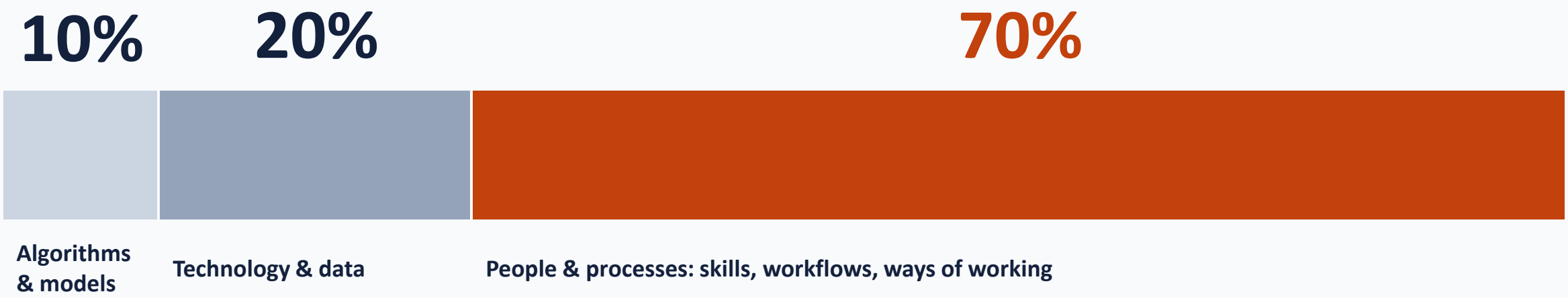
YOUR DELIVERABLE

A 3-page change-management plan, appended to your investment case

THE HOOK

Technology is the easy 30%

Where AI value comes from, across BCG case work with hundreds of companies



Budget the 70%: training, process redesign and communication are the project, not an add-on.

Source: BCG, “AI Transformation Is a Workforce Transformation” (Feb 2026), drawing on BCG case work with hundreds of companies; the 10-20-70 split was first set out in BCG, “Five Rules for Fixing AI in Business” (Feb 2022).

THE EVIDENCE

People decide whether AI pays back

7×

more likely to meet objectives with excellent change management than with poor

88% of projects with excellent change management met or exceeded objectives, vs 13% with poor

95%

of organisations get zero return from GenAI, despite $30–40bn of enterprise spend

≥30%

of GenAI projects predicted to be abandoned after proof of concept by end-2025

39%

of people using AI at work had received AI training from their company

Sources: Prosci, Best Practices in Change Management benchmarking; MIT NANDA, The GenAI Divide: State of AI in Business 2025 (July 2025); Gartner press release (29 July 2024); Microsoft & LinkedIn, 2024 Work Trend Index (31,000 people, 31 countries).

MODULE 1

01

What makes AI change different



Four forces an ERP roll-out never faced

52%

Fear for the job

of Americans are more concerned than excited about AI's growing role in daily life

→ State the redeployment promise before launch

78%

Bottom-up pressure

of AI users bring their own AI tools to work: adoption starts before your programme does

→ Govern shadow AI; don't just ban it

6 → 1

A faster clock

months: how often AI roadmaps at tech companies now refresh, down from six

→ Re-plan quarterly, not yearly

Art. 4

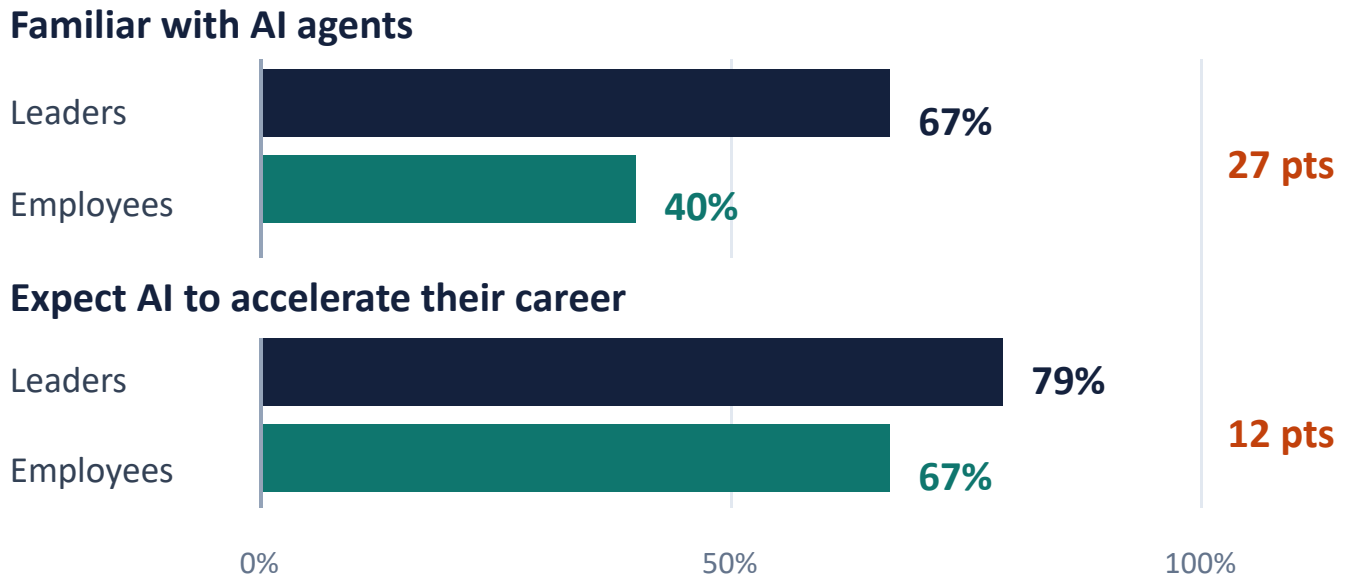
Law & social dialogue

EU AI Act AI-literacy duty since 2 Feb 2025; in France, the works council (CSE) must be consulted

→ Put consultation on the critical path

Sources: Pew Research Center (2023) and the pace of AI roadmaps, both as cited in Dubarry, Chaniot & Joni, The AI Transformation Office (Microsoft white paper, 2025); Microsoft & LinkedIn, 2024 Work Trend Index; European Commission, AI Act Art. 4 (in force 2 Feb 2025).

Leaders and the floor are out of sync



% of respondents agreeing, leaders vs employees. Gap in points shown at right.

3×

Employees already use gen AI three times more than their leaders expect

48%

of employees rank training as the #1 factor for gen AI adoption; nearly half feel under-supported

Sources: Microsoft, 2025 Work Trend Index — “The Year the Frontier Firm Is Born” (31,000 workers, 31 countries); McKinsey, Superagency in the Workplace (Jan 2025).

Two lenses: the organisation and the person

KOTTER · LEADING THE ORGANISATION

1. Create a sense of urgency
2. Build a guiding coalition
3. Form a strategic vision
4. Enlist a volunteer army
5. Enable action by removing barriers
6. Generate short-term wins
7. Sustain acceleration
8. Institute change

ADKAR · LEADING THE INDIVIDUAL

A — **Awareness**
Why are we changing?

D — **Desire**
What's in it for me?

K — **Knowledge**
How do I do it?

A — **Ability**
Can I do it in my real work?

R — **Reinforcement**
Will it stick?

Sources: J. P. Kotter, Leading Change (1996) and Accelerate (2014); Prosci ADKAR® model (J. Hiatt).

ADKAR applied to an AI roll-out

Stage	The employee asks	AI-specific lever	Signal to watch
Awareness	Why AI, and why now?	CEO story tied to a business outcome	Can teams say the “why” in one line?
Desire	What's in it for me? Is my job safe?	Manager-led WIIFM + redeployment promise	Opt-in rate; tone of questions
Knowledge	How do I use it well and safely?	Role-based training + AI-literacy basics	Training completion by role
Ability	Can I use it in my real work?	Practice in the flow of work + champions	Weekly use on priority use cases
Reinforcement	Will anyone notice?	Recognition, updated objectives, public wins	Use still rising after 90 days

SPONSORSHIP EFFECT

79% vs 27%

of projects met objectives with extremely effective vs extremely ineffective sponsors

Diagnose the first stuck stage: more training (Knowledge) cannot fix a missing Desire.

Sidebar source: Prosci sponsorship research, as presented by Prosci ANZ (“The ROI of Change”, PMI Sydney).

Win the waiting third

How a workforce typically splits when a transformation is announced

1/3	1/3	1/3
Ready to change	**Waiting to see**	**Resistant**
Recruit them as champions: early access, a voice, visible credit	Show them peers' wins, fast: this is where adoption is won or lost	Listen and remove real risks; don't over-invest in converting them early

For AI Transformation, the narrative has evolved sometimes from “change management” to “change enablement”: the job is to help people adapt, not to manage them.

MODULE 2

02

The four failure modes



Four ways an AI transformation fails

1 Talent flight

Key AI talent and early adopters leave for firms that let them build.

Early warning: rising attrition in AI roles

2 Middle-management sabotage

No open revolt: pilots get rescheduled and the old process keeps running.

Early warning: usage stalls in specific teams

3 Governance lag

Rules, risk and social dialogue trail deployment: shadow AI or a freeze.

Early warning: shadow AI, legal or CSE backlog

4 Comex impatience

Costs land before value; the Comex pulls the plug before year-2 payback.

Early warning: budget re-opened before month 12

Failure mode 1: talent flight

WHAT IT LOOKS LIKE

Scarce AI builders and keen early adopters leave for employers that give them tools, training and real problems to solve.

WHY IT HAPPENS

AI talent is hard to hire and keep; rigid HR grids and slow tool access push it out — and 66% of leaders say they won't hire without AI skills.

MITIGATE

- AI career paths and pay bands, agreed with the CHRO
- Put the best people on H2/H3 bets, not ticket queues
- Protected learning time and upskilling for everyone

4×

more likely: “future-built” firms run structured AI-learning programmes with protected learning time

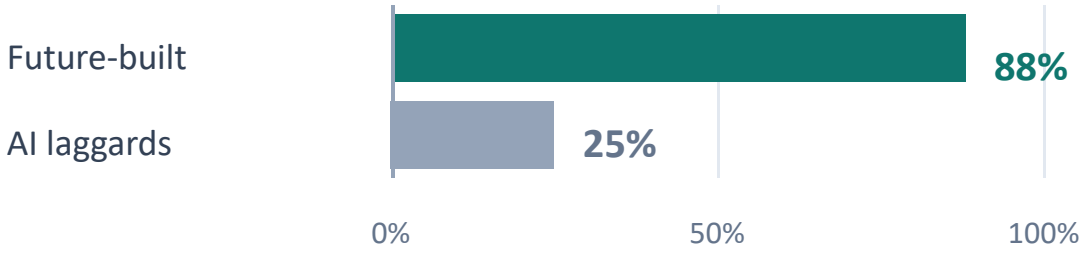
>50%

of staff they plan to upskill on AI (laggards: 20%)

Sources: BCG, AI Transformation Is a Workforce Transformation (Feb 2026); Microsoft & LinkedIn, 2024 Work Trend Index; Dubarry, Chaniot & Joni, The AI Transformation Office (Microsoft, 2025).

Failure mode 2: middle-management sabotage

Managers who role-model AI use and build it into daily decisions



+30 pts

trust in agentic AI when managers model its use

86%

of managers struggle to get their team using AI

WHAT IT LOOKS LIKE

- Pilots “rescheduled” around busy weeks
- Old checks kept, so the work is done twice
- Team KPIs dip while learning — and get defended

MITIGATE

- Co-design the new workflow with managers
- Relax targets during the learning dip
- Give managers a toolkit and a WIIFM script
- Make them the messenger, not the audience

Sources: BCG, Build for the Future x AI 2025 Global Study (n=1,250), in “AI Transformation Is a Workforce Transformation” (Feb 2026); Microsoft, “What we've learned from Microsoft's own AI transformation” (Sept 2026); Gartner survey of 1,973 managers (July 2025).

Failure mode 3: governance lag

CASE · WORKS COUNCIL (CSE) v. AN INSURER · TRIBUNAL JUDICIAIRE DE NANTERRE



25 JAN 2024	17 JUN 2024	26 SEP 2024	19 NOV 2024	14 FEB 2025
Management presents a roll-out of new AI tools	The CSE goes to court to force a consultation	Consultation formally opened; pilots already running	The CSE asks the court for more documents	**Judge suspends five AI tools until consultation ends**

WHY IT MATTERS

The judge held that a pilot used by all the staff concerned is a first roll-out, not an experiment: €1,000 per breach for 90 days, plus €5,000 damages to the CSE.

MITIGATE

- AI council and acceptable-use policy first
- Risk-tier use cases; fast lane for low risk
- Consult the CSE early: it is on the critical path
- AI-literacy training (EU AI Act, Art. 4)

Source: Tribunal judiciaire de Nanterre, ordonnance de référé, 14 Feb 2025, RG 24/01457 (CSE v. an insurance and provident company).

Failure mode 4: Comex impatience



> *"Executives are impatient to see returns on GenAI investments."*
>
> Rita Sallam, Gartner (July 2024)

MITIGATE

- Pre-agree 12-, 24- and 36-month milestones in the Comex memo
- Report leading indicators monthly: usage → behaviour → value
- Bank a visible quick win before month 6
- Release capital in stage gates; agree kill criteria upfront

Sources: Gartner press release (29 July 2024); milestones from the MaisonRetail teaching case (Capital Allocation session, illustrative); the J-curve: Brynjolfsson, Rock & Syverson (2021).

MODULE 2 · CHEAT SHEET

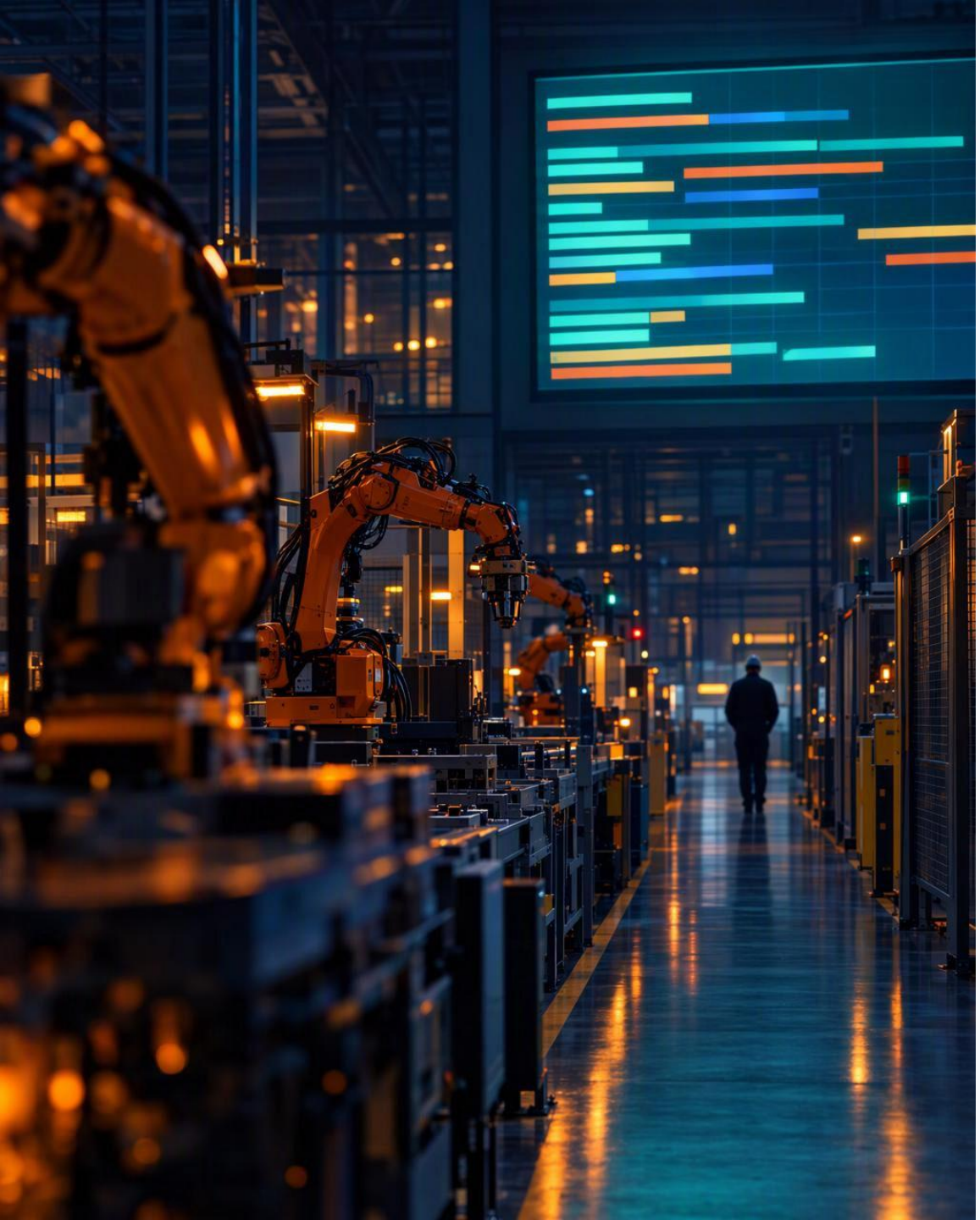
One signal and one owner per failure mode

Failure mode	Early-warning signal	Mitigation	Owner
Talent flight	Attrition or declined offers in AI roles	AI career paths, retention terms, meaningful H2/H3 work	CHRO + Chief AI Officer
Middle-management sabotage	Usage stalls in specific teams	Co-design, target relief during the dip, manager toolkit	BU heads + HR
Governance lag	Shadow AI; legal or CSE backlog	AI council, risk tiers, early CSE consultation, AI literacy	General Counsel + CHRO
Comex impatience	Budget re-opened before month 12	Milestones, leading indicators, quick wins, stage gates	CFO + CEO sponsor

OWNERSHIP TEST

Ask each owner: which signal do you check every week — and what do you do when it turns red?

Rule: every failure mode in your plan needs a signal visible by month 3 and a named owner.



MODULE 2 · CASE · 10 MIN IN PAIRS

Diagnose the plant

THE FACTS

- Industrial firm; AI scheduling tool live for 9 months
- Factory-floor adoption: 12%
- Plant supervisors route work around the tool
- Comex receives a 40-page steering deck every month
- Floor staff received one launch e-mail

YOUR TASK

1. Which failure mode(s) are at work — and what's the evidence?
2. Which ADKAR stage is stuck, for supervisors and for operators?
3. Write three 90-day actions, each with an owner and a signal.

Debrief: sabotage plus a backwards cadence

Middle-management sabotage

Supervisors route work around the tool: it takes over the scheduling decisions that give them control.

ADKAR: supervisors are stuck at Desire

Cadence set up backwards

Forty pages a month go to the Comex; the floor got one e-mail and never heard why, or how.

ADKAR: operators are stuck at Awareness and Knowledge

90-DAY RESPONSE

1. **Supervisors co-design the scheduling rules; targets relaxed for one quarter**
   Owner: plant manager
2. **Weekly 15-min floor huddles led by supervisors, two champions per shift**
   Owner: operations excellence lead
3. **Swap the 40-page deck for a one-page monthly dashboard**
   Owner: Chief AI Officer
4. **Kill criterion: below 40% floor adoption at month 12 → redesign or retire**
   Owner: COO

MODULE 3

03

Stakeholders & communication cadence

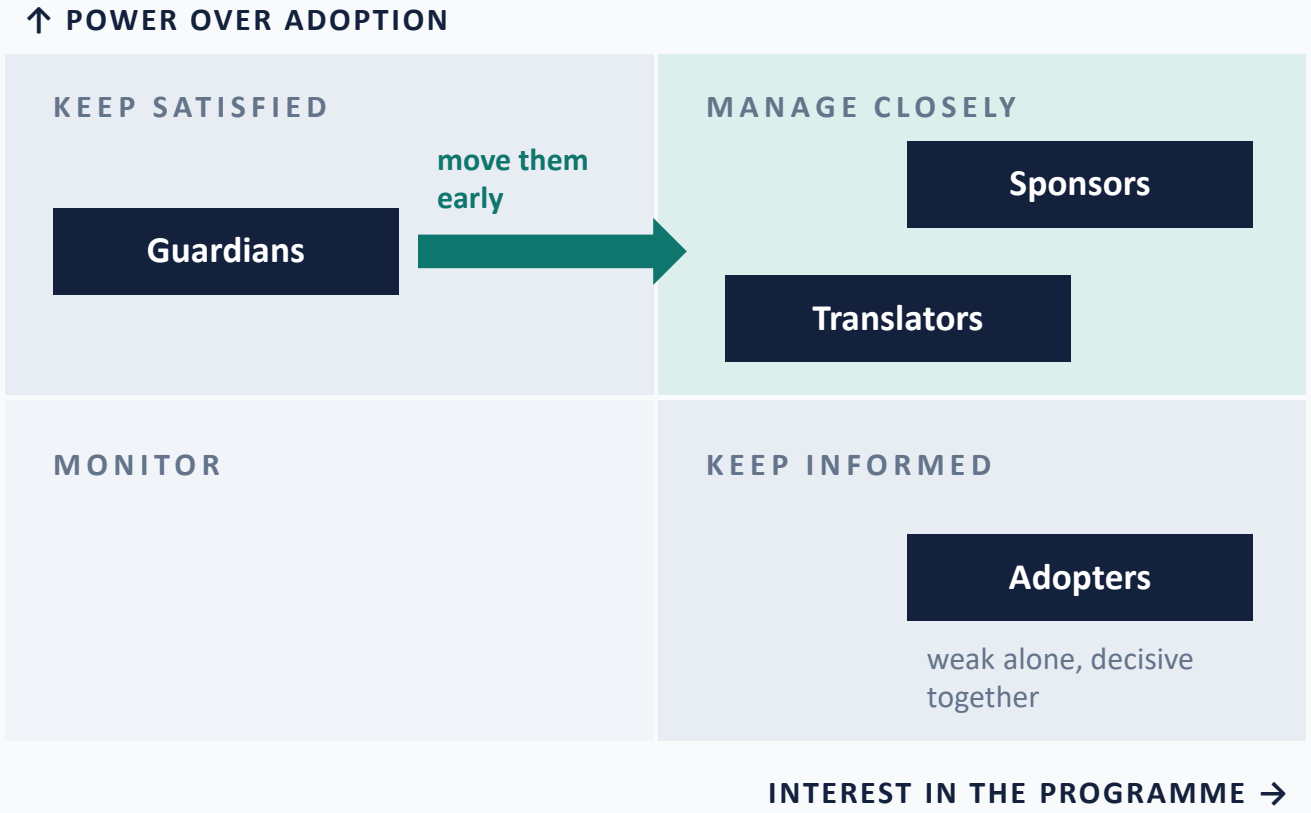


Four stakeholder classes

	WHAT THEY WANT	WHAT THEY FEAR	WHAT THEY NEED FROM YOU
Sponsors Comex, board, BU heads	Value on the P&L and a story for the board	A sunk cost and a public failure	A one-page dashboard, milestones, early wins
Translators Middle managers, team leads	Hit this quarter's targets	Losing control, status and headcount	Co-design, target relief, a toolkit
Adopters Front-line employees: “the floor”	Less drudgery, more interesting work	Job loss, being judged, looking slow	Training, time to practise, a clear promise
Guardians Works council (CSE), legal, risk, DPO	Compliance, fairness, no surprises	Unlawful or unsafe use; a bypassed process	Early consultation, documentation, literacy

MODULE 3 · INFLUENCE GRID

Map influence before you plan messages



1 Guardians sit top-left until something goes wrong: move them to “manage closely” before the pilot.

2 Translators hold more power over adoption than the org chart suggests.

3 Adopters are weak one by one but decisive together: involve them, don't just inform them.

Grid: power/interest stakeholder matrix (after Mendelow, 1991); placement is the course's default for an AI programme — adapt it to your company.

Cadence is usually set up backwards

Stakeholder	Typical — backwards	Right cadence	Messenger
Sponsors (Comex)	Weekly 40-page steering deck	Monthly 1-page dashboard; quarterly deep-dive	Chief AI Officer
Translators (managers)	One cascade e-mail	Weekly 30-min huddle + toolkit	BU head
Adopters (the floor)	One launch e-mail	Weekly team huddle, Q&A channel, show-and-tell	Their manager + champions
Guardians (CSE, legal, risk)	Told at go-live	Consulted before the pilot; monthly review	CHRO / General Counsel

THE MISSING MESSAGE

7%

of organisations tell staff how to use the time AI saves them

Invert the pyramid: the floor needs the most frequent, most local, most two-way communication.

Sidebar source: Gartner survey of 114 HR leaders (July 2025), Gartner press release, 4 March 2026.

The messenger matters as much as the message

THE CEO EXPLAINS

“Why we are doing this”

61%

more likely: AI power users had heard their CEO explain why gen AI matters

THE MANAGER TRANSLATES

“What it means for you”

1.4×

more likely to be frequent agentic-AI users when managers create psychological safety

PEERS SHOW HOW

“How we do it here”

3×

adoption of priority use cases in a Microsoft sales team after weekly peer-led huddles

Sources: Microsoft & LinkedIn, 2024 Work Trend Index; Microsoft, “What we've learned from Microsoft's own AI transformation” (Sept 2026); Prosci on people managers as preferred senders of personal-impact messages.

MODULE 3 · CHAMPIONS

Build a champions network

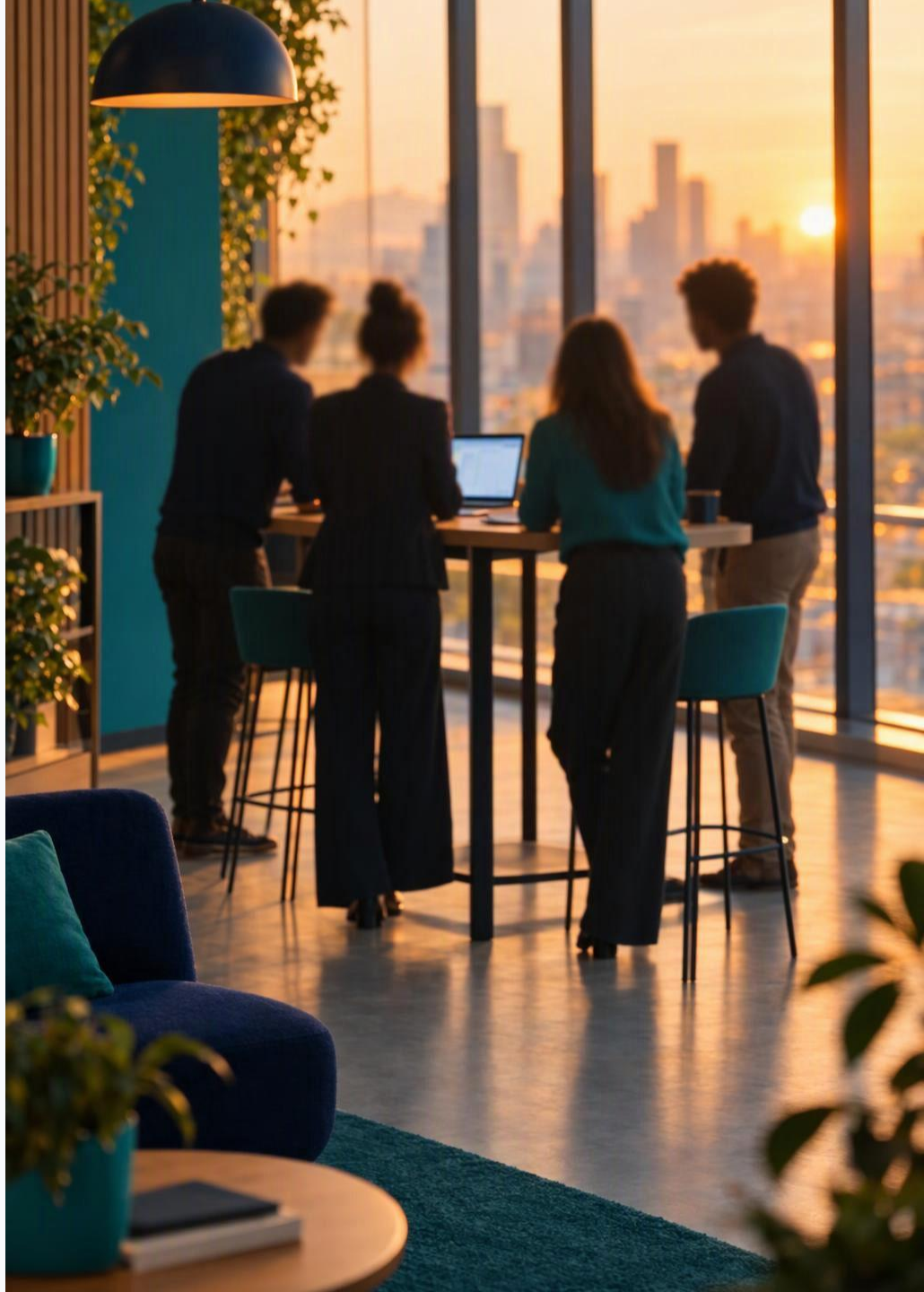
1 **Recruit**
Volunteers from the “ready third”, in every team and shift, not only at HQ

2 **Equip**
Early access, deeper training and a direct line to the AI team

3 **Activate**
Weekly show-and-tell, office hours and a community channel

4 **Recognise**
Public credit, time recognised in objectives, career visibility

Sources: Microsoft 365 Copilot Adoption Playbook (select early adopters, meet your AI council regularly, celebrate successes publicly); Microsoft Adoption, Essential guide to Copilot adoption (community of practice).



MODULE 4

04

Training tiers & kill criteria



Train in three tiers



Executive coaching

Who: Comex and top leaders
What: read an AI business case, own the risk, role-model daily use

Practitioner deep-dive

Who: champions, process owners, power users
What: redesign workflows, build and evaluate agents, measure value

All-employee literacy

Who: everyone, including contractors
What: safe use, data rules, AI's limits, prompting basics — your EU AI Act Art. 4 baseline

Benchmark: only 39% of people using AI at work have been trained by their employer.

Sources: Microsoft & LinkedIn, 2024 Work Trend Index; EU AI Act, Art. 4 (AI literacy, applicable since 2 Feb 2025); three-tier model from the course syllabus (MSA-BUS09-01).

Training must change behaviour, not tick a box

1

Embedded in daily work

Real tools, real tasks, real feedback — not a once-a-year workshop

2

Behavioural by design

People see leaders model the change, understand the why and get early wins

3

Measured, not assumed

Measure whether skills change behaviour, and keep the programme tied to strategic priorities

CUSTOMER ZERO · MICROSOFT

3,000+

engineers through Camp AIR, a multi-week accelerator where cross-functional teams learn AI while redesigning a real business challenge. The lesson: AI transformation is a team sport.

Sources: BCG, “AI Transformation Is a Workforce Transformation” (Feb 2026); Microsoft, “What we've learned from Microsoft's own AI transformation” (Sept 2026).

MODULE 4 · KILL CRITERIA

Decide now what will make you stop

A kill criterion is an explicit, pre-agreed condition under which a failed initiative is retired — and its capital redeployed.

METRIC	+	THRESHOLD	+	DATE	+	OWNER
Weekly active planners		≥ 40% of target users		Month 12		Portfolio owner (CFO)

ADOPTION

Below 40% of target users active at month 12

VALUE

No measurable gain against the baseline at month 18

COST & RISK

Run cost above the value created — or an unresolved high-risk incident

Sources: course framework (MSA-BUS09-01); Gartner (29 July 2024) on why GenAI projects are abandoned: poor data quality, inadequate risk controls, escalating costs, unclear business value.

Measure usage, then behaviour, then value

1 · USAGE

EXAMPLE METRICS

Active users, sessions per week, priority use cases live

Months 0–6

2 · BEHAVIOUR

EXAMPLE METRICS

Proficiency, workflows redesigned, time saved — and how it is reinvested

Months 6–12

3 · VALUE

EXAMPLE METRICS

P&L KPIs against the pre-launch baseline: cost, revenue, risk

Month 12 onwards

3× **Prosci: organisations that measure performance against their change objectives are three times more likely to meet them.**

Sources: Prosci, Best Practices in Change Management benchmarking (adoption metrics: utilisation, speed of adoption, proficiency); Microsoft, “What we've learned from Microsoft's own AI transformation” (Sept 2026).

Practice: your 3-page change plan

Same mid-sized retailer case (MaisonRetail) as your investment case — append the plan to your Comex memo.

PAGE 1

Risk register

- 4 failure modes
- Early-warning signal
- Mitigation
- Owner

PAGE 2

People & cadence

- 4 stakeholder classes
- Influence grid
- Cadence calendar
- Messengers

PAGE 3

Skills & stop rules

- 3 training tiers
- Kill criteria
- Adoption dashboard
- 12/24/36 milestones

PEER CHALLENGE · 5 MIN

1. What kills this — and how would we know by month 6?
2. Which managers will resist, and what's in it for them?
3. What if our two best AI engineers leave?
4. Has the works council been consulted — and when?
5. What will the Comex see before value shows up?

WRAP-UP

Six things to remember

01 **70% of AI value is people**
Budget and staff the change as the main project, not an add-on.

02 **Four failure modes, four owners**
Talent flight, middle-management sabotage, governance lag, Comex impatience.

03 **Win the middle**
Managers and the waiting third decide whether AI is adopted.

04 **Invert the cadence**
Most frequent, most local, most two-way for the floor.

05 **Train in three tiers**
Literacy for all, depth for practitioners, coaching for executives.

06 **Kill criteria before launch**
Metric, threshold, date, owner — agreed upfront, never lowered later.

THE BOARD-LEVEL DEFENCE

Technology is the easy part.
Land the change.

Bring your Comex memo and your change-management plan: you will defend both in front of a sceptical board.



AI TRANSFORMATION STRATEGIES

Defending an AI strategy to the board

The Comex memo • investment case • sceptical-board Q&A

55-MINUTE TEACHING DECK



THE CORE REFRAME

The board approves a choice—not an AI roadmap

Management proposes

A specific portfolio, funding envelope, operating model, milestones and accountable owners.

The board tests

Strategic fit, downside exposure, return on capital, controls and the conditions for continuing.

Translate every technical claim into capital • risk • advantage • timeline

THE DECISION FIRST

Start with the resolution you want approved

1	**What**	Approve the 3-year AI investment envelope and the first tranche.
2	**Why now**	Protect a strategic position and unlock measurable value.
3	**On what terms**	Named owners, gates, risk limits and quarterly reporting.

The 2-page Comex memo: seven blocks

PAGE 1

1. **Thesis**
   Maturity, context, vision, objectives
2. **Portfolio**
   Three Horizons: what we fund and why this mix
3. **Investment Envelope**
   3 to 5 years: summary and details per categories
4. **Scenarios**
   Three, each with explicit assumptions & probabilities

PAGE 2

5. **Financial Analysis**
   IRR vs Hurdle, plus the cost of inaction
6. **Risks & kill criteria**
   What would make us stop — and when
7. **Change Management**
   Operating model, adoption, owners, skilling
8. **The ask**
   Amount, tranche, decision date

Two / Three pages. No architecture diagrams. Numbers a decision maker can audit.

The 2-page memo in seven sections

1	**Thesis**	The decision and why now.
2	**Portfolio**	Use cases, owners, value levers.
3	**Envelope**	3-year spend by cost category.
4	**Scenarios**	Down / base / up, assumptions, EV.
5	**Hurdle clearance**	EV IRR vs hurdle and WACC; NPV.
6	**Risks**	Downside, mitigants, kill rules.
7	**Ask**	Amount, tranche, gates, date.

Writing tips

- Answer first: the ask in line one.
- One number per claim.
- Explicit assumptions, no hidden drivers.
- Show the downside honestly.

Page 1: sections 1–4. Page 2: sections 5–7.

Write the investment thesis as a decision

“Invest [amount] over [period] in [portfolio] to achieve [business outcome], with [downside cap] and [decision gate].”

Weak

“We will become an AI-first organisation.”

Better

A quantified proposal with a measurable business lever and a bounded loss.

Then details the why in simple terms. Think : maturity, market conditions, competition, objectives; etc .....
Add a call to action for the review : “We expect this meeting for approval of ......”

Weak vs strong memo phrasing

Weak	Stronger with
“AI will transform our business”	€30M over 3 years; ENPV +€1.9M at a 12% hurdle; break-even in year 5
“We'll use GPT-class models”	Platform reused by 10 initiatives, cutting marginal cost per use case
“Risks are manageable”	Downside NPV −€11.6M; tranche 2 released only if 3 H1 use cases hit baseline +10%
“Please approve the budget”	Approve tranche 1 (€11M) today; tranche 2 decision at month 12

THE TEST

Every strong sentence names an amount, a return, a date or a downside — something a CFO can audit.

Show a portfolio—not a list of pilots

H1 · Efficiency

Near-term productivity / cost-to-serve

H2 · Augmentation

Better decisions, service and workflows

H3 · New model

Options for new revenue and advantage

70–20–10 is a course allocation heuristic—not a universal benchmark. Explain any deviation.

Make the capital case auditable

Compute

Talent

Integration

Model operations

Data acquisition

Governance

Three-year envelope

Show year-1 / year-2 / year-3 spend and when value reaches the P&L.

Hurdle clearance

Compare portfolio IRR with WACC + risk premium; include the cost of inaction.

Scenarios expose assumptions—not false precision

Downside

Adoption lags; costs persist

Loss cap + corrective trigger

Base

Measured adoption and benefits

Hurdle test + milestones

Upside

Faster scale / new revenue

Capacity and reinvestment option

For each: state probability, adoption, unit economics, cash-flow timing and a decision response.

RISK & GOVERNANCE

Name the risks—and the control owner

Value

No measurable P&L capture
Owner: CFO + business owner

Delivery

Data, integration or vendor lock-in
Owner: CIO / product owner

Trust

Privacy, security, bias, unsafe output
Owner: Risk / legal / DPO

People

Adoption, skills and social dialogue
Owner: BU leader / HR

RISK & GOVERNANCE

A kill criterion is a pre-agreed decision rule

Metric + threshold + date + owner + action

Not a kill criterion

"We will review adoption regularly."

Illustrative rule

"If verified adoption is below the agreed threshold at month 12, pause tranche 2; CFO decides."

Show who changes work—not just who gets tools

Operating model

Current
Recommandations

Sponsors

Board / Comex / BU heads
Monthly dashboard

Translators

Middle managers
Weekly huddle + toolkit

Adopters

Front-line teams
Practice + local feedback

Guardians

Legal / risk / employee reps
Consult before pilots

CHANGE MANAGEMENT

Prove adoption is funded, owned and measurable

Talent flight

Retain scarce talent; protect learning time

CHRO · attrition and skills coverage

Manager resistance

Co-design workflows; equip team leads

BU head · manager participation

Governance lag

Consult guardians before pilots; risk-tier use

Legal / risk · approvals and exceptions

Comex impatience

Stage-gate funding through the J-curve

CEO / CFO · adoption and realised value

Board test: who changes work, what enables adoption, and what evidence releases the next tranche?

Put regulatory exposure on the critical path

Board-level question

Which use cases trigger heightened obligations, and who owns the assessment, evidence and human oversight?

Practical response

Maintain an AI inventory; classify use cases; document controls; review vendor roles and applicable deadlines.

EU AI Act obligations are phased; verify the current official timeline for the specific use case.

MILESTONES & REPORTING

Make the timeline a contract with evidence

M12 · Baseline + first value

Adoption, unit economics, risk controls

M24 · Scale proven motions

Realised benefits, reuse, retention

M36 · Strategic advantage

Margin, growth, defensibility

Each milestone needs an owner • a date • a baseline • a metric • a gate

FORMAT & STORY

Design the board pack for decisions

Lead with the answer	Recommendation and precise ask on page one.
Use assertion headlines	“Release tranche 2 only after value clears the gate.”
One message per slide	Put detailed calculations in the appendix.
Show uncertainty honestly	Label estimates, scenarios and assumptions.
Make numbers traceable	Units, period, baseline, owner and source.

SCEPTICAL BOARD

Prepare for the three hardest questions

What is the worst case?

Quantify downside; cap the loss.

What kills it?

Name a metric, threshold, date and owner.

What does the competitor do?

Explain the cost of waiting and your advantage.

PEER FEEDBACK

Score the defence on six observable tests

1. Decision and ask are explicit
2. Portfolio follows strategic logic
3. Economics and assumptions are auditable
4. Downside and kill gates are credible
5. Change and governance have owners
6. Answers are concise and evidence-led

TAKEAWAY

The board-ready checklist

- Decision: what exactly must be approved?
- Strategy: why this portfolio, now?
- Capital: where does the money go and when does it return?
- Risk: what is the worst case and who owns it?
- Execution: who changes work, and what proves progress?
- Discipline: what stops, pauses or scales the programme?

Deliverable: 2-page Comex memo (executive summary) + details plan for each topics after